

ALUMEX PLC

ALUMEXCELLENCE

Annual Report 2015/16

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<http://www.alumexgroup.com>

ALUMEXCELLENCE

Strength. Quality. Craftsmanship. Value. This is the promise of the Alumex brand; a range of outstanding architectural, residential and industrial aluminium products manufactured to global standards of excellence.

It's what we call 'Alumexcellence'.

Vision Statement

"To be the Premier Aluminium Extrusion Manufacturer in the South Asian Region."

Mission Statement

We will

- Create value through introducing innovative Aluminium products to our markets
- Adopt world class business practices and processes, to be competitive and ensure customer loyalty
- Optimise our range of products; strengthen our distribution network to expand in both local and overseas markets
- Develop the Alumex brand to be the household name for Aluminium in the region
- Surpass expectation of all our stakeholders by sustainable value creation
- Conduct our business in a socially responsible and ethical manner
- Develop, motivate and retain a diverse workforce within a supportive and safe work environment

Values

Integrity: Ethical and transparent in all our dealings

Enduring Customer Value: Enhancing experiences for every customer, from the rural farmer to the global consumer

A Will to Win: Exhibiting the will to win is important to Alumex and its shareholders

Respect for People: Treating everyone with respect and dignity, providing for the development of our people and rewarding them for good performance

Good Citizenship: Caring for the communities in which they work, actively supporting their growth and being environmentally responsible in all we do

Teamwork: Working with each other and with partners across boundaries to make things happen

Accountability: Holding ourselves responsible to deliver what we promise

About the Company

Alumex PLC, a subsidiary of Hayleys PLC, is a public limited liability company, listed on the Dirisavi Board of the Colombo Stock Exchange. Founded in 1986, Alumex commenced commercial operations in 1988. The Alumex head office and factory premises are located at Pattiwila Road, Sapugaskanda, Makola. The Company has 5 distribution centres, one concept centre and 62 dealerships spread throughout the island. The Alumex Group comprises three fully-owned subsidiaries – Alco Industries (Pvt) Ltd., involved in manufacturing and selling Aluminium components and industrial tools; Avro Enterprises (Pvt) Ltd., a dormant company in the reporting period and will be amalgamated with parent company with effect from 20th April 2016; and Alumex Systems (Pvt) Ltd., the newly incorporated company (incorporated in 21st March 2016) and yet to commence commercial operation. The Alumex Group has a workforce of 466.

Alumex has expanded manufacturing facilities to include melting and casting, die manufacturing, extruding, and surface finishing of profiles, to produce mill finished, anodised, powder coated and wood effect Aluminium profiles, for industries and architectural use, and such profiles are marketed under two brands, Alumex and Lumin.

Alumex is an ISO 9001:2008 certified Company and is recognised globally for consistent quality of production to international standards. As a result, Alumex has been selected by international brand names for outsourced manufacturing of Aluminium window and door system profiles in the Alumex plant in Sri Lanka, under license and awarded contracts by AluK of Italy, Fletcher Aluminium of New Zealand and Reynaers Aluminium NV of Belgium. Alumex is the only approved applicator for the international powder brands of JOTUN, DGL and Akzo Nobel for their high end material.

Alumex successfully concluded testing 8 of its own facade/curtain wall, window and door systems by an accredited testing lab in Dubai and obtained United Kingdom Accreditation Service's certification (UKAS) during the financial year.

Historical Milestones

1986

Alumex (Private) Limited is initiated as a South Korean-Sri Lankan joint venture

2009

Second powder coating plant for small orders was added to the production line

2012

AAMT was renamed as Alumex (Private) Limited

1988

Commercial operations began with the 5" extruder and an anodizing plant

2010

3rd extruder was commissioned to manufacture component products

2013

Alumex (Private) Limited was re-registered as Alumex Limited

1999

First Powder coating plant was added to the production process

Hayleys PLC acquires controlling ownership of Alumex

Alutec Extrusions (Private) Limited, fully-owned subsidiary was amalgamated with the parent, Alumex Limited

2011

Share swap was initiated to bring the full ownership of the Group under one single company, Alutec Anodising and Machine Tools (Private) Limited (AAMT)

2014

Alumex Limited made an Initial Public Offering in the Colombo Stock Exchange and became a listed company

2000

7" largest extruder in the country was installed at the Makola factory

Name was changed and registered as Alumex PLC

2012

Consolidation process was commenced to simplify the ownership structure

2015

3rd powder coating plant was added to the production line

2006

The Korean shareholdings were acquired by the Sri Lankan partners

- Two fully-owned subsidiaries, Alumex (Pvt) Ltd and Alutec Extrusions (Private) Limited were amalgamated

2008

Second anodizing plant and first wood finish plant were installed

- United Ceylon Insurance Company Limited, a 100% owned, dormant subsidiary was amalgamated with its parent company, AAMT

Achievements and Awards



National Business Excellence Awards 2015 organised by National Chamber of Commerce

Bronze award

Overall award winner

Winner

Large business category

Winner

Manufacturing (Engineering) Sector

Runner-up

Excellence in business & financial results



Annual Report Award Ceremony 2015 organized by the Institute of Chartered Accountants of Sri Lanka

Gold award - Manufacturing Sector

About this Report

Our First Integrated Report

We are extremely delighted to present our first Integrated Annual Report. Alumex is fully committed towards meeting a variety of our stakeholders' expectations by providing them with balanced and relevant information on our value creation process.

With this report, we aim to provide insights into the Alumex strategy, performance and governance, with the objective of demonstrating how we create value for our stakeholders with different forms of capitals inputs, outputs and outcomes. In preparing this report, we have adopted the Integrated Reporting Framework issued by the International Integrated Reporting Council (IIRC).

Scope and Boundary

This report covers the aspects that are deemed material to the Alumex strategic direction and stakeholders as determined by the process described in page 24 of this report. The report has been prepared in accordance with the Global Reporting Initiative G4 criteria - Core and aspects and indicators have been selected to best reflect the impacts of its diverse industry exposures. The Report covers the performance of the businesses of Alumex PLC and 3 subsidiaries, as discussed in page 7. Alumex adopts an annual reporting cycle and this year's report covers the period from 1st of April 2015 to 31st of March 2016.

Guiding Principles

We subscribe to and report under several domestic and international regulations, standards and frameworks, the more significant of which are the following:

- Sri Lanka Accounting Standards
- Integrated Reporting Framework issued by the IIRC
- Global Reporting Initiative- G4 Standards
- Companies Act No 7 of 2007
- Listing Rules of the Colombo Stock Exchange

- Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka
- Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka

Assurance

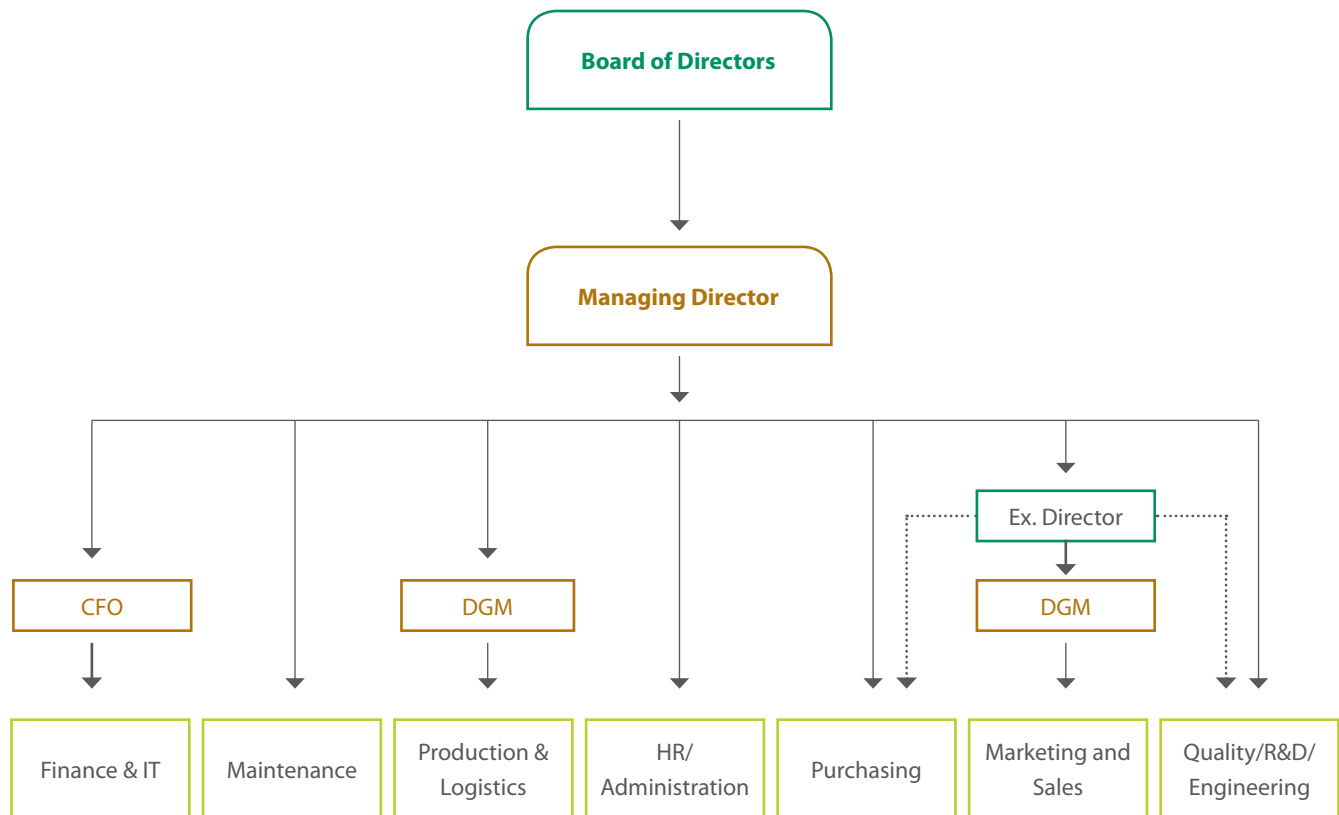
The independent auditor's opinion by Messrs Ernst & Young, Chartered Accountants on the Financial Statements is available in page 121 to this report

Feedback

We understand that Integrated Reporting is an evolving principle, and we welcome your feedback, suggestions and other comments on our Annual Report. Please contact us at marketing@alumexgroup.com

Group Structure

The Alumex Group consists of Alumex PLC and 3 fully-owned subsidiaries. All operations of the group are managed by a centralized management team led by the Managing Director.



Company	% of Ownership	Nature of Business
Alumex PLC	Parent	The premier manufacturer of Aluminium extrusions in Sri Lanka. The manufacturing operation comprises facilities of melting and casting, die manufacturing, extruding and surface coating of the entire range of profiles for industrial requirements. The finished products are marketed as mill finished, anodized, powder coated and wood effects profiles.
Alco Industries (Pvt) Ltd.	100%	A BOI approved company incorporated in 2010. It has a modern manufacturing facility for the production of Aluminium components required by industries such as building construction, bus/lorry body building and rail coach building. It also manufactures components required by the Ceylon Electricity Board and air conditioning and electrical/electronics industries, etc.
Avro Enterprises (Pvt) Ltd.	100%	Avro Enterprises (Pvt) Ltd. was dormant during the financial year and amalgamated with Alumex PLC in April 2016.
Alumex Systems (Pvt) Ltd.	100%	Registered in March 2016 to commence manufacturing of extrusions using advanced technology. During the year, there were no operations except acquisition of an asset.

Key Performance Indicators

	2016 Rs. Mn	2015 Rs. Mn	Change %	2014 Rs. Mn	Change %
Operating Result					
Profit Before Tax	801	613	31%	464	32%
Tax	212	136	56%	85	60%
Profit After Tax	589	477	24%	379	26%
Dividend	299	299	0%	157	90%
Retained Profit	284	182	56%	212	-14%
Financial Sectorial Analysis					
Turnover	3,995	3,307	21%	2804	18%
Operating Profit	813	611	33%	474	29%
Capital Structure					
Equity	1,898	1,690	12%	1446	17%
Debt	3	18	-83%	53	-66%
Profitability, Dividends and Investors					
Information Profitability Ratios					
Gross Profit Margin	30%	28%	8%	28%	0%
Operating Profit Margin	21%	19%	10%	17%	9%
Net Profit Margin	15%	15%	0%	14%	7%
Return on Assets	21%	20%	7%	20%	0%
Return on Capital	45%	38%	19%	32%	21%
Liquidity					
Working Capital	731	566	29%	638	-11%
Current Ratio	1.90	1.72	10%	2.12	-19%
Quick Assets Ratio	0.84	0.75	13%	1.08	-31%
Equity Ratios					
Net Asset Value Per Share (Rs.)	6.34	5.65	12%	4.83	17%
Earnings Per Share (Rs.)	1.97	1.59	24%	1.34	19%
Dividend Per Share (Rs.)	1.00	1.00	0%	0.53	89%
Effective Dividend Rate (Dividend Yield)	6%	6%	0%	4%	70%
Dividend Cover (Times)	1.97	1.59	24%	2.54	-37%
Market Value Per Share (Rs.)	15.40	15.80	-3%	14.20	11%
Highest Market Price Per Share (Rs.)	19.70	17.70	11%	15.20	16%
Lowest Market Price Per Share (Rs.)	13.50	13.90	-3%	14.20	-2%
Value as at end of Financial Year	4,609	4,729	-3%	4,250	11%
Debt Ratios					
Debt to Equity	0.16%	1%	-84%	4%	-71%
Interest Cover (Times)	948	220	>100%	48	>100%
Equity Assets Ratio	66%	64%	3%	66%	4%
Interest Rate of Comparable Government Security					
Treasury Bill (1 year)	10.64%	6.8%	56%	7.05%	-4%
Treasury Bond (2 year)	11.75%	8.14%	44%	N/A	

Financial Highlights

Rs. **3,995** Mn
TURNOVER

Rs. **731** Mn
LIQUIDITY

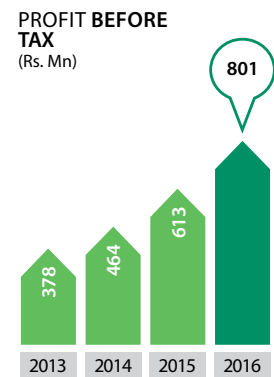
Rs. **2,881** Mn
TOTAL ASSETS

Rs. **801** Mn
PROFIT BEFORE TAX

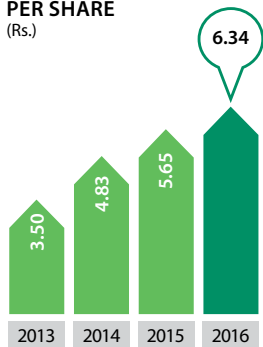
REVENUE
(Rs. Mn)



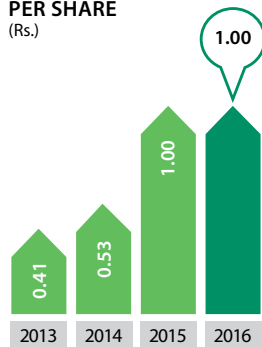
PROFIT BEFORE TAX
(Rs. Mn)



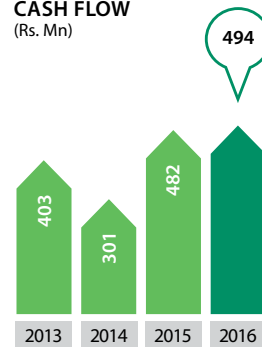
NET ASSETS PER SHARE
(Rs.)



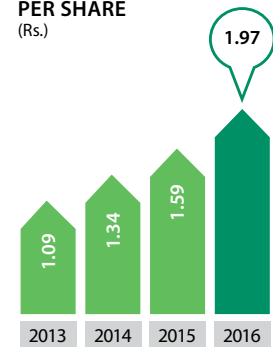
DIVIDENDS PER SHARE
(Rs.)



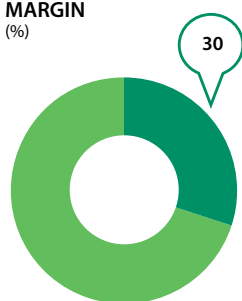
OPERATING CASH FLOW
(Rs. Mn)



EARNINGS PER SHARE
(Rs.)



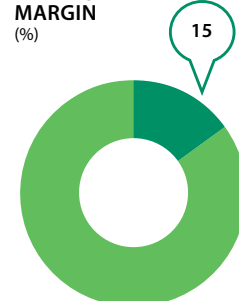
GROSS PROFIT MARGIN
(%)



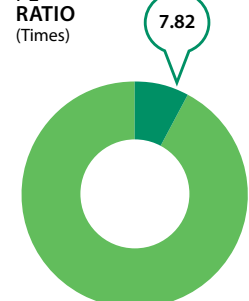
ROCE
(%)



NET PROFIT MARGIN
(%)



PE RATIO
(Times)



Year at a Glance

ALUMEX EXCELS IN SYSTEM TESTING IN DUBAI.

8 Aluminium Facedes/Curtain Walls, Doors and Window systems were successfully tested in Dubai by one of the world's leading accredited laboratories recognised for testing, calibration and advisory services.

THESE SYSTEMS WERE TESTED UNDER THE PARAMETERS OF AIR INFILTRATION, WATER PENETRATION, WIND AND SOUND RESISTANCE.

ALUMEX DEALERS' AWARDS CEREMONY 2015 WAS HELD AT THE KINGSBURY, COLOMBO.

THE BEST FABRICATOR AT EACH DEALERSHIP WAS REWARDED WITH MACHINERY AND EQUIPMENT. OVER 100 FABRICATORS WERE FETED.

2 NEW DEALERS WERE APPOINTED TO STRENGTHEN THE DISTRIBUTION NETWORK TO

62 DEALERSHIPS
AROUND THE COUNTRY.

ALUMEX INTRODUCED NEW PRODUCTS TO THE MARKET.

- C' Groove sliding door & window
- Double glazed casement window
- Curtain wall system with thermal break
- Solar panel components
- Door handle
- Insect screen
- Wardrobe series

2,750 WHITE CANES WERE DONATED TO THE BLIND COMMUNITY TO COMMEMORATE THE WORLD WHITE CANE DAY IN COLLABORATION WITH SEVERAL WELFARE SOCIETIES FOR THE BLIND AROUND THE COUNTRY.

The CSR project titled **SATH DIYAWARA** was launched in association with a sister company Puritas, to donate 10,000 liters per day capacity RO water treatment plant to provide safe drinking water for the community at Billewa, North Central Province.

ALUMEX OPENED ITS FLAGSHIP 'LUMIN CONCEPTS' DISPLAY CENTRE AT NAWALA.

LUMIN Concepts allows home builders the opportunity to experience the innovative functionality of all LUMIN products and accessories on offer under one roof, with a special focus on quality, safety features and durability.

ALUMEX PLC WON 4 AWARDS

AT THE NATIONAL BUSINESS
EXCELLENCE AWARDS 2015
ORGANIZED BY NATIONAL CHAMBER
OF COMMERCE OF SRI LANKA,
INCLUDING THE OVERALL BRONZE
AWARD

STRATEGIC SPONSORS FOR THE ARCHITECT 2016

Exhibition held at the BMICH in February 2016. The Exhibition was organized by the Sri Lanka Institute of Architects (SLIA) and consisted of more than 300 stalls. Participants exceeded 100,000 including the general public, professionals and students.

HIGHEST-EVER SALES AND PRODUCTION PERFORMANCE IN A MONTH

**EXCEEDED 600 MT
OF SALES AND
525 MT
OF PRODUCTION IN MARCH 2016.**

ALUMEX WON THE MANUFACTURING COMPANIES' GOLD MEDAL

AT THE 51ST ANNUAL REPORT AWARDS
CEREMONY 2015 HOSTED BY THE
INSTITUTE OF CHARTERED ACCOUNTANTS
OF SRI LANKA.

ADDED A EDM MACHINE FOR
THE DIE MANUFACTURING
LINE AND A SALT SPRAY
TESTING RIG FOR SUPERIOR
QUALITY TESTING.



Chairman's Statement

I am pleased to present to you the Annual Report of Alumex PLC for the year ended 31st March 2016.

Performance in 2015/16

The long term strategies implemented by the Alumex Group have contributed to yet another exceptional performance in the financial year. The Group recorded a turnover of Rs. 3.99 billion, a noteworthy growth of 21% compared to the previous year. Profit before tax was Rs. 801 million recording an increase of 31% and Profit after tax was Rs. 589 million compared to Rs. 477 million in the previous year.

The demand for aluminium remained strong in Sri Lanka even though the construction industry growth declined to 4.6% and GDP remained at the same level as the previous year of 4.8%. However, increasing investments in high rise apartments, hotels, and houses, created a greater demand for aluminium profiles. Alumex was also able to maintain market prices at the same levels throughout the year, due to our focus on productivity.

To support the launch of its residential product range LUMIN, Alumex opened its first one-of-a-kind LUMIN Concept Centre in Nawala. The Centre showcases the LUMIN range of products for architects, consultants, fabricators and individual customers to experience first-hand the functionality, expansive colour range, security and high quality standards of the product solutions we offer.

Alumex is the first aluminium company in Sri Lanka to have its products certified by the world renowned United Kingdom Accreditation Service (UKAS). Several window and door systems as well as curtain wall systems were evaluated and approved by the Dubai based testing facility. This clearly places Alumex products on par with international brands.

Outlook

The Alumex strategy is based on innovation and adherence to the highest quality standards in every minute aspect of our business. Our product and process development teams continually focus on developing new products and explore and implement the latest processes to bring to life our commitment and unwavering passion to providing all our stakeholders with cutting edge product solutions and service excellence.

We expect the demand for aluminium profiles to remain strong with double digit growth in the next few years. Based on the projected demand, our strategies for the next few years include marketing the LUMIN product with a presence in all provinces of Sri Lanka by setting up LUMIN Concept Centres in a major city in each of these provinces. The range too will be broadened with new innovative products to give our customers more options to choose from.

We expect the demand for aluminium profiles to remain strong with double digit growth in the next few years.

In manufacturing, plans are in place to enhance capacity as well as increase existing capacity utilization to cater to the forecasted demands in the commercial and the residential sector. The launch of the UKAS certified products will be completed in the near future and we will continue to obtain UKAS certification for more products in our Architectural range during the next few years giving us a clear-cut competitive edge over imported material.

In an endeavour to give back to the community by supporting the Hayleys Sath Diyawara Water Purification project, Alumex invested in a 10,000 Litre per day Reverse Osmosis plant to supply clean drinking water to a Chronic Kidney Disease affected region in Billewa, Anuradhapura. We also refurbished the playground equipment in the Billewa Vidyalaya as well as the drinking water supply system in the school premises. Alumex further expanded its CSR initiatives with the donation of a total of 2,750 foldable aluminium white canes to the blind through several charitable organisations.

There were no changes to the Board of Alumex PLC or its subsidiaries during the year under review.

The Alumex Group has strategically, operationally and financially delivered an excellent performance during the year for our shareholders. My colleagues on the Board and I, wish to thank the Alumex management and staff at all levels for their hard work, relentless commitment and dedication and for being instrumental in achieving these excellent and commendable results and also our valued customers, dealers and distributors who have supported us during the year.



A M Pandithage
Chairman



Managing Director's Review



"We have a strong portfolio of products driven by a team of dynamic and motivated professionals. Our products are world class, encompassing the best engineering and technology."

Excellence in Business

The year ended 31st March 2016 was an exceptional year for Alumex. We grew our business, increased our profitability and successfully implemented our strategy. This enabled us to improve our competitiveness and create value for our shareholders.

Operational Results

The Group turnover reached Rs. 3.99 billion which was a 21% increase compared to Rs. 3.31 billion in the previous year. Profit before tax of the Group was Rs. 801 million compared to Rs. 613 in the previous year. Profit after tax was Rs. 589 million compared to Rs. 477 million in the previous year, an increase of 24%. The earnings per share was Rs. 1.97 compared to 1.59 whilst net assets per share increased to Rs. 6.34 compared to the previous year of Rs. 5.65.

Construction Industry

In 2015, the Construction Sector growth rate (revised) had reduced to a negative 1% in comparison to the previous year of 7% and Sri Lanka's GDP growth remained at 4.8% as in the previous year. The inflation rate fell to 2.2%, and interest rates increased marginally from 6.26% to 7.4% by the year end. Though the growth rate in the construction industry as a whole reduced, the demand for Aluminium continued to be strong due to the comparatively low interest rates and low inflation.

LME Aluminium prices showed a decline in the middle of the year but recovered to the same levels at the beginning of the year and suppliers also reduced premiums to maintain their competitiveness. The reductions in prices were negated by the 9% depreciation of the USD exchange rate. This resulted in Alumex being able to maintain local market prices at the same level throughout the year.

Managing Director's Review

Sales and Marketing

Our Sales and Marketing team increased the volume sold by 17% compared to the previous year with 5,292 Metric Tons. The areas where sales increased significantly were Western, North Western and Southern Provinces. Sales to the architectural segment accounted for 69% and included projects such as Cinnamon Lakeside, 7th Sense Apartments, People's Bank and Bank of Ceylon branch offices, NSB, Alexandra Apartments, etc.

In November 2015, we opened our first LUMIN Concept Centre displaying the entire range of LUMIN products, Accessories and Alpolic Indoor Cladding and DuPont Corian solid surface material. Customers are able to experience the design features and complex multiple configurations available with our products and select the exact type of window, door, cladding or counter top that suits the design concept of the intended homes. We also have a full range of finishes from powder coated, anodized, polished or wood effect profiles in a range of colors. The Centre is a resounding success with numerous Customers, Architects, Consultants and Fabricators visiting the Centre to evaluate and select from the wide array of products on display to suit their varying needs.

The advanced level training courses for fabricators was held to cover the LUMIN range which required specialization to maintain the highest quality in fabrication that we promise our customers.

Our Annual Dealer Convention was held in September at the Kingsbury hotel and was followed by a special training program titled "Go Beyond" for Dealers held at the Amaya Hills in December.

Quality

To confirm our excellence in quality, we tested our LUMIN window and door systems and our first ever 220mm Curtain wall system at a United Kingdom Accreditation Services (UKAS) testing centre in Dubai for Air filtration, Water penetration and Wind/Sound Resistance. All tested products exceeded the target criteria for residential and commercial buildings in Sri Lanka. With the success of these tests, Alumex is the only Sri Lankan company to have UKAS tested systems to offer to the Sri Lanka market.

Alco Industries (Pvt) Ltd obtained the ISO 9001:2008 certifications as an extension of the Alumex certification. With this, all the processes of Alumex Group at its Makola site are now covered by ISO certifications.

 The Group turnover reached Rs. 3.99 billion which was a 21% increase compared to Rs. 3.31 billion in the previous year.

Profit before tax of the group was Rs. 801 million compared to Rs. 613 in the previous year.

Manufacturing

With the additional capacity enhancement in powder coating last year, the output of the extrusion presses too had to be enhanced. Reduction in idle time, rate increases, monitoring of temperatures etc. increased capacity utilization to 50% and enabled Alumex to produce 10% more than last year. Further modifications are planned in April to achieve 60% utilization. The higher than expected demand for powder coated products saw the new powder coating plant being utilized at its maximum capacity in the latter part of the year.

A new and more efficient process of polishing using chemicals was introduced to replace mechanical polishing. With this process aluminium profiles can be given the appearance of polished stainless steel which is in high demand.

Human Resources

Human resources continued to be a challenge throughout the year with turnover in many categories being in double digits apart from the permanent factory worker category. Casual and contract employees constantly on the lookout for jobs which were not physically demanding did not fit in well with work we had at Alumex.

An employee climate survey conducted in August indicated a score of 67% which was in line with manufacturing industry scores of 65 – 70%. The survey also provided information on some of the segments which required attention and the issues highlighted are being addressed with specific programs planned and implemented over a period of 6 to 8 months.

New Products

R&D has been the cornerstone on which we grow and expand our Company and increase our customer base. With creativity and innovation encouraged in all areas of the business and with the freedom given to our product and process development teams, we have been able to introduce several new products to our range. C Groove Sliding Door/Window Series, Double Glazed Casement Window, Wardrobes and Mosquito/Insect Screens for the residential market. A new 220mm Curtain Wall System with a thermal break for high rise buildings are some examples of products introduced during the year.

Awards

Alumex did exceptionally well at the National Business Excellence Awards 2016 winning four awards. We were presented with the Overall Champions - Bronze Award, Large Business Category - Gold Award, Manufacturing Engineering Sector - Gold Award and Excellence in Business and Financial Results Runner-up. Alumex won Gold in the Manufacturing sector, at the 2015 Annual Reports Award ceremony organized by the Institute of Chartered Accountants of Sri Lanka.

CSR

In support of the Hayleys "Chronic Kidney Disease" (CKD) prevention CSR initiative, Alumex with the cooperation of Puritas completed and declared open its first RO plant on 3rd September 2015. This RO plant which can filter and purify 10,000 litres per day was installed in Billewa, Anuradhapura. Ten docking stations were built around the village and a bowser was provided to transport the purified water. At the same time, we refurbished the old playground equipment and added a few new equipment to the Billewa Vidyalaya kid's playground. We also refurbished a small water purification plant for the school children to be provided with purified water.

We will continue to support the CKD initiative of Hayleys in the future with another CKD plant to provide safe drinking water to those affected by this disease in the North Central Province.

Alumex also donated 2,750 aluminium white canes to the Blind through several organizations. The materials for the canes were supplied by Alumex and the canes were assembled by the blind who were paid for the work done by Alumex.

Net Profit after Tax

589Mn

This is a 24% increase compare to Rs. 477 million in the previous year

The Future

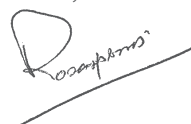
The Construction Industry in Sri Lanka is expected to recover in the near future and with it the demand for Aluminium profiles will continue to be strong. At the same time, we anticipate a shift in demand towards creating buildings to be more high-rise than previously.

Our long term strategy includes new designs targeting the commercial sector, broadening the range of products offered in our LUMIN range whilst setting up more Concept Centres in the major cities of Sri Lanka to provide access to all our customers around the country, enhance extrusion and powder coating capacity, introduce new surface finishing processes, and to develop the export market.

We are confident that our strategies will boost the value of Alumex and at the same time satisfy all our stakeholders.

My sincere thanks to the Chairman and the Board of Directors for their continued support and guidance, to our customers, distributors and dealers for their faith in our product and to all our employees at Alumex for believing in our vision and striving for excellence in everything we do. This is what we refer to as "Alumexcellence".

Thank you.



Rohan Palitha Peris
Managing Director

Quality of Alumex Products



We are fully equipped with modern testing equipment to perform all the required tests against international standards.

Alumex is perceived as a brand name for quality Aluminium extrusions by the Sri Lankan market, because of its excellence in design features and performance.

Be it a modern residential house or a sky scraper, Alumex' profiles will fit in to any building construction because of its excellent designs, multiple features and high quality standards. Alumex possess all the expertise in-house with its experienced staff and state-of-the-art manufacturing facilities to provide a range of quality products with excellent design features.

We continually pay great attention to every aspect of our products. The raw material used in manufacturing, surface coating, packing, storing, and so on, is constantly examined and verified against international standards. Every product is designed, manufactured and sold as per the highest standards of the world.



We are fully equipped with modern testing equipment to perform all the required tests against international standards for Aluminium logs, other raw material and finished aluminium profiles manufactured at our Makola factory.

All our raw material are from the world-renowned manufacturers, who are reputed for maintaining the highest quality standards in the world. Moreover, our prime task during the production process is to carry out all the required testing to ensure that our products are of the highest standard of quality and yield the best performance results as stipulated by international standards.

We maintain constant standards of performance & quality. We issue Manufacturers' Quality Certificate to our customers to build confidence and endorse that our products are of the highest quality and performance levels. Also, we are very proud to say that we are the only manufacturer with Approved Applicator Status from the three largest powder coating material manufacturers in the world to use high performance powder coatings on our products with up to 30 year warranties.

Alumex Systems





Advanced Aluminium Tested Systems

Alumex's own tested system was a dream we had for many decades and during the year it became a reality. We now own an advanced Aluminium tested system with the following product ranges under the Alumex brand name:

- Facade/curtain wall systems
- Casement window systems
- Sliding door/window systems

These products were tested in Dubai in a world-recognized accredited testing laboratory by United Kingdom Accreditation Services (UKAS). The UKAS logo appears on all the test reports we received for the systems. The testing includes:

- Water test
- Air test
- Deflection/wind resistance test
- Sound (acoustic) test for the double glazed facade/curtain wall and casement window systems

We are pleased to state that systems indicated above have shown excellent results in all the criteria tested and this will permit



Alumex to join the internationally recognized best Aluminium extrusion systems manufacturers in the world.

Architects, Consultants and Fabricators who were waiting for a recognized tested system from Alumex can be happy about the excellent performance of the systems tested and have an alternate system to international suppliers on equal grounds, creating greater competitive advantage.

A tested system will always have a selected set of recommended accessories in order to meet the performance criteria and the durability of such systems. These systems have been designed to use specialized accessories to ensure excellent performance and therefore customers will get trouble-free products with an increased lifespan. The system testing cost was over Rs. 30 Mn and the management was happy to invest in this activity to offer the best quality to the customers of Alumex.



Value Creation Model

Our business model is driven by our strategic foundation and the value creation process which is designed to serve the diversified group of stakeholders we deal with in achieving our vision and strategic objectives.

The aluminium extrusions and related products market is very competitive in Sri Lanka and customers have a variety of choices. We are very confident that we have a unique combination of people, processes, brands, networks and technology to cater to all our customers and realise our dream of being the No: 01 Aluminium Extrusions Manufacturer in the South Asian Region.



Stakeholder Engagement

At present our stakeholder engagement process is internally driven. We pride ourselves on our effective engagement with these groups who have been identified based on three main themes guiding the process of identifying stakeholders, namely, inclusivity, materiality and responsiveness.

For the Alumex Group, key stakeholders are Shareholders, Customers, Suppliers, Employees, Financial Institutions, Government and Regulatory Bodies and the Society and Environment. The Company firmly believes a sustainable business platform cannot be achieved in isolation and our strategy development process, implementations and reporting to stakeholders takes into account the material issues of our stakeholders and we seek to build relationships based on trust vital for our longer term sustenance.

To secure open and constructive dialogues with stakeholders, different means of communication are used by Alumex as described below.



Stakeholder	Engagement method	Details of engagement and value addition
Shareholders	- Annual General Meeting - Quarterly Reports - Annual Report - Company Website - CSE Website	For details of engagement please refer - Financial Calendar in page 120 - Financial Capital in pages 36 to 41 For details of value addition please refer - Key Performance Indicators in page 8 - Financial Highlights in page 9 - Statement of Value Added in page 176
Customers	- Customer Visits - Company Websites - Exhibitions and Trade Shows - Training Dealers and Fabricators - Dealers' Award Night - Dealers' Annual Trip - Dealer's Meetings - Presence in Social Media	For details of engagement and addition please refer Social And Relationship Capital in pages 57 to 60
Suppliers	On-site Visits of Supplier Locations - Meetings with Suppliers - Annual Reports - Regular Dialogue and Interactions	For details of engagement and addition please refer Social and Relationship Capital in page 61

Stakeholder	Engagement method	Details of engagement and value addition
Employees	• Management Meetings • Review Meetings • Communications via circulars, memos and emails • Engagement Events • Workplace Improvement Meetings • Performance Appraisals • Training Programs	For details of engagement please refer • Human Capital in pages 48 to 55 For details of value addition please refer • Statement of Value Added in page 176
Financial Institutions	• Communications • Meetings • Quarterly Reports • Annual Report • Website and Social Media	For details of engagement please refer • Financial Capital in pages 36 to 41 For details of value addition please refer • Statement of Value Added in page 176
Government and Regulatory Bodies	• Meetings and Workshops with Government Authorities and Departments • Communications • Submission of Special Reports • Annual Returns and Reports	For details of engagement please refer • Social and Relationship Capital in pages 64 to 65 For details of value addition please refer • Statement of Value Added in page 176
Society and Environment	• Focus Groups Discussions • Training for Undergraduates & Awareness Building Programs • Written and Oral Communications initiated by Stakeholders • Company Website and Social Media • Donations and Community Development Projects	For details of engagement please refer • Social and Relationship Capital in pages 56 to 69 • Natural Capital in pages from 70 to 75 For details of value addition please refer • Statement of Value Added in page 176

Identifying Material Issues

Materiality Assessment Process

Alumex materiality assessment process is simple but methodical and consists of few steps:

- Identifying major stakeholders as per the stakeholder identification process
- Identifying and prioritizing sustainability indicators (economic, environmental, labor practices, human rights, society and product responsibility) using GRI Guidelines and deciding on the most important sustainability indicators relating to Alumex, with reference to major stakeholders.

- Ranking sustainability indicators considering issues that cause significant impact

Accordingly, the following diagram identifies the importance of sustainability indicators to Alumex and its stakeholders and the impact of each of these issues.

Indicators with importance from “moderate to high” associated with “high impact” were considered as material issues for reporting. Issues relating to rest of the indicators are not presented in this report.

		Material Aspects	Ability to impact (high/low)	Material Aspects	Ability to impact (high/low)	Material Aspects	Ability to impact (high/low)
High ----> more			Water	High	Economic Performance	High	
			Freedom of Association	High	Effluents & Waste	High	
			Child Labor	High	Employment	High	
			Grievance Mechanisms for Impacts on Society	High	Occupational Health & Safety	High	
					Training & Education	High	
			Local Communities	High			
			Compliance	High			
	Biodiversity	Low	Indirect Economic Impacts	Low	Materials	High	
	Moderate Importance to Stakeholders			Products & Services	High	Energy	High
				Transport		Emissions	High
Environmental Investments				High	Compliance	High	
Environmental Grievance Mechanisms				High	Labor/Management Relations	High	
Diversity				High	Labor Practices Grievance Mechanisms	High	
Equal Pay for Women & Men				Low	Forced or Compulsory Labor	High	
Supplier Assessment for Labor Practices				High	Human Rights Grievance Mechanisms	High	
Non-Discrimination				Low	Anti-Corruption	High	
Product & Service Labeling				High	Customer Health & Safety	High	
Marketing & Communications				High	Customer Privacy	High	
				Product Compliance	High		
Procurement Practices				Low	Market Presence	Low	
Human Rights Investments	Low						
Security Practices	Low						
Indigenous Rights	Low						
Human Rights Assessments	Low						
Supplier Human Rights Assessments	Low						
Public Policy	Low						
Anti-Competitive Behavior	Low						
Supplier Assessment for Impacts on Society	Low						
Low		Moderate		High			
less <----		Importance to Company		----> more			

Key 1:

- Economic Aspects
- Environmental Aspects
- Social Aspects

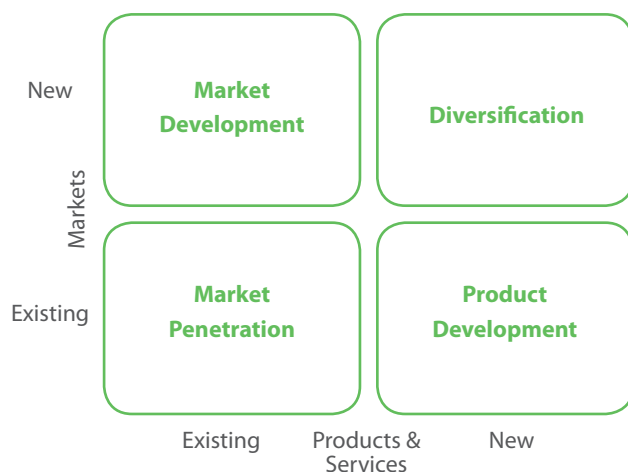
Key 2:

- Aspects boundary within the organisation.
- Aspects boundary outside the organisation.

Goals and Strategies

Our Growth Strategy

Our growth strategy is based on a mix of market penetration, market development and new product development. As the current leader in Aluminium products in Sri Lanka, our long term growth is mainly dependent on market development strategies and new product developments. Over the next three to five years, we plan to target new export markets and new demographic segments for growth, supported by attractive new products. In Sri Lanka, our largest market is currently the commercial construction market, which accounts for nearly 70% of total revenues. The private/residential housing market is an emerging market that we hope to develop in the next couple of years.



Market Penetration: Existing Products and Existing Markets

During the current financial year, we continued to implement our market penetration strategy to increase revenues by promoting the available Alumex product portfolio among existing markets.

We accomplished the appointment of new dealers and strategically relocated our regional warehouses to push the product deeper into markets. This was strongly supported by ATL and BTL promotional campaigns launched by the company throughout the year.

Plans for 2016/17

- Capacity improvements with advanced technology-based machinery to cater to the rapidly growing demand.

- Open new dealerships and regional warehouses to enhance the availability in the market
- Launch the Alumex tested Windows and Doors System to the housing and high-rise building construction market in early 2016/17. Alumex designs are tested by internationally accredited organizations and will have a competitive advantage over the imported tested system, on pricing, availability and its excellence in architectural designs and performance.
- Focus on garnering international accreditations to enhance local and international credibility and build customer confidence. In the new financial year, we will obtain the Qualanod certification, in addition to SLS certification.

Market Development: Sri Lanka's Residential Housing Industry

Although the commercial construction industry uses Aluminium extrusions extensively for interior and exterior walls, cladding, windows, doors and partitioning etc., Aluminium extrusion products are currently not widespread among the residential housing industry in Sri Lanka. Alumex has initiated a strategy to tap into this growing housing market with a new product range under the 'Lumin' brand.

- Push and pull strategies will be unrolled in 2016/17. These include:
 - Promotional campaigns to dealers, fabricators and end users
 - Three dedicated "Lumin Concept Centres" will be opened in strategic geographic locations.
 - Customer awareness and fabricator training sessions on new advanced products such as "Lumin" and tested systems
 - Introducing advanced technology to improve quality of Aluminium fabrication in Sri Lanka.
 - Introduce technical and service guides to the market.

“Lumin Concept Centres”

The construction industry is rapidly moving away from wood products due to the scarcity, high cost and higher maintenance requirements of wood. However, Aluminium is still a relatively new product and customers have little knowledge about its functionality and durability. They are also unaware about the versatility available to them with Aluminium windows and doors, with features such as longevity, aesthetic value, safety, economical, convenience and many designs to choose from with modern architects.

Therefore, to provide a hands-on experience of Aluminium products and build consumer confidence, it is necessary to showcase all the latest Alumex Window and Door Systems, with recommended accessories, in one location. The “Lumin Concept Centres”, that will be strategically located across the island, will support the overall Alumex growth strategy by promoting Alumex products to both existing and new market segments.

We hope to establish “Lumin Concept Centres” in selected major cities of the country within the next five years.

The design centers will also provide additional customer support services such as shop drawings, details of fabrications, bill of quantities (BOQ) recommend fabricators and site visits on requests.

Market Development: Export Markets

We are currently exploring the possibility of exporting to the SAARC region. With our capability to manufacture our own Aluminium Tested Systems, we now have the ability to expand into the Asian region.

Plans for 2016/17:

- Explore possibility of exporting to Australia
- Establish a dealership in Bangladesh
- Expand distribution in Maldives
- Open up new dealerships and expand in South India

New Product Development

Our New Product Development Division continues to engage in process improvements with environmentally friendly standards and enhanced product quality to meet customer requirements and also to conform to new and more stringent environmental and other product quality standards set by regulators such as the Institute for Construction Training and Development (ICTAD), the Sri Lanka Standards Institution (SLS) and other relevant international organizations.

During the current year, new environmentally-friendly chemical systems were introduced to the anodizing process. Further, new Alumex and customer dies were designed and tested. Most of the orders for these designs were completed and delivered within the year.

Plans for 2016/17

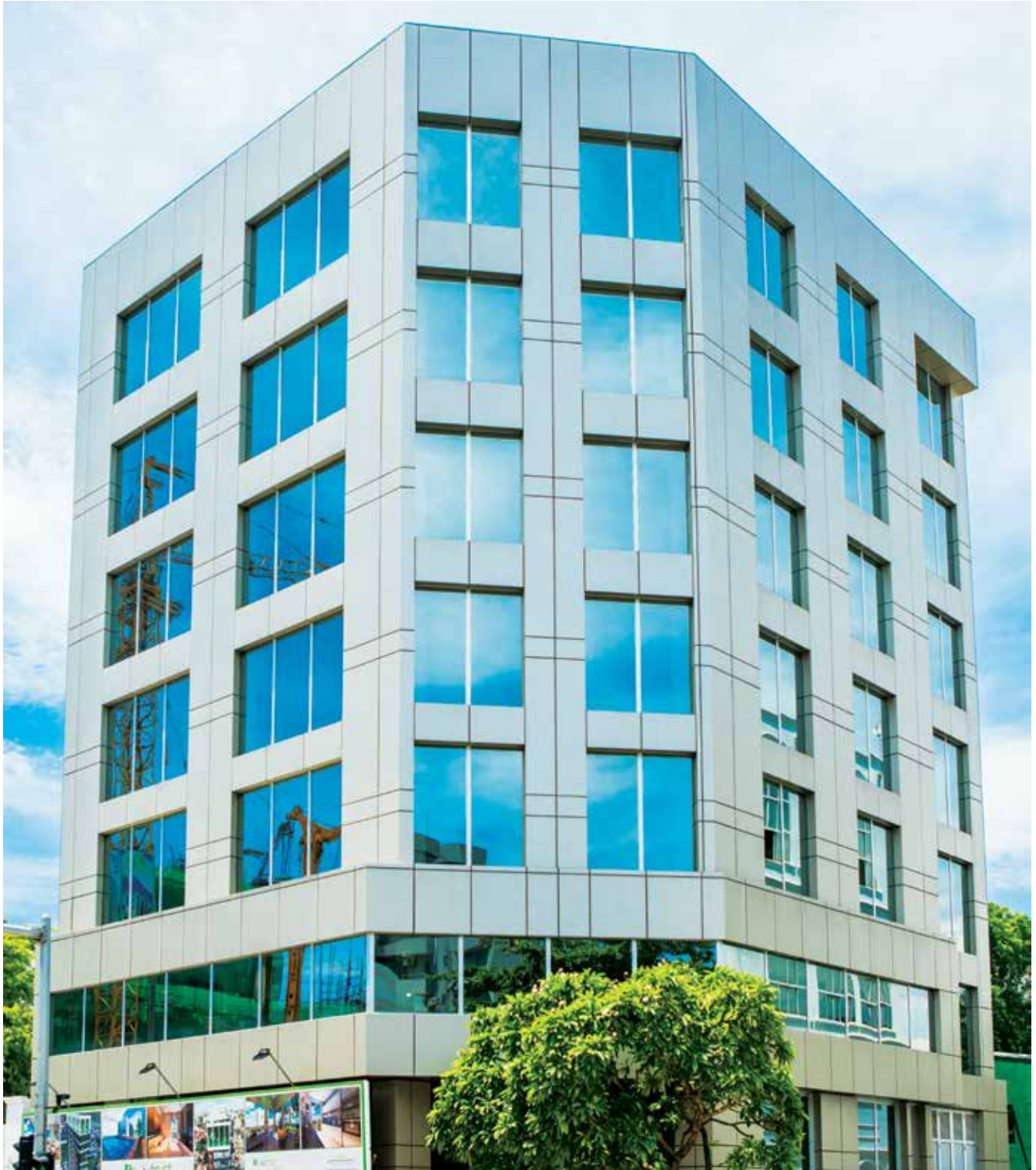
We hope to introduce many new designs under the Alumex Windows and Door System. These include:

- Launch of high performance, tested Facade/Curtain Wall systems to the Sri Lankan market
- An advanced sliding window/door series with single/ double glaze options and high performance ratings
- An advanced casement series with single/ double glaze options and high performance ratings
- Technologically improved Screen door (sliding and swing)
- New series of Balustrades

Centralized Warehousing

We have commenced the development of a centralized warehousing system to enhance logistical efficiencies and increase our customer responsiveness. The design and construction of the new warehouse is currently in progress and expected to be completed by end 2016.

Management Discussion and Analysis



Overview of Aluminium Industry



The Aluminium Story

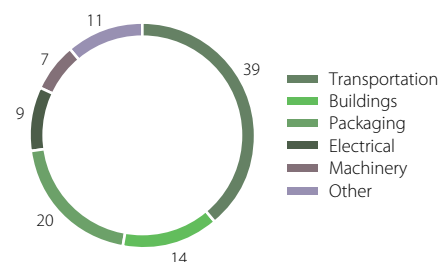
Aluminium has evolved over many decades as a precious metal. It is non-ferrous, soft, lightweight and durable in nature. Its low density, ductile recyclable and resistance to corrosion make it a very important metal used in various sectors such as the electrical power (as wires and cables), automobile, railway, aviation, telecommunication, building and construction, agricultural, engineering, chemicals and packaging industries. Aluminium metal is used to make alloys, castings, flat rolled products, extrusions, wires, cables, pipes and so on. Aluminium products can be distinctly divided into two categories: primary metal and semi-fabricated products.

Aluminium is extracted from Bauxite in a two-stage process in the production of primary metal. In the first stage, Bauxite is refined into Alumina and in the second stage, Alumina is smelted through electrolysis process to produce pure Aluminium metal. This is subsequently alloyed to industrial grades.

The Aluminium metal is then converted into ingots, wire rods, or is cast into logs, billets or slabs for further processing into semi-finished products such as sheets, foils, rods, and extrusions.

Aluminium is extensively recyclable because less energy is needed to produce recycled aluminium than to extract Aluminium from its ore. Recycling requires limited resources and less energy, so it causes less damage to the environment and positively contributes to environmental sustainability and a green economy.

Industrywise Aluminium Usage



Overview of Aluminium

Industry

Aluminium price was on an upward growth trend during the beginning of 2015. After May 2015, started falling and reached the lowest in November 2015 since year 2009.

Global Aluminium Industry

Aluminium is a global industry. The prime source of Aluminium, Bauxite, is mined in countries such as China, Russia, Australia, South America, India and Africa, with alumina plants operating across the world including in Russia and Eastern Europe.

By 2015, China was producing over half the world's aluminium (roughly 24 million metric tons) and over 14 times as much as the US [Source: US Geological Survey, 2014 Minerals Yearbook and Mineral Commodity Summaries, January 2016]. Chinese aluminium makers may add more capacity this year than the rest of the world combined, giving them an increasingly important role in the global market.

There were challenges and opportunities aplenty for the global Aluminium industry to grow and innovate. The year was challenging for the entire metal market including aluminium and producers struggled hard to cope with the tough market. The consumption scene was more or less promising because of consistently growing end-user demand.

LME aluminium price was on an upward growth trend during the beginning of 2015 and it continued to rise till May 2015 (\$1919 per ton). The same trend was seen in case of SME aluminium price which kept rising till April 2015. Both prices started falling and reached the lowest in November 2015 since year 2009 with the overflow of the metal (mostly produced in excess quantity by the Chinese smelters) to the market.

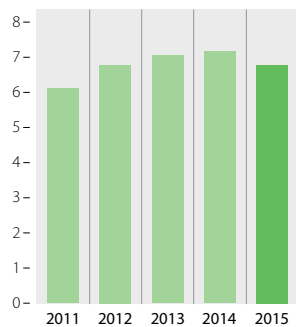
The year also started with a very high premium range of about US\$500 per ton over LME cash price in US and Europe and around US\$425 per ton in Asia. However, US aluminium premiums started trending downwards since February 2016, the reason for which has been cited as rising imports putting pressure on the demand supply balance in the domestic market and the new LME rules that forced excess inventories out of warehouses. The spot aluminium premium for UK and Asia too come down due to the fact that premiums tend to equalize globally and a drop in one region encourages a drop in another. Hugely raised aluminium premiums finally had a sharp fall over 2015 to a level of US\$200 per ton in US and Europe and about US\$200 to US\$350 per ton in Asia.

Sri Lanka's Aluminium Industry and Alumex

The Aluminium Industry in Sri Lanka has been backed by the growth of the construction industry during the past few years. The construction sector growth in Sri Lanka recorded 7% (revised) growth in 2014, which has declined to negative 1% in 2015, due to temporary slowdown of development projects triggered by the change in government. However, the future prospects of the construction industry will lead to further growth in the aluminium market in Sri Lanka. The 2016 government budget has provided relief and opportunities for the Construction industry, such as elimination of Construction Industry Guarantee Fund Levy to encourage small and medium scale contractors, tax exemptions for the construction companies on the income generated outside Sri Lanka who seek overseas markets for their products and training programs for labor force, especially the Aluminium fabricators, to fulfill the increased skilled labor demand. These will support construction sector growth further.

Working with aluminium is an art. Alumex has become the most professional artist to deliver that art with more than 25 years of experience in the aluminium industry of Sri Lanka. Alumex develops and manufactures aluminium extrusions for an extensive range of applications such as fabrication of doors, windows, shop fronts, curtain walls and other specialized commercial applications using local industry expertise. We provide our customers products which always meet international standards, offering a vast array of architectural, residential and industrial products made available through our national retail distribution network. The market performance of Alumex has been accelerated by the increased demand for our products due to various factors such as scarcity

SHARE OF GDP



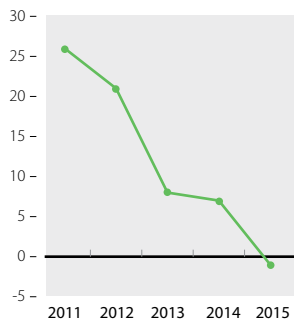
and increased prices of timber resources and trends towards green building and sustainable architecture.

Factory Industry Production Index

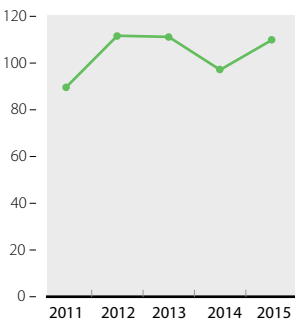
The Factory Industry Production Index (FIPI) calculated by Central Bank of Sri Lanka based on the monthly industrial production survey measures the quantity of output in the factory industry - shows the fabricated metal products classification, which includes the factory production of aluminium extrusions manufacturing.

FIPI Index calculated for fabricated metal products category shows 13% growth in the production by taking index to 109.8 points (provisional) in 2015 from 97.1 points (Revised) in year 2014.

Construction Sector Growth
(At Constant 2010 Prices)



Factory Industry
Price Index (FIPI)



Operating Environment

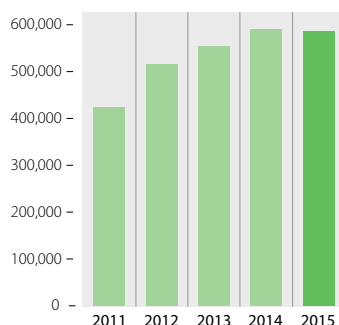
Macro economic aspects such as economic growth, interest rates, inflation, exchange rates and the other political, regulatory and social activities affect the performance of the group. The 2015/16 year was overall a challenging year from this perspective.

Economic Growth Rate

The Sri Lankan economy has recorded a 4.8% GDP growth in 2015 and is on par with the 4.88% GDP growth of 2014, which was restated in 2015. Although the country's economy has not grown significantly, it has not adversely affected the Alumex Group's primary interest of supplying Aluminium extrusions as a material to industries such as construction of houses, and buildings and infrastructural development projects due to its better utilization of production capacity and favourable commodity prices in the world market.

In comparison, the agriculture sector recorded a growth of 5.5%, while service related activities showed a growth of 5.3%. Industry related growth also showed an increase in growth 2.7% during 2015.

**GDP of Construction sector
(In Rs.Mn)**



GDP from construction in Sri Lanka is Rs. 584,999 millions in 2015 (based on 2010 constant prices - 2015 CBSL Annual Report) which indicates a negative growth of 1% compared to the GDP from construction in 2014 which is Rs. 590,111 millions in 2014.

Interest Rates

Due to the strong balance sheet and lower gearing, Alumex's business performance was not materially affected by the lower interest rates prevailing in the market during this financial year. AWPLR, which was 6.26% at the beginning of the year, had further increased to 7.4% by year end (Dec -2015). Even with this marginal increase in AWPLR, private sector credit lending increased. Most of the users of our products often fund their investments through borrowing and therefore the increase in private sector lending was favorable to Alumex despite the slight increase in AWPLR.

Inflation

The inflation rate has been decreased during the year, recording 2.2% in March 2016 compared to 3% recorded in March 2015. This lowered inflation rates impacted us favourably, since domestic consumers could increase their real income and their savings after spending on their household consumption. Subdued commodity prices gave way to inflation to hover in negative territory during July-September, 2015 and this was the first time that inflation turned negative since March, 1995.

The reduced prices of electricity, industrial and consumer fuels at the end of the previous year continued during the year too, putting less pressure on the real income of people. As a result, more demand from house builders arises due to decreased inflation.

Exchange Rates

Most of our imports are denominated in US dollars and Euros; the relatively stable or favorable exchange rates will create a positive influence on our business. The rupee, which remained broadly stable during the first eight months of the year, depreciated at a faster pace from early September with the Central Bank's decision to allow greater flexibility in the determination of the exchange rate, based on market forces. Accordingly, the US dollar, which was Rs. 134.70 per dollar at the beginning of the year, was closed at Rs. 146.78 at the end of the financial year 2016, showing 9% depreciation of the main currency.

This move certainly would have made the imported material prices more expensive than the previous year. But this adverse impact on Alumex operation was mitigated with the reduction of aluminium commodity prices in the world market, allowing Alumex to remain within the previous prices and cost levels.

External Sector

Exports are expected to record US Dollar 10.5 Billion for 2015 a considerable decrease of 8% compared to last year value of US Dollar 11.4 Billion. Imports are expected to be a total of US Dollars 22.02 Billion in 2015, a significant growth of 14% over the previous year. Increase in consumer goods and investment goods were identified while imports of intermediate goods have been declining during the year.

Political and Regulatory Environment

Changes in the political and regulatory environment were not favorable during the year. With the change of the government in the previous year, most of the government-funded construction projects slowed down and is yet to see a return to the average construction industry growth rate. As a result, construction material sector contribution to GDP reduced marginally.

Implementation of Super Gain Tax indicated previously was a substantial blow to Alumex. It demanded payment of taxes relating to previous year's profits, which created significant challenges in funding such payments in a situation where the funds generated had been already invested in projects and used for the distribution of dividends.

The regulatory restrictions and limitations on processing Aluminium extrusions for export orders on time continued to affect Alumex causing a significant drop in export sales compared to previous years.

However, several initiatives introduced by the government with the budget proposal will be more favorable to the development of the Aluminium Industry. The program to train new fabricators will certainly enhance the quality of the Aluminium industry. The Megapolis development project rollout and the re-launch of the Colombo Port City project will promote growth in the construction industry with a more favorable impact on the Aluminium extrusions industry.

Social Environment

Social environmental factors such as changes in lifestyles, demographics and consumer attitudes and brand image have positively affected the business of Alumex.

Consumers' attitudes towards environmentally-friendly products have created a wide market acceptance for Alumex products. The Woodex range of Alumex has been able to replace the use of timber for residential and commercial building construction.

The strong brand image of the Alumex products, in terms of durability, high quality and features can be considered as a competitive advantage for Alumex.

Closer attention to the implementation of environmental protection initiatives will certainly be favorable to the country as a whole and at the same time will create demand for aluminium extrusions which are 100% recyclable.

Outlook

The Sri Lankan economy is projected to grow at a rate of around 5.7% in 2016, with all sectors contributing to this growth. Moderate interest rates, subdued inflation, narrowed current account deficit, new government economic policies and global economic recovery should enhance overall consumer and investor confidence in Sri Lanka in 2016. However, the construction industry is yet to recover from the recently introduced constraints and is expected to regain its growth momentum.

The trend of urbanization, which is more visible in other countries with higher percentages, is slowly picking up in the country. The new Megapolis development plan together with urbanization will bring substantial growth to the construction industry during the next couple of years. This is expected to create a demand which is over and above the existing growth for commercial construction. The revamp of the Colombo Port City project will be another plus point for the construction industry. Successful implementation of these projects will certainly exceed the current capacity of the industry and it will be a challenging task for the regulators and the industry players to meet these expected future demands.



Financial

Capital

Liquidity

Liquidity position of the company has increased continuously as is evident by the working capital ratios and the bank facilities negotiated by the company to fund its operations.

The availability of funds and the efficient use of them in creating value addition for a Company is vital in any successful business. Alumex has been successful in generating required funds for its growing business needs and managed them effectively thereby generating sustainable returns to all of its stakeholders.

The following table summarizes the success in financial capital management

Criteria	Performance indicator	31.3.2016	31.3.2015	31.3.2014	31.3.2013	31.3.2012
Capital structure	Debt : Equity (%)	0.2 : 99.8	1 : 99	4 : 96	15 : 85	34 : 66
	Cash flows from operations (Mn)	494	482	301	403	130
	Dividend payout ratio (%)	51	63	40	38	15
Liquidity	Current assets ratio	1.90	1.72	2.12	1.38	1.05
	Quick assets ratio	0.84	0.75	1.08	0.67	0.57
	Finance facilities - LC and import loans (Mn)	1,620	1,390	700	700	700
	Finance facilities - Bank OD (Mn)	310	270	102.5	102.5	102.5
	Finance facilities - long term loans (Mn) Stand by	300	310	200	-	-
Solvency and reserves	Interest cover (Times)	948	220	48	9	3
	Net reserve position (Mn)	1,615	1,406	1,163	951	675
	No of financial institutions providing funds	6	5	4	4	4

Alumex has been successful in funding its organic growth over the last few years with internally generated funds except for the capacity improvement project which was funded using externally sourced equity capital in 2013/14. Further, bank borrowings have been retired with internally generated earnings creating a strong financial position which in turn provides the company with the freedom to fund its future expansion projects with debt capital which will lower the weightage average cost of capital to the company.

The Liquidity position of the company has increased continuously as is evident by the working capital ratios and the bank facilities negotiated by the company to fund its operations. The number of financial institutions including banks that the company deals with in order to source its funding requirements is increasing, indicating the strength of financial stability and solvency.

Financial Review

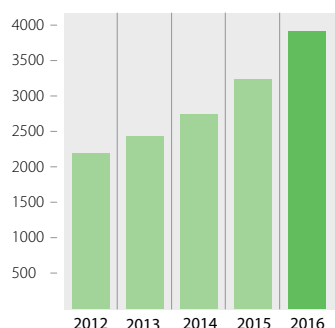
Revenue

Alumex surpassed all its previous performances to record yet another solid financial performance for the year under review. These results exhibit the potential of Alumex to create value for its stakeholders in the years to come. The year's performance was a further improvement over the excellent results recorded in the previous year. The Group revenue grew by 21% (2014/15-18%) year on year to a record high of Rs. 3.9 billion during the financial year 2015/2016 (2014/15- Rs. 3.2 bn). Improved revenue was supported by continuously increase demand in the Powder Coated Aluminium segment and the revenue emanating from the sub segment of "Lumin concept" which was launched at the end of the last financial year, targeting the residential housing market. The Group export revenue has dropped from Rs. 17 mn in the preceding year to Rs. 6 mn in the year under review, due to

Financial Capital

the regulatory limitations created in processing export orders. The Group is taking necessary steps to counter these threats and will continue to focus on this segment.

Group Net Turnover

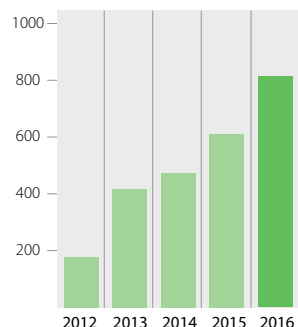


Earnings Before Interest and Tax

The gross profit of the Group recorded a growth of 31% as compared to the last financial year while increasing the gross profit margin of the Group to 30 % from 28% of the preceding financial year. Reduction in raw Aluminium prices in the in the global market and improving operational efficiencies in the manufacturing plants along with Group's collective cost reduction initiatives have helped to achieve this highest gross profit margin in the reporting year.

Group EBIT increased 33% to Rs. 813 mn during the financial year supported by revenue expansion, despite the reduction in other income. Administration expenses increased by 17% mainly owing to annual inflation and increased staff cost. Distribution expenses

EBIT



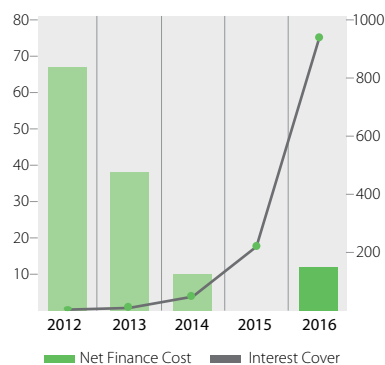
also increased by 54% in line with revenue expansion and promotional expenses, also increased due to advertising expenses incurred for "Lumin" brand development campaign.

Net Finance Cost and Interest Cover

The net finance cost of the Group has increased to Rs. 12 mn as compared to Rs 1 Mn of net finance income recorded in the preceding year. Despite the further reduction in long term loans and interest income earned from call/fixed deposits, net exchange loss of Rs. 21 mn due to the depreciation of the rupee against US dollar in the latter part of the financial year has contributed to this increase in financial cost.

The interest cover of the Group recorded 948 times and showed a continuing upward trend owing to the further reduction in the term loans of the Group during the year under review.

Net Finance Cost/ Interest Cover



Profit After Tax

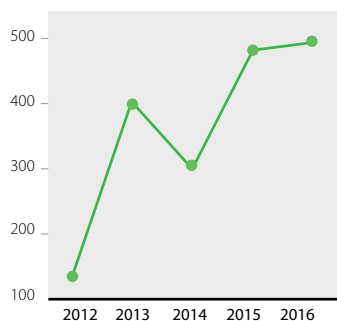
Group profit for the year increased 24% in comparison to 2014/2015 to a record high of Rs. 589 mn. Increased sales volumes and healthier gross profit margin contributed towards achieving this high profitability level for the year. The tax expenses of the Group increased by 56%, surpassing the growth in profitability mainly due to ceasing of the tax holiday period of one of the wholly-owned subsidiaries Alco Industries (Pvt) Ltd which was taxed at a concessionary rate of 10% in the year under review. Further, the tax expenses include WHT paid on subsidiary company dividend payments and additional taxes resulted in transferring some properties between the parent and a subsidiary company looking for future tax savings.

45%
ROCE

Cash Flow and Liquidity Position

The efficient management of working capital continues to be a management prerogative and receives close attention of the top management. Increased business volume of the Group resulted in a stronger cash flow generation during the year. The Group's net cash flow of operating activities is up by 2% to Rs. 494 mn during the review period. The Group debtors' position has increased in line with revenue expansion and the creditors has decreased due to early settlement of import payments to avert the risk of further depreciation of rupee against the US dollar. As a result, Group current ratio increased to 1.90 times in the reviewed period from 1.72 times in previous year. Inventories as at year-end increased to Rs 862 mn compared to the Rs 765 mn in the previous year, facilitating the future sales demand.

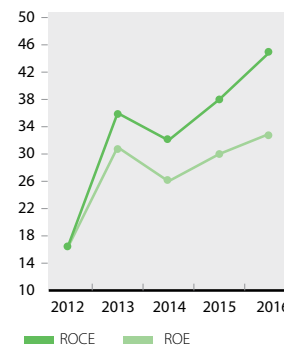
Cash from Operations



ROCE and ROE

As a result of growth in profitability, both ROCE and ROE continuously maintain the upward trend. ROCE has increased to 45% from 38% in the previous year. Despite the increase in the taxes (discussed in the PAT), ROE has increased to 33% from a ratio of 30% in the previous year.

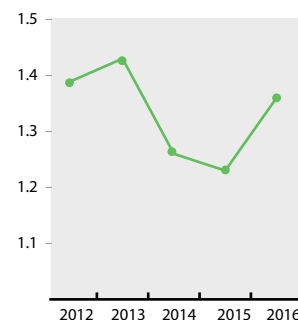
ROCE/ROE



Asset Turnover

The declining trend in generating economic returns from the fixed assets in the previous years named as asset turnover has been converted to an upward trend during the review period. The Group asset turnover has increased to 1.36 times from 1.23 times in the preceding year. The same trend is shown in non-current asset turnover ratio, as it increased 2.94 times in the year under review from 2.51 times in the previous year. Further, the Group has spent Rs.142 mn as capital expenditure in the year on purchasing and upgrading plant and machinery, and adopting newer technologies to meet future demand.

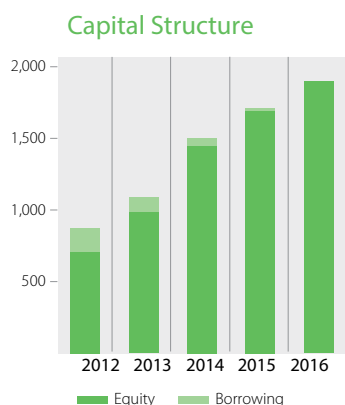
Asset Turnover



Financial Capital

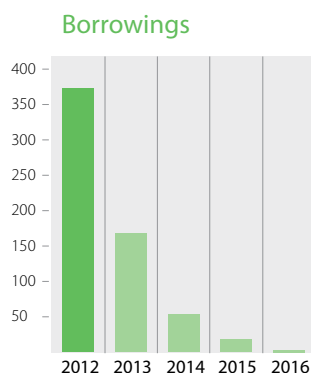
Capital Structure

An improvement in Group's Capital structure towards the less risky equity capital was seen, with increase in equity holders' share and further reduction in long term borrowing. Equity fund accounted for almost 100% or Rs. 1,898 mn of the Group capital employed at the end of reporting period. The Group did not require major borrowing source for ongoing investments due to the equity infusion through IPO in 2014 for the expansion project.



Borrowing

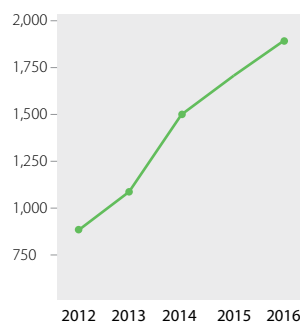
Borrowing profile of the group further decreased, presenting outstanding debt as at 31st March 2016 as Rs. 3 mn (2013/14- Rs 18 mn), details of which are given in note 16.2 to the financial statements. Further, the improvement in cash generation from operations has also contributed to minimal utilization of overdraft and no utilization of short term loan.



Gearing

The same declining trend continued in the gearing ratio, owing to further reduction in borrowing. The Group gearing ratio stood at below 1% at the year-end, which has provided a platform to negotiate better interest rates and new financial facilities from bankers for future expansion projects.

Gearing

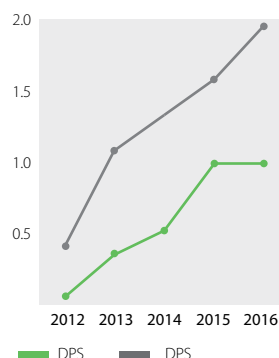


Earning Per Share (EPS) and Dividend Per Share (DPS)

In line with improved performance, EPS of the Group has increased during the year under review. The EPS increased by 24% to Rs 1.97 per share from Rs 1.59 in the previous year, while the DPS maintained the same level of Rs. 1.00 per share. Accordingly, dividend payout ratio declined by 19% to 51% in the current year from 63% in the preceding year.

However, the Board has recommended a final dividend of Rs 0.45 per share, totalling to Rs. 1.20 dividend from the profits of the financial year 2015/16.

EPS/DPS



Solvency and Reserve

Section 56 of the Companies Act no 07 of 2007, requires that a solvency test be performed prior to the payment of dividends. In order to satisfy this requirement, the Company conducted solvency tests prior to the payment of interim and final dividend for the financial year 2014/15 and the payment of interim dividends in the financial year 2015/16. As per the requirements of the above Act, prior to the payment of dividends, the Company Auditor certified that the Company has the ability to pay its debts as they become due in the normal course of business, and that the value of the Company's assets is greater than the value of its liabilities and stated capital.

Following is a computation of solvency criteria for the Company as at the year end.

As at 31 March	2015/16 Rs. 000'	2014/15 Rs. 000'
Non-current assets	1,141,782	1,171,753
Current assets	1,320,795	1,019,570
Total assets	2,462,577	2,191,322
Non-current liabilities	158,502	156,689
Current liabilities	820,152	769,519
Total liabilities	978,654	926,208
Assets less liabilities	1,483,923	1,265,115
Stated capital	283,735	283,735
Net position	1,200,188	981,379

Financial Strength

As at year-end, the Group comprises below financial facilities from the local and international bank for its import and working capital requirement. Interest rate and commission for these facilities are reviewed periodically, while rates changes on facilities are determined based on market rates.

Rs. 1.97
Earning per share

Rs. 1.00
Dividend per share

Below 1%
Gearing

- Facilities for Letter of Credit and Import Loan - Rs. 1,620 mn
- Facilities for Bank Overdraft - Rs. 310 mn
- Facilities for Letter of Guarantee - Rs. 70 mn
- Standby long term loan facilities negotiated - Rs. 300 mn

Financial Risk Management

The risk elements affecting the financial operations of the Group in relation to Credit risk, Liquidity risk, Operational risk and the Market risk are duly explained in the note 29 to the Financial Statements and Risk Management section on pages 104 to 107. However, the main risk element substantially affecting the results of the Group in the year under review was Foreign Currency risk. The Group manages its Foreign Currency risk through the foreign currency forward contracts and by maintaining a minor amount of foreign currency dominated assets to hedge against liabilities.



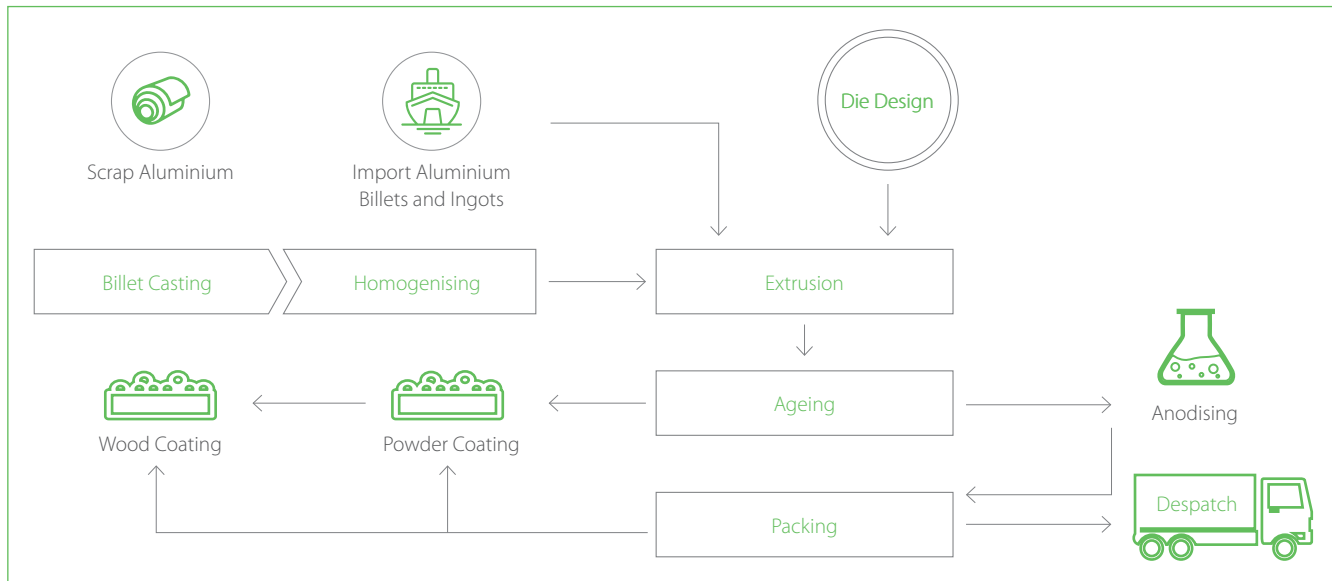
Manufactured Capital

Manufacturing Facilities

Include melting and casting, die manufacturing, extruding and surface coating profiles, to produce mill finished, anodized, powder coated and wood effect aluminium profiles.

Aluminium is a flexible metal that lends itself to many production methods, which in turn leads to the development of many different aluminium-based products.

Aluminium Production Process at Alumex



The production of aluminium extrusions start from a billet, which is cut either from a log produced in-house using scrap aluminium, or from imported aluminium logs. The extrusion process consists of forcing a heated billet through a die to produce a long profile. The die forms a crucial part of the process to provide the correct flow pattern and accurate dimensions. This profile is then stretched for straightness, and cut to length. The cut profiles are then aged at elevated temperatures to increase its mechanical strength. Once completed, the basic extrusion form of 'Mill Finished' is achieved.

Decorative/protective finishings such as anodizing, powder coating and wood finishes, are coated onto the surface of the Mill Finish profile, according to customer requirements.

Alumex Production Capacity and Utilization

Product/Plant	Capacity (per Annum)	Current Utilisation
Extrusion	12,000 metric tons	50%
Anodizing	5,400 metric tons	40%
Powder Coating	3,600 metric tons	70%
Wood Effect	360 metric tons	50%
Die Manufacturing	2,400 units	40%
Aluminium Melting	4,800 metric tons	40%

Manufactured Capital

The Alumex Group is renowned for its 27 years of industry expertise in designing and developing Aluminium profiles.

Factory Location

Alumex manufacturing plants are currently centralized in a factory located in LINDEL industrial zone in Sapugaskanda, Makola. A new centralized warehouse is being built in close proximity to the factory location to enhance logistical efficiencies and increase customer responsiveness.

Distribution Network

Alumex products are distributed through an exclusive dealer network widespread throughout the country. At present, the factory is the main distribution point for its dealers. Two Alumex owned outlets designated for both selling and distribution and three other regional distribution centres at Anuradhapura, Jaffna and Badulla cater to orders placed by the dealers in the respective areas of the country.

Main customer contact points - our dealers - are located in all nine provinces. During the year under review, 2 new dealerships were added to the network to increase the total dealer distribution point strength to 62 dealer points. Details of all such dealer points are detailed in page 184.

Alumex Product Portfolio

The Alumex Group is renowned for its 27 years of industry expertise in designing and developing Aluminium profiles. Alumex product innovations can be found in various industries, from architectural to engineering, including customized designs.

Product Range

As the undisputed market leader in Sri Lanka, Alumex has introduced many designs, concepts, and products to suit the local construction and engineering industry. Our product range is described below:

(i) Aluminium Proprietary Systems Manufactured Under License

- AluK, Italy
- Fletcher Aluminium, New Zealand
- Reynaers Aluminium NV, Belgium

(ii) Alumex Architectural Aluminium Extrusions (Window, Door, Partitioning, Skylights, etc)

- Shop fronts
- Partitioning
- Sliding doors/windows (single, double, triple, etc)
- Swing doors
- Curtain walls
- Casement windows
- Turn and tilt
- Sliding folding
- Pivoted
- Euro groove
- Double glazed
- Roller shutters
- Sky lights

(iii) Industrial Aluminium Components

We produce an extensive range of aluminium-based industrial components. These include ladders, lorry/bus bodies, rails, boat/ship buildings, show cases, hand rails, A/C diffusers, heat sinks, clamps and connectors, tower bolts, hinges, round tubes/bars, equal/unequal angles, channels, solar structures, square/rectangular tubes, glazing beads, brackets, tiles and carpet edgings, door handles, hand rails, components for pantry cupboards and customized designs to suit individual requirements



Decorative/Protective Finishes

Mill Finish products: This is the basic form of the extruded Aluminium profile, having a raw, smooth, Aluminium texture with mechanical strength properties and surface hardness. These are used widely for pipes and hardware items.

Natural Anodized products: An accelerated and controlled protective layer is etched on to the Mill Finish surface using an electrolysis process. This process creates a uniform satin texture. The clear sealing process adds additional durability to prevent scratch marks. Extremely durable for exterior applications including sea-side environments, particularly with a 'high-micron' coating.

Bronze Anodized products: Has the natural anodized finish with all the durability and surface characteristics. Various bronze shades are available depending on customer requirements.

Polished natural anodized products: A mechanical polishing process is performed on the standard Mill Finish profile to obtain a mirror finish. A light anodizing process is then followed to provide a long lasting durable and scratch resistant finish.

Polished Bronze Anodized Products: Has the basis of the polished natural anodized finish, with all the durability and surface characteristics. Various bronze shades are available depending on customer requirements.

Chemical Polished products: Profiles are submerged in a special chemical tank and a controlled 'electrolysis' process is performed to provide a fine smooth surface, which provides a mirror finish.

Powder Coated products: A polyester powder mixed with color pigments are ionized through a pressure gun and sprayed onto the chemically pre-treated mill finish profiles, which are earthed and hung on a conveyor. The profiles which pass through the polyester powder 'cloud' are then subjected to deposits of powder onto the profile in a controlled manner to give a uniform layer. This profile with the dry powder on its surface is then passed through an oven for curing. The cured colored powder provides a lush durable texture to the surface. Various types of powder and pigments provide a large range of colors, shades and gloss texture to choose from.

Wood Finish products: This is a powder coated profile with a base color to match the wood finish texture. The profile is then passed through an oven with a textured film and a print to match the grain structure of the selected wood finish coating. The cured powder coated profile with a texture and print of the grain structure is achieved through a process called 'sublimation'. This type of finish provides the woodex range of products.



Intellectual Capital

Tacit Knowledge

Tacit knowledge of Alumex employees provides a competitive advantage to Alumex in designing customer specific dies within a shorter period of time and manufacturing them to high quality standards.

The “Alumex” brand has an equity created over 27 years. Its new brand “Lumin” was introduced to the market during the year 2015

Value can be generated by intangibles but is not always reflected in Financial Statements. Traditionally, the only intangible assets recognised in the Financial Statements were identified as intellectual capital. Although it is still not possible to assign monetary values to most internally generated intangible assets, they nevertheless need to be considered as drivers of the value creation process of the Company.

Tacit Knowledge

Alumex has been in the business for over 27 years and leads the market with over 50% of market share. During this long journey, it has developed specific skills of designing and cutting dies for varied customer requirements. This tacit knowledge of Alumex employees provides a competitive advantage to Alumex in designing customer specific dies within a shorter period of time and manufacturing them to high quality standards.

Further, the expertise of Alumex staff in managing and improving production processes has resulted in improved yields over and above the industry standards.

Information System

Strategy formulation and implementation process of Alumex is backed by an Enterprise Resource Planning system – Microsoft Navision. The system is capable of processing receipt of a customer order to delivery of goods including all supply chain activities and generating financial and non-financial information for internal as well as external demands. During the year, the Company completed preliminary work for implementing another important module – manufacturing in this ERP system. Further, Alumex stepped forward to acquire licenses of a Business Intelligence tool which will be implemented in the coming financial year to support its decision making process.

Industrial Designs

In order to prevent copying of the unique profile designs Alumex has developed to suit the local environment, such designs have been registered under the Intellectual Property Act of Sri Lanka. These industrial design rights give a protection to its products and competitive advantage over others.

Alumex Tested Systems

During the year, Alumex tested 8 new Facade/Curtain Wall, Doors and Window Systems developed by Alumex under strict testing parameters in an accredited testing lab in Dubai to obtain certification for its new tested systems. This certification opens doors for Alumex to supply the high-rise building market which was mostly limited to international suppliers earlier.

Valuable Brands

Alumex owns two internally generated valuable brands. The “Alumex” brand has an equity created over 27 years. Its new brand “Lumin” was introduced to the market during the year 2015 and indications are that it is well accepted by the target markets.



Human Capital

HR Policy

Our HR policy encompasses compliance with all labor laws of the country and employee rights, including the right to unionize, and is aimed at facilitating a merit-based, non-discriminatory work environment.

At Alumex, we firmly believe that organizations are driven to utmost heights in their journey towards success by the precise decisions made through careful planning and analysis, and implemented perfectly by a set of people who are inspired by such organizations. As such, Human Resource (HR) Management is considered a key function at Alumex. Hence, Alumex gives utmost priority to any matter relating to Human Capital Management.

In an ever-growing competitive environment of sourcing and retention of quality HR, building loyalty and integrity amongst all employees, with a view to an extended tenure in Alumex remains a challenge. In response, we are grooming employees for the next level of operational excellence and at the same time managing to harmoniously blend various generations of employees. Our experienced workforce who have remained with us for long periods is one of the major reasons for our success. The talented pool of new generation employees have continually delivered well beyond expectations. These trained, experienced and talented employees have contributed directly towards Alumex retaining market leadership status in the industry while at the same time maintaining the superior quality of our products.

The HR management process is designed to recruit the right person for the right job, equipping individuals with appropriate tools and skills in order to deliver an optimum performance in a conducive work environment, while at the same time recognizing and rewarding them for their performance, thus preparing them for future challenges as their career progresses.

Our HR Policy

Our HR policy encompasses compliance with all labor laws of the country and employee rights, including the right to unionize, and is aimed at facilitating a merit-based, non-discriminatory work environment.

Equal Opportunity Employer

Alumex always ensures equal opportunities in the work environment while adopting a non-discriminatory policy in our recruitment process. However, our manufacturing activities tend to be male-dominated due to the nature of the business. Our manufacturing activities fall within the 'light engineering' category,

which involves lifting heavy loads and engineering equipment. Heavy manual activities discourage participation from women, although adequate safety measures are ensured and operational tools and equipment are used. This imbalance in the gender is countered to some extent through a greater representation of women in Clerical, Supervisory and Executive grades.

Gender Distribution

Category	Male	Female	Total
Executives	63	5	68
Clerical and Supervisory	80	14	94
Manual	304	0	304
Total	447	19	466

Salary Increments and Promotions at Alumex are merit-based and are implemented through a transparent process. While promoting internal candidates both laterally and vertically to fill vacancies, we also infuse new blood through new recruitments that are advertised in the newspapers and on the internet. We also provide opportunities for interns from various universities and technical or vocational training institutions. At the end of the internship period, those interns who are found suitable for permanent placements are directly placed in the available cadre vacancies.

The remuneration structure of Alumex is designed to reward and recognize knowledge, skills and expertise of employees and does not discriminate on the basis of gender, race, ethnicity etc.

No Child Labor, Forced Labor and Unethical Employment Practices

In principle, Alumex has taken a conscious decision to comply with all employment related regulatory requirements. This ensures compliance with employee rights and human rights. Therefore, we do not maintain or advocate any type of child labor, underage employment and forced labor.

We believe in the work life balance of our employees. Therefore, we attempt to provide a flexible, ergonomically sound and healthy work environment for all our employees and continually take measures to improve the work environment.

Human Capital

Industrial Relations, Collective Bargaining and Freedom of Association

We have ensured freedom of association in the work place and almost all of our Clerical, Supervisory and Manual workforce is unionized. The positive relationship maintained with the union over many years has built trust and understanding and benefited both parties. An open-door policy is maintained at all times for the branch union and employees, to facilitate communication across all levels. We are happy to record zero operational disruptions and zero losses due to industrial action, during the year under review. During the year under review we successfully finalized the annual salary increment negotiations with the branch union for our manual employees.

Value Added per Employee

Being a premier manufacturer in this industry, we have been adding value to our employees both in financial and non-financial terms. During the year under review, we offered competitive remuneration packages and introduced many welfare schemes in order to enhance the value created for them.

Description	2015/16 (Rs.)	2014/15 (Rs.)
Average remuneration per employee	48,434	42,379
Value added per employee	717,669	695,985

Our Workforce

The Alumex Group's workforce stood at 368 permanent employees and 98 casual employees as at 31st March 2016.

Total Manpower in the Alumex Group

DEPARTMENT	CATEGORIES								ACTUAL
	TOP MGT	SENIOR MGT	MIDDLE MGT	EXECUTIVES	CLERICAL & SUPERVISORY	MANUAL EMPLOYEES	PERMANENT TOTAL	CASUAL EMPLOYEES	
CORPORATE OFFICE	2			1			3		3
HR & ADMINISTRATION		1		3	12		16	2	18
PURCHASING			1	1	4		6		6
FINANCE / INVOICING / IT	1		2	6	7		16		16
LOGISTICS / DESPATCH			1	6	15	24	46	12	58
MARKETING / FABRICATOR TRAINING		2	3	10	8	4	27		27
PRODUCT DEVELOPMENT / QC			3	3	23	1	30	12	42
PRODUCTION		1	2	13	24	163	203	72	275
MAINTENANCE		1	2	3	1	14	21		21
TOTAL	3	5	14	46	94	206	368	98	466

Experienced Employee Base

One of our biggest strengths is our human capital. A majority of our employee base, at all levels, have an extensive knowledge and experience of the Aluminium industry. Human Capital has been a key factor in maintaining a competitive advantage in the market, and in maintaining market leadership and product quality consistently. The skill level and outstanding performance of our employees has directly contributed towards Alumex qualifying as an accredited manufacturer of Aluminium proprietary systems for two global leaders in the Aluminium industry, Fletcher and AluK.

Summary of Employee Experience

SERVICE GROUP	EXECUTIVE	CLERICAL	MANUAL	CASUAL	TOTAL
LESS THAN 01 YEAR	14	16	7	75	112
01 - 05 YEARS	15	26	54	23	118
06 - 10 YEARS	9	7	29	0	45
10 - 15 YEARS	5	14	49	0	68
16 - 20 YEARS	9	9	33	0	51
21 - 25 YEARS	4	14	29	0	47
26 - 30 YEARS	11	8	5	0	24
MORE THAN 30 YRS	1	0	0	0	1
TOTAL	68	94	206	98	466

Employee Breakdown by Age

Another significant aspect of our employee base is the age demographic. Although our employee base is experienced,

Human Capital has been a key factor in maintaining a competitive advantage in the market, and in maintaining market leadership and product quality consistently.

a majority are within the age bracket of 20-39 years. This age distribution allows the Company the flexibility for higher volumes and efficiency. We have succeeded in many new projects purely based on our expertise and commitment for quality and delivery, over other competitors in the market. We have placed our brand name among many mega construction projects in Sri Lanka. Another important factor in our age demographic is that 90% of our total workforce belongs to the age group from 20 to 50 years which is the most productive age limit for any industry.

Age Analysis

Our HR flow report shows our success in retaining existing talent and attracting new talent to the Company. While there is a slightly higher turnover in the Executive, Clerical and Supervisory grades, this is due to personal reasons and market influences

AGE GROUP	EXECUTIVE	CLERICAL	MANUAL	CASUAL	TOTAL	CUMULATIVE TOTAL	CUMULATIVE PERCENTAGE
18 - 20 YEARS	0	0	1	16	17	17	3.6%
20 - 24 YEARS	2	24	8	34	68	68	14.6%
25 - 29 YEARS	13	13	22	21	69	69	14.8%
30 - 34 YEARS	12	8	39	7	66	66	14.2%
35 - 39 YEARS	7	16	53	8	84	84	18.0%
40 - 44 YEARS	13	12	41	6	72	72	15.5%
45 - 49 YEARS	11	10	22	4	47	47	10.1%
50 - 54 YEARS	7	7	16	2	32	32	6.9%
55 - 60 YEARS	2	4	4	0	10	10	2.1%
MORE THAN SIXTY YEARS	1	0	0	0	1	1	0.2%
TOTAL	68	94	206	98	466	466	100.0%

Human Capital

We have taken steps to set up an internal technical resource pool in order to increase the competencies of our technical staff.

both locally and internationally. However, we have been able to retain our skilled manual employees through the years. The Company conducts an exit interview for all the employees who are leaving and key findings of the exit interviews are presented to the management for necessary corrective actions to mitigate the uncondutive factors of employment in the Company.

All recruitment activities are done through a careful pre-assessment and screening process. The Company has introduced a systematic, and unbiased recruitment procedure to attract the best match for the positions available. All new recruits are given an orientation and training, explaining the company policies, procedures, operational environment, ethics, working standards, safety and code of conduct etc. This is followed up with on-the-job training by the respective departments.

HR Flow

HR Flow (Permanent Cadre)

CATEGORY	1-Apr-2015	NEW JOIN	LEAVERS	31-Mar-2016
EXECUTIVES	63	19	14	68
CLERICAL AND SUPERVISORY	92	21	19	94
MANUAL	193	26	13	206
TOTAL	348	66	46	368

Employee Turnover

TURNOVER DETAILS

	2015 / 16	2014 / 15
Executives	21.2%	15.9%
Clerical and Supervisory	20.7%	9.8%
Manual	6.5%	3.6%
Company Total	12.8%	7.5%

Training and Development

We, at Alumex, believe training and development is an important area of HR Management. We have been gradually increasing the investment on training and development to add value to both employees and processes. During the current year, the company emphasized more on enriching the operational policy procedures, work standards and practices in line with ISO requirements and simultaneously enhancing employee knowledge of the same. Furthermore, we have taken steps to set up an internal technical resource pool in order to increase the competencies of our technical staff. We aim to be a pioneer in acquiring new technologies and regularly update competency levels of the technical staff in order to keep abreast with new technologies. During the year under review, we ensured 2,689 training hours through 62 training programs.

The Alumex training process starts with a formal identification of training needs on a yearly basis, along with the performance appraisal process. In addition to the said requirements, heads of divisions estimate their divisional training needs as well. All these training needs are taken into consideration in preparing the 'Company Annual Training Plan.' Alumex has a well-established training and development procedure and all the training and development activities are conducted in line with this mechanism. The system comprises a training evaluation and post-training assessment mechanism to measure effectiveness of the training. The training impact is assessed on acquiring and sharing of knowledge, exhibited shop floor initiatives, and behavioral / attitudinal modifications.

Being a knowledge-based entity, Alumex continuously strives towards gaining knowledge and a cooperative culture, by encouraging team members to pursue higher studies and professional qualifications, which the Company sponsors.

Statistics on Training and Development

TRAINING AND DEVELOPMENT

Category	Training Hours		
	Male	Female	Total
EXECUTIVES	1244.5	46	1290.5
CLERICAL AND SUPERVISORY	448	63.5	511.5
MANUAL	887	0	887
TOTAL	2579.5	109.5	2689

Performance Evaluation and Performance Management

Performance evaluations are implemented through periodic reviews accompanied by comprehensive feedback on performance and conduct, matched against set targets and realized levels of achievements.

Alumex has a well-established reward structure to recognize annual achievements of employees. This performance management system is applied across all grades of employees. A separate mechanism is available to evaluate the progress of employees on probation.

Professional leadership, not only in the senior management but also in the middle management and executives levels is equally important. During the current year, the monthly performance review meeting of the senior management team, covering all operations of the Company, was further improved to focus on objectives and follow up plans. The monthly plant performance meeting with department executives was further improved and now has become a learning and knowledge sharing platform for young executives who are running different departments. This forum has contributed towards increasing plant outputs through a systematic approach, by carefully analyzing the operational data.

Employee Welfare and Social Events

Alumex periodically reviews staff welfare services to uplift the quality of work-life balance amongst employees. Our welfare facilities include a dedicated first aid treatment center operating 24 X 7, a death donation scheme, employee loan schemes such as distress loans etc, meals at subsidized rates and gifts of school items to children of employees. The Company also provides a uniform for all operational employees.



The children of the employees who have successfully passed the grade 5 scholarship exam, GCE Ordinary Level exam with 9 Distinctions and those students qualifying for entering to national universities are awarded at the annual get together.

Employees who complete 25 years of service, are recognized at an annual ceremony.

We conduct many annual events to encourage employee friendship and team spirit, such as a family get together, "Shramadana" campaign, Wesak lantern competition, a staff cricket match, etc.

Workplace Improvement Meetings

Alumex recognizes and encourages employee participation in shop floor improvements. One of the most important events in the HR calendar is the workplace improvement meetings which are organized once every two months, with the participation of the senior management team. At this forum, employee representatives of different divisions are encouraged to raise workplace related issues directly with the top management. Solutions are discussed at the meeting and a member of the executive team is assigned to implement the agreed solution. The HR Department follows up on the progress and submits a weekly report to the senior management.

Human Capital



Employee Volunteer Initiatives Towards Society

During the year reviewed the employees of Alumex Group conducted a volunteer social service activity at the Viharamahadevi Home for Children at Biyagama. The activity rolled out throughout the day with the participation of many employees covering all the categories of employees and included a sramadana campaign to clean the entire premises of the home for children and supply of dinner for all the inmates there.

Human Resources Information System (HRIS)

A significant improvement to the HR management system was made during the current financial year, with the introduction of a web-based Human Resources Information System (HRIS). At present, the personnel information module and leave module for executives and shop floor employees, are in operation. The online leave system is operational for all executives. Bulk leave application through the HRIS is operational for non-executive staff. The HR Department is working aggressively to add the Time and Attendance web module to the system. The HRIS provides real time information to the plant management to facilitate efficient decision-making.

Employee Remuneration and Benefits

Alumex's salaries for non-executive grades are well above the statutory limits and annual salary increments are granted in a transparent manner for all employees, based on performance. In addition to the salary, non-executive employees are provided a cost of living allowance, production incentives, attendance allowances, shift allowance, shift productivity bonuses, etc. During the year under review, the management increased the attendance allowances and production incentive amounts with a view to getting a more productive output from employees and the company is reaping the returns of these increases. We ensure that remuneration and other benefits are in line with the industry norms and are competitive enough to attract and retain talent. Remuneration packages of the executives are on par with industry norms and are revised periodically based on market survey data.

Human Resources Climate Survey

During the year under review Alumex conducted an independent HR Climate Survey covering most of the areas under Human Resources Management with the participation of all the employee categories from top management to manual grade using both



Outsourced Services

Some non-core activities, such as security, tea services, cleaning and janitorial services have been outsourced. In addition, a relatively small number of outsourced employees are working in the manufacturing areas as helpers in non-routing and non-value added jobs. The company has taken adequate steps to ensure the legitimate rights of such external employees and monitors on a monthly basis regulatory compliance with respect to payments to outsourced employees.

quantitative and qualitative techniques including one-to-one discussions, several mini group discussions and a questionnaire survey. The independent survey was conducted by a reputed multinational corporation. The overall satisfaction index of employees at Alumex was found to be 67, which is higher than global manufacturing industry employee satisfaction standards. The survey highlighted several strong areas of Alumex and several activities and initiatives conducted by Alumex were commended by the employees. At present, the management is working on the recommendations of the survey and has already implemented some of the key issues.

Occupational Health and Safety

As employees are a primary resource, several measures have been introduced to ensure their safety, health and wellbeing. We work closely with the regulatory bodies in implementing our safety standards and we are happy to report that our progress on employee safety and health has been noted by the relevant authorities. We have provided all required personal protective equipment to employees. A Safety Committee has been established under the leadership of a 'Safety Champion.' The Committee comprises representatives from all employee levels.



Social and Relationship Capital

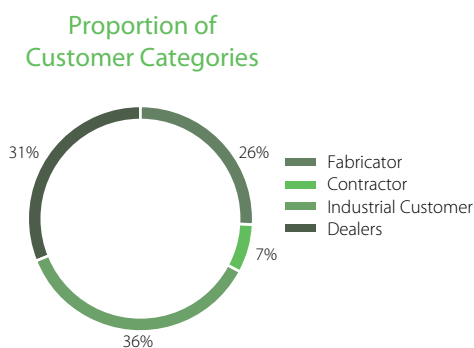
Sustainability

Our aim is to make a positive impact on the community through sustainable initiatives that bring about long term benefits.

Customers

We have classified our customers into four primary categories, ranging from individual to business and government entities. We employ different marketing strategies to target these customer categories in an effort to retain them. The customer categories is shown below:

Alumex customer categories as at March 31st 2016

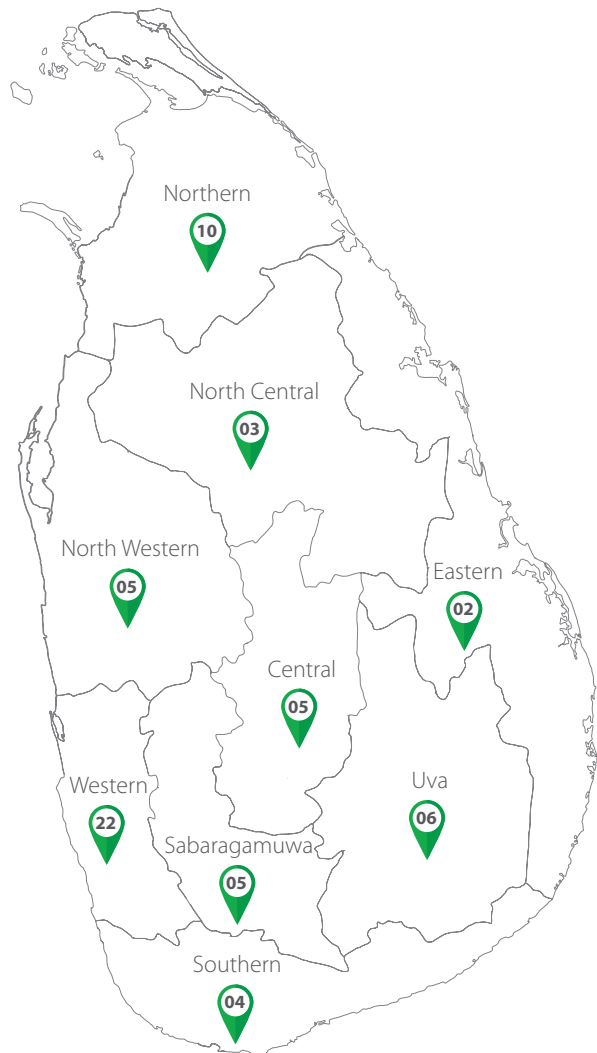


Dealers

By end of the financial year, Alumex has appointed 62 exclusive dealers in all the nine provinces in order to serve consumers such as fabricators, contractors and end users and provide after sales services. The dealers are the stockists of the Company. They stock accessories and hardware required to complete fabrications, along with Alumex Aluminium profiles for assembly of the final products. Alumex products are supplied to the national dealer network through Alumex distribution centers located in Makola, Kotte, Anuradhapura, Badulla and Jaffna in addition to the factory warehouse in Sapugaskanda.

Fabricators

Fabricators are the customer group that will fabricate and install the profiles to make final products, such as doors, windows, partitions curtain wall systems, and proprietary systems etc. and take the Alumex range of products to the end user. There are over 12,000 fabricators who purchase profiles from our exclusive dealer network to serve their customers, end-users, the contractor and so on, island-wide. Some of them are specialized in product segments such as facades, high-rise buildings, housing sector and external wall cladding systems. Alumex provides shop drawings and technical support for fabricators to deliver a quality certified product to end-users.



Note: The detailed distribution system is shown in pages 184 to 185

Contractors

Alumex values contractors as one of the key customer segments of the Aluminium market, who have a good influence over the brand to be used for projects they execute. The majority of the C1 category contractors who cater to the large scale project market are based in the Western Province, with one in the Southern Province and another in the North Western Province. While some contractors have in-house fabrication facilities, many still like to subcontract the fabrication work to specialized fabrication companies. It is important to understand that Aluminium work is within the contractor's total contract sum and, therefore, in most

Social and Relationship Capital

Alumex was the strategic sponsor of the 'Architect 2016' exhibition held in February, at the BMICH

of the cases, they decide the brand to be used for the project at the tender stage. Contractors have recognized the quality of Alumex profiles and recommend it to their clients with confidence. We have supported them with required quality certificates and other material necessary to compete with local and foreign competitors.

Industrial Customers

This customer category specializes in a particular industry and our industrial customers include manufacturers of air conditioning diffusers, solar power systems, heat sinks, components for the advertising industry, lorry and bus bodies, ladders, pantry cupboards, clamps, connectors and hinges and so on. This segment provides different services to diverse industries in Sri Lanka. Most of these customers require exclusive designs and Alumex is equipped to cater to their needs with advanced die designs and a manufacturing center. At present, Alumex have over 400 exclusive profile designs to cater to different industries requirements. Manufacturing these industrial profiles at Alumex will help the industries grow and save millions of rupees on importing such designs.

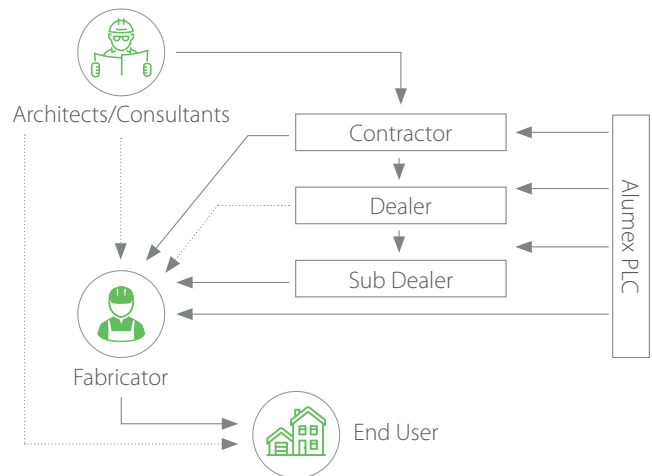
Market Structure

We manage the above-mentioned channels by designing and carrying out appropriate marketing activities such as advertising, sales promotions, trainings, seminars, sponsorships, exhibitions and other services. The interaction within the total process from the point of manufacture by Alumex, to end user, is depicted in the following diagram.

Operational Markets

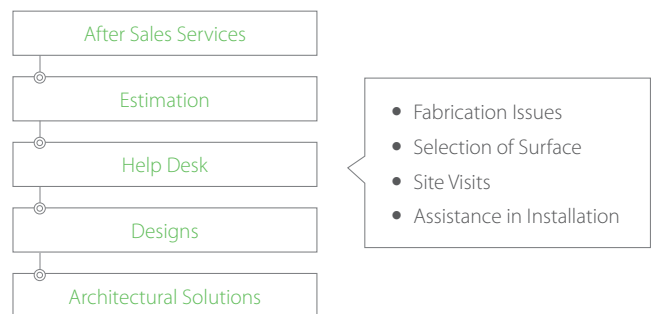
Our primary market is the domestic market, which covers modern house builders and commercial building markets, such as high rise condominiums, office complexes, factories, schools and hotels. Alumex continues to export to regional markets such as the Maldives and India, which are our secondary markets.

Market Structure



Customer Services

This is one of the key factors for Alumex to retain and grow its customers during the span of 28 years. Alumex strives to provide an ongoing support system for customers including pre and post-sales support. Our support services include but are not limited to, shop drawings based on customer drawings/sketches, site visits irrespective of project location, and necessary support for high quality fabrication. Alumex provides the same level of service whether it is an individual, a government body or a large scale contractor, fabricator or even end-user.



Lumin Concept Center

Overcoming one of the longstanding drawbacks of having an Aluminium showroom with diverse working samples in the country, Alumex was able to open the flagship showroom in Nawala last November. This will bridge the knowledge gap that existed among the end-users about Aluminium and also the fear



they had in their minds about using Aluminium for their houses. This will help the fabricator also to increase knowledge about the LUMIN product range. Hundreds of customers have visited the showroom and many fabricators have benefitted by way of getting orders through the Concept Center.

One of the most difficult exercises for the customer is to select suitable profiles for fabrication based on strength, size of the opening, cost and appearance. We were able to complete 7 new showrooms during this financial year to facilitate such advisory services. In addition, given the 12 existing showrooms, we now operate 19 showrooms which facilitate customers including fabricators and contractors. Customers can walk into any of these showrooms and learn the usage of Aluminium joinery systems and select appropriate products for their housing requirements.

Training Programmes

During the year, the Alumex training centre in Sapugaskanda, conducted over 100 training programmes internally and externally and trained over 1,600 fabricators and technocrats in various government and private institutions. Some of those trained were from the Sri Lanka Navy, Sri Lanka Army, the Vocational Training Authority, the National Apprentice and Training Authority, the Department of Buildings and the Central Engineering Consultancy Bureau. Trainees were provided with an opportunity to visit the Alumex factory to understand the manufacturing process.

In collaboration with our dealers, we conducted over 15 Advanced System Design Introduction Programs for fabricators who work for dealers, to educate them on the use of the newly introduced Alumex Euro Groove System and Lap Door System. Over 1,000 fabricators benefited from these seminars. We provided training for 100 fabricators to work with the LUMIN product range.

Marketing Communications

All our marketing communications conform to industry ethics and regulatory requirements. All marketing and promotional communications are measured against a checklist of regulatory and ethical criteria prior to public release, to ensure that marketing practices of the Alumex Group are not violated. Our sales staff is trained on the Company's marketing and communications standards to ensure ground level compliance.

Alumex Marketing Communications Checklist

- Consistency in corporate image
- Consistency with logo and branding guidelines
- Conformity with product claims (product features)
- Accuracy and creditability of information
- Creative ideas
- Standards and credibility of contents

Our advertising strategy includes above the line communications such as television and newspapers that target mass audiences and also below the line tools such as name boards placed in all our outlets, merchandising and so on.

Social and Relationship Capital

We are happy to report that there were no incidents of non-compliance with marketing communications related regulations or ethical codes of conduct during the year.

Customer Relationship Management (CRM)

The Alumex Group conducts regular customer satisfaction surveys to ascertain customer satisfaction and to identify further improvements. This information is collected quarterly and is reviewed at monthly management meetings. Corrective and preventive action is taken if required.

Activities Organized to Improve CRM

The Alumex Group has the strength to attract potential customers and to repeat purchase from existing customers in equal measure. We conduct many activities to maintain regular contact with customers. These include:

- Organizing business meeting with all the dealers to understand the issues they face and to clear the path for the future of Alumex dealers.
- A train trip was organized for all the dealers with overnight stay in Amaya Hills Hotel along with a seminar on expanding business to the next level.
- Organized an annual get together for dealers and their customers.
- Launched a Fabricator promotion programme through dealers and distributed more than Rs. 10 MN worth of machineries which fabricators cannot afford to buy on their own.
- Our marketing staff regularly visits dealers to discuss products and any difficulties faced by dealers.

Customer Complaints

Alumex Customer Complaints Handling Process

Alumex has a system to address all customer complaints within two days.

- Customer complaints are segmented based on the type of complaints and forwarded to the relevant departments to investigate and take necessary action to avoid any repetition of similar complaints.
- Alumex sales staff also visited users of our products to ensure ultimate satisfaction of end-users.

In the year under review, the Alumex Group received 83 customer complaints that over 60% were resolved within 48 hours. This is a 12.6% reduction in customer complaints compared to the previous year.

After Sales Care

In order to retain and strengthen our relationship with customers, we have taken steps to maintain after sales service and care consistently over the financial year. Our sales teams regularly visits construction sites to resolve matters relating to aluminium extrusions.

Sponsorships

We regularly sponsor suitable industry events as part of our marketing and branding strategy. Our sponsorships during 2015/16 are listed below:

- Alumex was the strategic sponsor of the 'Architect 2016' exhibition held in February, at the BMICH, organized by the Sri Lanka Institute of Architects (SLIA). This sponsorship was useful to build relationships with architects as a new stakeholder group.
- Alumex was the principal sponsor of the 'Construct 2015' exhibition held in August, at the BMICH, organized by the National Construction Association of Sri Lanka (NCASL). This sponsorship also was useful to build relationships with the contractors.
- We sponsored the National Construction Association of Sri Lanka (NCASL) to recognize the best contractors during the financial year in 8 provinces. During these events, we made presentations and introduced new Alumex systems to participants that included contractors, engineers and heads of Government institutions.

Customer Confidentiality

The Alumex Group's commitment to protect customer confidentiality is enshrined in the Company's corporate policy. During the year under review, there were no complaints reported regarding breach of customer privacy and/or loss of customer data.

Suppliers

Raw Material Suppliers

Alumex has a formal procedure for supplier assessment which defines methodologies for selection of right suppliers. Further to the supply terms agreed with the supplier, our Supplier Evaluation and Purchasing Committee is strictly concerned about the general outlines in terms of social responsibility requirements, particularly, in terms of their obligations towards the environment.

Our main suppliers of aluminium logs, ingots and aluminium metals are companies based in Middle East. In order to counter the supplier concentration, we also source raw material from other suppliers in the regional market.

Labour Suppliers

Alumex, a manufacturing organization, falling under the category of engineering trade, in addition to its permanent employees, sources labour from external manpower suppliers. As a Group policy, during the supplier evaluation process, they are assessed on whether legal provisions of 'Wages Board Ordinance No. 21 of 1941', 'Employees' Provident Fund established under the Act No. 15 of 1958' and 'The Employees' Trust Fund established under the provisions of ETF Act No. 46 of 1980' are complied with.



Certification process has confirmed high quality standards of our processes and products by adding value to the end customer.

Supplier Engagement Process

With a view to fostering long term business relations and to support the evaluation process, Alumex engages with suppliers on a regular basis with the objective of discussing and reviewing business terms, to share technical knowledge, build relationships and to evaluate and develop sustainability standards in the long run. Alumex engages with suppliers on a regular basis with face-to-face meetings, supplier site visits, frequent communications via electronic and social media and exhibitions and annual conventions.

Licensing and Certification

International manufacturers in the aluminium industry enter into exclusive licensing arrangements that allow business stakeholders to use trademarked products and processes. Such licensing arrangements are initiated by following strength evaluations, quality systems, capacities and assessing fulfilment of sustainability requirements.

It gives us great pride to declare that both our main powder suppliers that are leading international brands have awarded applicator certifications to Alumex following an evaluation process. This certification process has confirmed high quality standards of our processes and products by adding value to the end customer.

Social and Relationship Capital

Community Development

Our Objectives

Our aim is to make a positive impact on the community through sustainable initiatives that bring about long-term benefits. This translates into three action areas, namely:

- Supporting the technical and vocational education
- Developing the social and physical infrastructure of the community
- Enhancing the quality of life of the local community.

Some of the key projects being implemented by the Alumex group in the above areas are described below;

Supporting Technical & and Vocational Education

Objectives:

To Develop Skills and knowledge on fabrication

Alumex Training School

The Alumex training school is our principle community development programme. This state-of-the-art training centre was established in 1998 at the Alumex factory premises in Sapugaskanda, to train fabricators and technocrats. Programs conducted by the centre can be classified as:

VTA training

Alumex has partnered with the Vocational Training Authority (VTA) to provide training on Aluminium fabrication. The scope of training activity includes train the trainer programs, lectures and practical trainings for trainees, supervision of VTA training centres and providing course materials. During the current financial year, Alumex conducted 18 training programs for 257 participants and issued certificates. The total cost incurred in conducting the training programs was over Rs. 1.6 Mn.

Government institutions

We contribute towards knowledge and skill improvements of technical staff of government institutions such as the Sri Lanka Army, Sri Lanka Navy, CCEB etc. As the Government Institutions make a substantial contribution to the Sri Lankan construction industry, Alumex conducts in-house and external training

State-of-the-art training center was established in 1998 at the Alumex factory premises in Sapugaskanda, to train fabricators and technocrats.

programs on using Aluminium profiles and fabrication techniques. During the year under review, Alumex completed 09 programs and trained 280 trainee personnel from Government institutions, at an investment of Rs. 1.5 Mn.

Dealers and Fabricators Training

In order to ensure that the dealers and fabricators are competent in handling aluminium profiles, particularly new aluminium-based systems, Alumex conducts Advanced System Design Introduction Programs, for fabricators of the Alumex dealers. Practical training is conducted island wide with dealer collaboration. During the year, we conducted 36 training programs for 1,021 participants island-wide. A few selected fabricators were provided, in-house training at the Alumex Training Centre. The total investment in these training events during the year was Rs. 2.7Mn.

Professional and Private Institutions

Alumex conducts external and inhouse training programs for professionals on new advanced systems and related fabrication techniques with the support of new, high quality accessories. These programs aim to educate construction industry professionals on the many different applications of aluminium profiles and quality differences compared to competitor and substitute products. During the current financial year, Alumex conducted 04 of such programs for 81 professionals with an investment of Rs. 0.6 Mn.

Government Technical Colleges

In order to develop educational capacities and self-employment opportunity for school leavers, Alumex has engaged with the Government Technical Colleges island-wide and provide them



course materials to develop skilled fabrication technicians while improving the quality of life. In addition to this, we contribute towards knowledge and skill improvements of lectures at Government Technical Colleges. During the current financial year, Alumex conducted 10 training programs for 165 participants and provided course materials to 8 Technical Colleges with a total investment over Rs 0.7 Mn.

NVQ Certification

Alumex facilitates skilled fabrication technicians applicants to obtain NVQ certification by facilitating their fabricating skills. We are involved with assessment of applicants through written tests and practical assessment tests and by making recommendations to the Tertiary and Vocational in line with NVQ certification standards. Assessment fees and all testing materials associated with the assessments are provided by Alumex free of charge. Such assessments currently cost over Rs. 38,000 per person, making it difficult for many skilled technicians to obtain NVQ certification. Therefore, the free-of-charge assessments conducted by Alumex support the growth and development of skilled technicians. During the current year, we conducted 03 such assessments for 17 participants.

All programs mentioned above are conducted by well-trained Company staff. During the program, Alumex provides training materials, courses materials, meals and refreshments to the participants, in addition to free training.

After completion of training, Alumex issues a certificate, which is recognized by Sri Lanka's engineering community. Over the past few years, we have trained more than over 13,000 fabricators and technocrats. During the financial year 2015/16, we upgraded the skill levels of 1,655 fabricators and technocrats by conducting 77 training events, with a total investment of Rs. 9 Mn.

Vocational Training

Objectives:

- Develop educational capacities to support self-employment and entrepreneurship;
- Ensure professional development and create employment opportunities

Alumex provides training internship opportunities for students from selected institutions. Interns are accepted in the areas of manufacturing, fabrication, sales and accounting. The duration of these internships range from less than a year to three years. A total of 07 student were given internships at Alumex during the year 2015/16.

Training program	No. of Programs	Participants	Amount (Rs)
VTA training	18	257	1,666,612
Government institutions	09	280	1,506,456
Dealers & Fabricators Training	36	1021	2,753,523
CPD programs	4	81	645,464
Government Technical College	10	16	2,500,650
Total	77	1,655	9,072,705

Social and Relationship Capital



Developing the Social and Physical Infrastructure of the Community and Enhancing Quality of Life

Objectives:

Alumex is committed to creating sustainable prosperity that brings long term social and economic benefits for all stakeholders. To this end, our principles, initiatives, donations and sponsorship programs are designed and extended for social events to build social and physical infrastructure and enhance quality of life of the community

Ethical Business and Alumex Values

Alumex values provide guidance to all employees on how they should conduct themselves on anti-corruption, anti-competitive behavior, non-discrimination and equal opportunity principles in practicing business ethics in their dealings. The governance system of the company is very stringent about anti-corruption initiatives and Alumex engages with regulatory and non-regulatory bodies that promote ethical business conduct. The company does not make contributions to political parties or seek to advocate any particular type of political action. During the year under review, there were no legal actions taken by, or against the company on anti-competitive behavior.



Engaging with the Community Around the Factory

The social acceptance within the community around the factory and protecting the rights of the community is critical for the long term sustainability of our business. Having realized the importance of this, Company has established a mechanism to address concerns/complaints raised by the community and to implement long-term sustainable solutions acceptable to both parties. During the year, we have not received any formal complaints while preventive action has been implemented for areas susceptible to such complaints.

Regulatory Compliance

The company has a policy of strict compliance with all applicable laws and regulations. Any breach of laws and regulations is brought to the attention of the Board. Close relationships are maintained with all relevant local and central government authorities. Employees are constantly updated on changes to laws and regulation and to tariff structures.

Environment Protection Licenses

Alumex has obtained and renewed the Environmental Protection License from the Central Environmental Authority for all of its operations which requires such licenses to carry out business in an environmental-friendly manner. Further, Alumex has not received any complaint from the society with regard to environmental issues during the year under review.



Tax and Other Duties

Taxes and all other statutory duties were paid on time, and during the year under review, Alumex contributed Rs 421 Mn by way of taxes and other duties to the government which is expected to be utilized for the social well-being of the citizens of the country. Further, there were no significant fines paid by Alumex during the year.

Donations and Sponsorships for Community Development

Some of the donations and sponsorships by Alumex in the financial year 2015/16 are highlighted below:

Community Development Project at Billewa, Thanthirimale

During the year under review, the key CSR project that Alumex undertook was the upliftment of livelihoods of the community at Billewa village which is 40 KM away from the city of Anuradhapura along the Anuradhapura Thanthirimale Road. Billewa is an agricultural area affected by the LTTE terrorist activities and adjoins to the Wilpattu forest. The entire village has a population of about 1,500 people. The project was designed with main 3 activities and Alumex invested Rs. 4,226,234 for the total project.



SathDiyawara Water Purification Project

The main purpose of the project was to provide purified drinking water for the villagers, which was a burning need and a healthy solution to combat Chronic Kidney Disease (CKD). The initiative came from a Hayleys sister company, Puritas (Pvt) Ltd, and Alumex sponsored and implemented the concept specifically selecting Billewa - as this area had the highest percentage of CKD patients in relation to the population, according to the statistics of the National Water Board. The project included supply and commissioning of a water purification plant with 10,000 Liters capacity per day at Billewa and setting up of 10 docking stations and a tractor and a trailer mounted bowser to distribute the purified water. Civil construction activities were awarded to villagers and the project created three full-time job opportunities: two clerical and one bowser driver.

Medical Camp to Villages

Simultaneously, Alumex organized a health screening camp and an awareness camp on Chronic Kidney Disease (CKD) for the villagers with assistance from the Kidney Protection Foundation of Anuradhapura, affiliated to the Kidney Unit of the Anuradhapura

Social and Relationship Capital

Teaching Hospital. The health screening camp was conducted in three stages in three days within a period of one month and villagers had the opportunity to get themselves screened for exposure to the disease free of charge. Over 300 villagers participated in the camp and those who were found exposed to the disease were directly referred to the Kidney Clinic of the Anuradhapura hospital.

Helping hand to the children of the Billewa Vidyalaya - The company did not confine itself to the main purpose of the project, but extended a helping hand to the children of the Billewa Vidyalaya. The Company entirely renovated the play area of the Billewa Vidyalaya and supplied and fixed new play equipment, offering a better experience to the children. Further, the Company enhanced the water purification and storage capacity at the Billewa Vidyalaya and facilitated the children to drink adequate purified drinking water, preventing them being exposed to CKD.

Donation of White Canes

Continuing from the last two financial years, Alumex persisted in this project in the current financial year too, in collaboration with the Sri Lanka Welfare Society for the Blind and the Sri Lanka Catholic Council for the Visually Impaired. Through this project, 2,750 white canes were distributed across the country. Alumex provided aluminium worth Rs. 837,000 to manufacture the white canes. The canes were manufactured by a group of visually impaired people and Alumex paid them the total manufacturing charges of Rs. 246,000. In total, the value of the total contributions to the visually impaired community came to Rs. 1,083,000.

Scholarships and School Material for Children

During the year too we provided school bags, books and other stationery items for all school going children of employees, at our annual get-together held in December 2015. Further, we awarded children of employees who had performed well at the Grade 5 scholarship exam, the GCE O/L exam and the GCE A/L exam. Our total contribution to this community for this year was Rs. 892,000.

Other Donations and Sponsorships

We have been continuously helping the community around our factory premises with donations and sponsorships for various community events during the year. In addition, Alumex sponsored a number of events organized by Employee Societies of the Government and private institutions. The total contribution by Alumex for such social events was Rs. 396,000 in the current financial year.

Alumex spent Rs. 6.6 Mn during the year 2015/16 on donations and sponsorships country-wide. A summary of our CSR spending is given below:

Type of Services	Amount (Rs.)	%
Educational	1,189,946	17.88
Culture	175,000	2.63
Social Projects including RO Plant	5,012,090	75.39
Sports	221,000	3.36
Other	25,000	0.37
Health	25,000	0.37
Total	6,648,036	100.00

Product Responsibility

All products, free from hazardous chemicals and manufactured under the Alumex brand hold the highest levels of safety and are free from adverse health effects. Our production process is guided by ISO 9001:2008 guidelines and all production stages are strictly monitored to ensure health and safety standards. The powder coating processes have been certified by the international powder suppliers under 'Approved applicator' status. Alumex Aluminium extrusions are manufactured in compliance to international standards and SLS certification has also been obtained to support high quality standard in the local environment. In addition, our sales team is trained and organized to provide after sales services to end users, including advisory services on the correct use of products to ensure safe product use.

During the year under review, Alumex surpassed another millstone in delivering a certified product for safety and reliability against natural hazards affecting aluminium doors and windows like Air Infiltration, Water Penetration and Wind Resistance with the certification received from a lab in Dubai, one of the world's leading providers of testing, calibration and advisory services. With this certification, now Alumex offers 8 doors and windows systems to its customers to cater to the highest level of safety they seek.



Alumex Aluminium extrusions are manufactured in compliance to international standards and SLS certification has also been obtained to support high quality standard in the local environment.

Alumex provides warranties from 10 to 25 years for its products. This shows the level of confidence we have in our product quality. A manufacturer's certificate is issued to large orders of over Rs. 5.0 mn to certify the manufactured product specification as per the standards. The manufacturer's certificate is issued even to small orders upon customer request.

There were no incidents reported relating to customer health and safety in the year under review.

Social and Relationship Capital



Product Packaging and Labeling

All Alumex products are labeled using a bar code system for easy identification. The Alumex Aluminium Profile Book and Alumex System Designs Handbook are also available to guide fabricators. These booklets provide technical information required for the correct use of Alumex products, including the recommended accessories to use in the Alumex window and door systems.

In packaging, all extrusions are covered by polythene packing with the Alumex brand name printed on it. Powder coated and Woodex coated Aluminium profiles are foam wrapped prior to polythene packaging to ensure further product safety.

Packaging and labeling of Aluminium extrusion products is not regulated in Sri Lanka, but Alumex is leading the industry in implementing best packaging systems to ensure product safety and quality, and provides necessary information to customers to select the best product they look for.

During the year under review, there were no incidents of non-compliance with regulations concerning health and safety impacts of products or information and labeling of our products.

Membership, Associations and Affiliations

In order to supply our products with consistently maintained high quality and safety standards and as per the changing needs of our customers we have connected with the following institutions

- Ceylon Chamber of Commerce
- The Employers' Federation of Ceylon
- Chamber of construction Industry
- Sri Lanka Economic Association
- Argus Media Incorporation -USA
- Foundry Development & Services Institute – Light Engineering Sector
- Sri Lanka Standards Institute
- Import & export controls Department
- Sri Lanka Institute of Architects
- Institute of Engineers of Sri Lanka
- National Construction Association Of Sri Lanka
- Central Engineering Consultancy Bureau
- State Engineering Corporation
- Futurex Trade Fair and Event (Pvt) Ltd.

International Affiliations

Around 10% architectural extrusions are currently imported due to the non-availability of sophisticated aluminium proprietary systems in Sri Lanka. To overcome this competition and discourage such imports into Sri Lanka, the Alumex Group has entered into licensing agreements with globally renowned manufacturers of Aluminium extrusions and accessories, such as AluK in Verona, Italy, and Fletcher Aluminium in Auckland, New Zealand. Alumex has manufactured high-end aluminium proprietary window and door joinery systems under license since year 2008.

	Fletcher Aluminium is a subsidiary of the Fletcher Group, which is one of the largest conglomerates in New Zealand. Fletcher Aluminium proprietary systems have been extensively used for more than 25 years in Sri Lanka, Australia and Far Eastern countries. Alumex Group commenced manufacturing Fletcher proprietary systems under license in Sri Lanka in 2011
	The AluK Group is a leader in the design and manufacture of a range of sophisticated Aluminium building systems. It is widely used in commercial applications and facades in Europe and the Middle East. The Alumex Group is the exclusive manufacturer of AluK systems under license in Sri Lanka for the Asian market since 2008.
	Mitsubishi Plastics, Japan has been manufacturing Alpolic Aluminium composite panels since 1971 and is the world's most popular brand. Alumex is the national distributor of Alpolic composite materials in Sri Lanka.
	DuPont Corian® is an advanced composite product used as a decorative material in a variety of residential and commercial applications. Corian is manufactured in USA and Japan. Alumex is the authorized agent to import and distribute DuPont Corian® in Sri Lanka.
	Alumex Group is recognized as the exclusive approved applicator in Sri Lanka for DGL International of New Zealand's powder coating range of products. It offers coating warranties from 10 to 30 years based on the type of product applied.
	Alumex Group is Sri Lanka's only approved applicator for JOTUN powder coating range of products from the Norwegian-based manufacturer and offers warranties up to 30 years. JOTUN is the premier brand in Europe and the Middle East. These products have also been used in the world's tallest building, Burj Khalifa.



Natural Capital

Our Environmental Project

Alumex PLC, operating in an industrial zone, is committed to offer quality products through its systems and procedures that ensure safe and healthy work environment for employees and to mitigate the harmful impact on possible biodiversity and habitats.

Alumex is an environmentally-friendly business. Aluminium is inherently resistant to most normal atmospheric environments, does not rust or suffer from corrosion problems like steel and is self-healing if scratched. Aluminium is a material which is a recyclable by nature and, recycling of Aluminium provides many environmental, economic and community benefits; it saves energy, time, money and precious natural resources, specially, as a substitute to wood; and it generates jobs and helps to pay for community services that makes life better for millions of people.

Benefits of Recycling Aluminium

By Recycling Aluminium, energy can be saved and emission of toxic gas reduced into the environment.

Recycling aluminium saves 90-95 percent of the energy needed to make aluminium from bauxite ore. It does not matter if it is aluminium extrusions, cans, roof gutters or cookware are being manufactured, it is simply much more energy-efficient to recycle existing aluminium to create the aluminium needed for new products than it is to make aluminium from virgin natural resources. So, on average, recycling one kilogram of aluminium saves about 55 megajoule (MJ) of energy. With the energy it takes to make just one new unit of aluminium from bauxite ore, you can make 20 units of recycled aluminium. In addition, recycling of aluminium mitigates emission of toxic gases that smelting of Aluminium produce, such as sulfur oxide and nitrogen oxide, two toxic gases that are key elements in acid rain.

At Alumex, we recycle 100% of in-house Aluminium scrap as well as Aluminium scrap collected from all over the country to produce Aluminium log, which is our prime raw material.

Our Environmental Policy

Alumex PLC, operating in an industrial zone (LINDEL), is committed to offer quality products through its systems and procedures that ensure safe and healthy work environment for the employees and to mitigate the harmful impact on possible biodiversity and habitats. In fulfilling conservation obligations, we always make sure to operate in compliance with all environmental standards and relevant pertaining laws.

Mitigating Harmful impact on Environment

At Alumex, we are committed to conserve resources through:

- Continuous improvement to our systems and procedures
- Develop human resources through continuous training
- Compliance with statutory, principals' and global requirements

Systems and procedures are periodically reviewed to ascertain the impact of our operations on the environment. Necessary revisions are made as appropriate. Our Research and Development team, as a part of their responsibilities, is continuously engaged in this process of monitoring and improving mitigation measures.

Alumex has obtained ISO 9001 : 2008 for quality management systems. Periodic compliance tests are performed during ISO audits through which the required standards are maintained.

Managing Environmental Impact

In continuous terms, Alumex has identified four main areas that require proper planning, organizing and controlling accordingly to minimize harmful impact on the environment:

- Material Management
- Energy Management
- Water Resource Management
- Waste Management

Material Management

Use of recycled aluminium in our manufacturing process is contributing highly to minimize impact, in particular, caused as a result of industrial waste on the environment. The other advantageous factor when recycled material is saving of manufacturing cost.

Type of Material	Unit of Measure	2015/16	2014/15
Total Aluminium Logs Used	MT	6,286	5,678
Aluminium Logs (Recycled)	MT	1,749	1,713
Percentage of Recycled Material Used	MT	28%	30%

Natural Capital

As the prime raw material, aluminium logs are used to manufacture finished goods –Aluminium extrusions. During the year under review, 28% of the inputs were recycled raw material which is 2% lesser when compared to immediate previous year. However, in terms of the quantity, during this year, 561MT of scrap aluminium was purchased from the local market. Use of recycled aluminium material has saved US\$ 4,043mn (Rs. 558 Mn.) worth of foreign exchange for the country and saved global energy of nearly 97,000,000MJ. In addition, we are pleased to state that our recycling process has significantly contributed, as a continuous process for years, to mitigate pollution resulting from industrial waste.

Energy Management

In processing raw material, Alumex uses direct and indirect sources to generate its energy. During the year under review, such energy was consumed under the following composition:

Energy Source	Percentage
Electricity	40%
Diesel	40%
F/oil	19%
Petrol	1%

As a continuous process, Alumex has systems and procedures in place to monitor energy consumption within its processes as well as conserving energy as an environmental obligation.

Following are the energy consumption figures for the last two years.

Source of Consumption		unit	2015/16	2014/15
Petrol for Vehicles	de	MJ	791,894	1,252,986
Diesel for Vehicles	de	MJ	1,239,574	833,820
Diesel for Generators - Plant	de	MJ	330,328	265,267
Diesel for Plant	de	MJ	22,351,155	18,800,100
Furnace oil for Plant	de	MJ	11,206,610	11,096,051
Electricity for Plant	ie	MJ	22,516,933	19,075,526
Electricity for Admin. Areas	ie	MJ	1,381,793	1,310,331
			59,818,287	52,634,081

de – direct energy. ie – indirect energy

Energy Intensity

In parallel to the increase of production volume, consumption of energy has increased compared to the previous two years. However, we were able to maintain average consumption of energy, near equally, for processing per one metric ton of input material during the preceding two years when compared to 2013/14. This is a continuation of energy saving resulting from energy saving measures implemented in the year 2014/15.

Energy Intensity

Consumption Base	Unit of Measure	2015/16	2014/15	2013/14
Total Energy Consumed	MJ	59,818,287	2,634,081	1,726,192
Total Production Output	MT	5,292	4,826	4,264
Average Consumption of Energy	MJ/MT	11,304	10,906	12,131

Water Management

Alumex purchases its main water requirement from Lanka Industrial Estate LTD (LINDEL). LINDEL sources this water from Kalani river which is sent through a purification process before releasing /supplying, so that no national water supplying system is affected at all. This purchased water is used in our Anodizing and Powder Coating processes and cooling towers and also for the consumption of employees. Further, we have small quantities of water, obtained from in-house wells, used in our aluminium recycling foundry and for the fire extinguishing hydrant system. During the year under review, consumption of water at Alumex was as given below:

Consumption Base	Unit of Measure	2015/16	2014/15
Water used in plants	m3	93,018	63,636
Water Consumed by Employees	m3	24,131	35,218



Water Intensity

Consumption Base	Unit of Measure	2015/16	2014/15	2013/14
Total Water Consumed	Ltr.	117,149	98,854	98,397
Total Production Output	MT	5,292	4,826	4,264
Average Consumption of Water	Ltr./MT	22	20	23

According to the consumption of water, it reflects that the consumption of in-plant water in the year under review is higher than the comparative year. This increase is a result of consuming additional in-plant water for processing increased volume of quantities of input. Saving of water consumption of employees in this year is caused by the proper maintenance of in-house water distribution system and employees' concern to protect water resources.

Our Carbon Footprint

Our GHG emission results were calculated in house and figures are as follows.

Carbon Footprint by Scope, MTs Co2 Equivalent

Year		2015/16		2014/15	
		tCo2e	%	tCo2e	%
Scope 1	Diesel for Generators & Plant and Furnace Oil for Plant	1,840	42	1,556	41
Scope 2	Purchased Electricity	2,404	54	2,050	54
Scope 3	Air travel and Others	169	4	162	4
Total		4,413	100	3,768	100

Natural Capital

Average GHG Emission

Particulars	Unit of Measure	2015/16	2014/15
GHG Emission	tCO ₂ e	4,413	3,768
Material Consumed	MT	6,286	5,678
Average GHG Emission	tCO ₂ e / MT	0.70	0.66

Total GHG emission by Alumex during the year under review amounted to 4,413 tCO₂e, which is 17% higher than the immediate last year. When compared to previous year's average energy consumption, there is an increase of average GHG emission by 0.04 tCO₂e per MT of material consumed.

Going forward, our research and development team is engaged in developing energy efficient solution to save both cost and energy.

Introduction of Non-chromate Process instead of Chromate Process

Introduction of non-chromate process as a surface treatment in processing colour powder coating of our extruded final products has offered the following environmental benefits rather than the chromate process which we discontinued.

- Under non-chromate treatment process, effluent water is able to be discharged directly to effluent water treatment plant, whereas in the chromate treatment process, few chemicals happened to be used as additives before discharging the waste water to effluent water treatment plant.
- Non-chromate process generates a lesser quantity of sludge waste than the sludge generated out of chromate process.
- We were able to reduce unnecessary costs that were incurred for additive chemicals, energy and labour in processing of larger volume of sludge waste.

Waste Management

As a responsible corporate entity, Alumex does not discharge any kind of hazardous substance to the environment. Our waste management system ensures that all effluent and waste are disposed in an environmentally responsible manner.

Daily and periodic tests are performed internally within our laboratory and externally, with the support of LINDEL Industrial Laboratory Limited, to ensure our treatment processes are accurate and effective, and that effluent is treated up to the required standard before being released into the environment.

Water Treatment Plant

The effluent water treatment plant at Alumex is capable of treating the factory wastes in maintaining the standards governed by environmental laws. Adherence of such standards are monitored and evaluated periodically by the Central Environmental Authority.

The content of solid waste is segregated through the effluent water treatment process and as a practice such solid waste was used to be separately disposed and, for which process a solution was innovated in-house by our R&D team that will be detailed under the next heading.

During the year, 90,658 m³ of purified water was released, incurring a cost of Rs. 22.3 Mn, to the environment from our effluent water treatment plant.

Solid Waste Effluent Management

Factory solid waste generated through effluent water treatment is sent to Geocycle for incineration. Geocycle is an organization that provides environmentally responsible waste management solutions, using co-processing technology. Alumex has invested Rs. 6.8 Mn to safely dispose 886MT of solid waste during the year.

This solid waste, extracted from the effluent water disposal process was a highly expensive operation and a burning problem for Alumex.

But, today, we are proud to announce that Alumex R&D team has been able to inspire an innovation to solve this burning issue. Thus, a Sludge Drier, was designed and developed in-house to co-process effluent solid waste. The mechanism of this plant is its ability to convert high moisturized solid waste to dry solid waste (80% of original moisture is removed).

This solid waste is a high alumina sand that consists of properties relating to heat resistance, colour absorption (treatment of waste effluent water in the textile industry) and heavy metal absorption (Arsenic, Cadmium etc.) .This high alumina sand is able to be used

Alumex does not discharge any kind of hazardous substance to the environment. Our waste management system ensures that all effluent and waste are disposed in an environmentally responsible manner.

as raw material in refractory industry, heat insulation material manufacturing industry, earth bricks industry, roofing tile industry and textile manufacturing industry etc.

Disposal of E-waste

At Alumex, we collect in-house, used computers, accessories and other waste electronic consumables and store them in a warehouse until such time that they are safely disposed without harming the environment.

Think Green (Pvt.) Ltd., that provides innovative, nature-friendly solutions in disposing E-waste is the organization with whom we entered into a contract for the e-waste disposal generated by the Company.

Disposal of CFL Bulbs

Alumex, with collaboration of Orange Electric (Pvt.) Ltd., has set up a methodical system for disposing CFL bulbs. Waste bins are placed at in-house public places to facilitate the collection of scrap bulbs that from time to time are collected and removed by Orange.

General Waste Management

Further to treatment on specific type of wastes, general waste collecting bins are placed at identified locations to collect different types of wastes such as organic and recyclable waste. Organic waste is disposed through the reliable authorized agents of the

Pradesiya Sabha. Recyclable waste such as iron, paper, polythene, plastic cups and cans and wood pallets are disposed through organizations that reuse, recycle and co-process.

Total Environmental Protection Expenditure / Investment

During the year under review, our overall investment on protecting the environment is as follows:

Type of Service	Amount (Rs.)	%
Market Value of Scrap Aluminium Recycled	537,000,000	95
Purifying Cost of Waste Water	22,300,000	4
Disposal Cost of Solid Waste (*)	6,821,000	1
Total	566,121,000	100

*Disposal of Solid waste items – Sludge Alumina, Polythene waste & Hazardous Solids

Biodiversity

Alumex is located in the LINDEL industrial zone in Sapugaskanda. Therefore, our business does not pose a direct threat to any natural habitats, fauna or flora. However, Alumex continues to be concerned about protecting biodiversity assets of the country. Therefore, we educate our employees during their training and development sessions, about the importance of protecting natural habitats and national biodiversity.

Board of Directors



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1. **Mr. Abeyakumar Mohan Pandithage**
Chairman
2. **Mr. Rohan Palitha Peris**
Managing Director
3. **Mr. Sarath Clement Ganegoda**
Non-Executive Director
4. **Mr. Ranil Prasad Pathirana**
Non-Executive Director
5. **Mr. Ali Asghar Akbarally**
Non-Executive Director
6. **Mr. D. W. Pramuk Nishantha Dediwela**
Director
7. **Mr. Huzaifa Hamzaally Abdulhusein**
Non-Executive Director
8. **Dr. Harsha Cabral, PC**
Independent Non-Executive Director
9. **Mr. Somasiri Munaweera**
Independent Non-Executive Director



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Board of Directors

Mr. Abeyakumar Mohan Pandithage – Chairman

Chairman & Chief Executive of Hayleys PLC. Appointed to the Board of Alumex PLC in November 2010. Fellow of the Chartered Institute of Logistics and Transport (UK).

Honorary Consul of United Mexican States (Mexico) to Sri Lanka. Committee Member of the Ceylon Chamber of Commerce. Council Member of the Employers' Federation of Ceylon. Member of the Maritime Advisory Council of the Ministry of Ports & Shipping. Member of the Advisory Council of the Ceylon Association of Ships' Agents. Member of the National Steering Committee on Skills Sector Development of the Department of National Planning. Corporate Excellence Leadership Recognition by the Institute of Chartered Accountants of Sri Lanka in 2015.

Mr. Rohan Palitha Peris – Managing Director

Mr. Peris joined Alumex PLC in May 2012 as its Managing Director. He has over 29 years of experience in manufacturing at Haycarb PLC where he functioned as the Director with overall responsibility for both local and overseas manufacturing operations. Mr. Peris holds a B.Sc. Honours Degree in Industrial Engineering from Hatfield Polytechnic in the UK.

Mr. Sarath Clement Ganegoda – Non-Executive Director

Joined Hayleys in March 2007 and was appointed to the Hayleys Group Management Committee in July 2007. Appointed to the Board of Alumex PLC in November 2010.

Mr. Ganegoda is a Fellow of the Institute of Chartered Accountants of Sri Lanka and a Member of the Institute of Management Accountants of Australia. He holds a MBA from the Postgraduate Institute of Management, University of Sri Jayawardanapura. He has worked for the Hayleys Group between 1987 and 2002. Subsequently he held several Senior Management Positions in large private sector entities in Sri Lanka and Overseas. Mr. Ganegoda has responsibility for the Strategic Business Development unit of the Hayleys Group and the Fentons Group.

Mr. Ranil Prasad Pathirana – Non-Executive Director

Mr. Pathirana was appointed to the Board of Alumex PLC in November 2010. He is the Finance Director of the Hirdaramani Group and is a Director of Hirdaramani Apparel Holdings (Private)

Limited, Hirdaramani Leisure Holdings (Private) Limited and Hirdaramani Investments Holding (Private) Limited which are the holding companies of the Hirdaramani Group. He is also a Director of Star Packaging (Private) Limited and Windforce (Private) Limited and a Non-Executive Director of Sampath Bank PLC, ODEL PLC & Taprobane Holdings PLC. Mr. Pathirana is a Fellow Member of the Chartered Institute of Management Accountants, UK (FCMA - UK) and holds a Bachelor of Commerce Degree from the University of Sri Jayewardenepura.

Mr. Ali Asghar Akbarally – Non-Executive Director

Mr. Akbarally was appointed to the Board of Alumex PLC in November 2010. He serves as an Executive Director of the Akbar Brothers Group of Companies for the past 33 years. He is the past president of the Rotary Club of Colombo. Mr. Akbarally holds a Degree in Industrial Engineering from the University of California and is a Fellow of the Institute of Certified Professional Managers.

Since October, 2015, Mr. Akbarally has been appointed the Honorary Consul of the Hashemite Kingdom of Jordan in Sri Lanka.

Mr. Dediwela Widanaarachchilage Pramuk Nishantha Dediwela – Executive Director

Mr. Dediwela joined Alumex Group in January 1989 and has over 27 years of experience covering the fields of Marketing and Sales, Material and Logistics, Finance, Production and Administration/ Human Resources. He was appointed as an Executive Director of the Alumex PLC and its subsidiaries, Alco Industries (Private) Limited, Avro Enterprises (Private) Limited, in December 2010.

Mr. Dediwela is a Marketer/ Financial Economist and holds a Master of Financial Economics (University of Colombo), Master of Business Administration (University of Southern Queensland), Post-Graduate Diploma in Business and Financial Administration (Institute of Chartered Accountants Sri Lanka/Cranfield - UK), Post-Graduate Diploma in Marketing (Chartered Institute of Marketing - UK) and Diploma in Management (Open University of Sri Lanka).

Mr. Dediwela is a member of the Advisory Committee on Light Engineering of the Sri Lanka Export Development Board and holds memberships of the Chartered Institute of Marketing (UK) and Sri Lanka Economic Association. He is a Council Member of the Foundry Development & Services Institute, Sri Lanka.

Mr. Huzaifa Hamzaally Abdulhusein – Non-Executive Director

Mr. Abdulhusein was appointed to the Board of Alumex PLC in November 2010 as an Alternate Director and appointed to the Board as a Director in November 2011. With over 31 years of business experience, he is an entrepreneur and investor in the corporate sector in Sri Lanka and India.

Mr. Abdulhusein is the Managing Director of Star Packaging (Private) Limited and the Chairman/Managing Director of Star Boxes India (Private) Limited.

Dr. Harsha Cabral, PC – Independent Non-Executive Director

Dr. Cabral was appointed to the Board of Alumex PLC in January 2014. He is a President's Counsel with 28 years experience in the fields of Company Law, Intellectual Property Law, Commercial Arbitration, International Trade Law and Commercial Law.

He is an appointed member of the ICC International Court of Arbitration in Paris.

He is also a Member of the Law Commission of Sri Lanka, Council Member of the University of Colombo, UGC Nominee on the PGIM Postgraduate Institute of Medicine, Member of the Ministerial Committee to reform ailing companies, Member of the Corporate Governance Committee (CA-SEC) and a Member of the Council of Legal Education in Sri Lanka. He was one of the main architects in the Advisory Commission on Company Law which drafted the Companies Act No 7 of 2007.

Dr. Cabral is the Chairman of the Tokyo Cement Group of Companies which includes Tokyo Cement Co PLC, Tokyo Super Cement Co Ltd, Tokyo Eastern Power Co Ltd, Fuji Cement (Lanka) Pvt Ltd, Tokyo Super Aggregate Co Ltd.

He is also a Director at Hayleys PLC, DIMO PLC, Lanka Orix Finance PLC, Browns Investments PLC, LOLC Life Assurance PLC and Richard Peiris Distributors Ltd.

Dr. Cabral is the author of several books on Company Law and Intellectual Property Law.

Mr. Somasiri Munaweera – Independent Non-Executive Director

Mr. Munaweera was appointed to Alumex Board in January 2014. He counts over 31 years of Experience in mercantile and audit sector.

Mr. Munaweera is the Precedent Partner of S. Munaweera & Company, Chartered Accountants and also serves as the Managing Director of Southern Management and Corporate Services (Private) Limited, Director, SM Bentley Corporate Services (Private) Limited and Independent Director of Alufab PLC. He also serves as a Member of Governing Council of Association of Accounting Technicians (AAT) of Sri Lanka.

He holds a Bachelor of Commerce (Special) Degree from the University of Colombo and a Master of Business Administration from the Post-graduate Institute of Management, University of Sri Jayewardenepura. Mr. Munaweera is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka (FCA) and the Institute of Certified Management Accountants of Sri Lanka (FCMA).

Mr. Aroon Janak Hirdaramani (Alternate to Mr. R. P. Pathirana) – Non-Executive Director

Mr. Hirdaramani was appointed to the Board of Alumex PLC in November 2010. He holds a Bachelor's Degree in Business Economics from Brown University in 2001. After graduation, he worked as an analyst in investment banking at Credit Suisse in New York. Mr. Hirdaramani has been a Director of the Hirdaramani Group since 2003. He is a Member of the Young Presidents' Organization, where he serves as the Education Chair for the Sri Lanka Chapter and as Membership Chair for the Global Apparel Network. He is also the Deputy Chairman of the Sri Lanka Apparel Exporters Association.

Mr. Tyeabally Akbarally (Alternate to Mr. A. A. Akbarally) – Non-Executive Director

Mr. Akbarally was appointed to the Board of Alumex PLC in November 2010. He has been a Director of the Akbar Brothers Group of Companies since 1979. Mr. Akbarally is actively engaged in the tea and commodity export trade. He was a past Chairman of the Colombo Tea Traders Association and Spices and Allied Products Producers' and Traders' Association. He is also a Director of Amana Bank Limited and the Chairman of Amana Takaful PLC, and is on the Board of several other companies.

Corporate Management



Mr. Rohan Palitha Peris

Managing Director

Please refer page 78 for profile.



**Mr. Dediwela Widanaarachchilage Pramuk Nishantha
Dediwela**

Executive Director

Please refer page 78 for profile.



Mr. Prageeth Rajapaksha

Chief Financial Officer

Prageeth joined Alumex PLC in March 2012. He has 16 years of experience in external audit, financial management disciplines in varied industries of auditing, telecommunication and manufacturing in local and overseas companies.

He holds a Bachelor of Business Administration Degree from the University of Colombo and a Diploma in Information Systems Security Control and Audit from the Institute of Chartered Accountants of Sri Lanka. He is an Associate Member of Institute of Chartered Accountants of Sri Lanka as well as the Institute of Certified Management Accountants of Sri Lanka.

**Mr. Dilhan Jayawardena****Deputy General Manager - Marketing & Sales**

Dilhan joined Alumex PLC and appointed as a member of the corporate management team with effect from April 2016 with overall responsibility for both local and overseas marketing and sales functions.

He has over 20 years of broad expertise in areas such as market research, customer services, promotions and production planning, whilst managing many local as well as international brands across industries such as, apparel, accessories, electric & electronics, household decorative, hardware, advertising and printing.

He is a member of Chartered Institute of Marketing (UK).

**Mr. Thushara Jayalath****Deputy General Manager - Production**

Thushara joined Alumex PLC in April 2016. He has over 22 years of hands-on experience in Manufacturing and Supply Chain functions in Fast Moving Consumer Goods industry. Prior to join Alumex PLC, he held a number of senior managerial positions in the field of Manufacturing and Supply Chain in multinational environments.

He is a Japan Institute of Plant Maintenance and Japan Technology Group accredited Total Productive Maintenance Instructor. He has been intensively trained in 5S, Kaizen, TQM, TPM, Operations Excellence and Lean Manufacturing, and have mastered problem-solving techniques and Continuous Improvement Initiatives.

He holds a Postgraduate Diploma in Manufacturing Management from the University of Colombo.

Corporate Governance

Alumex PLC, is a Public limited company, listed on the Colombo Stock Exchange (CSE) and registered under the Companies ACT No. 07 of 2007.

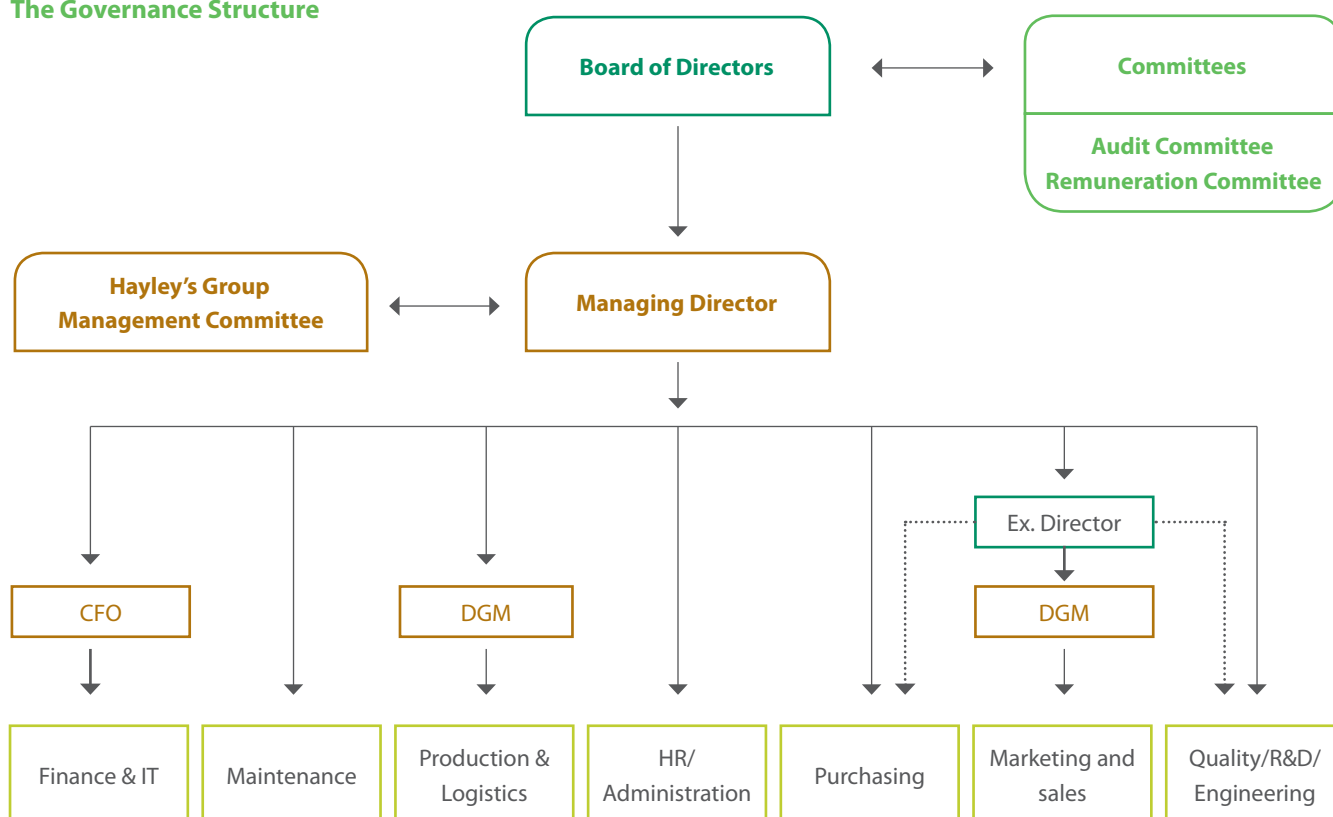
The Board of Directors of Alumex PLC has adopted core values and standards which set out the conduct of staff in their dealings with shareholders, colleagues, customers and other stakeholders which ensure positive workplace management, marketplace responsibility, environmental stewardship, community engagement and sustained financial performance. This involves the maintenance of:

- An efficient organizational structure
- Systems for internal compliance and risk management
- Transparent internal and external reporting

The Board of Directors of Alumex PLC comprises of nine (09) Directors of which three (03) are Executive Directors and six (06) are Non-Executive Directors. Of the six (06) Non-Executive Directors, two (02) are Independent Non-Executive Directors. Additionally, there are two (02) Alternate Directors representing the two (02) Non-Executive Directors.

The Board has the overall responsibility and accountability for the management of the affairs of the Company, maintenance of prudent risk management practices and safeguarding stakeholder rights. In order to carry out these responsibilities, the Board has appointed a corporate management team which includes an Executive Director and three Deputy General Managers led by the Managing Director.

The Governance Structure



The Board has delegated some of its functions to two Board sub committees - the Audit Committee and the Remuneration Committee - chaired by Independent and Non-Executive Directors.

Further, the Nomination Committee and the Related Party Transactions Review Committee of the parent Company, Hayleys PLC, acts as the Nomination Committee and the Related Party Transactions Review Committee for the Company and makes recommendations and directions to the Board.

The Group Management Committee of Hayleys PLC is also involved with the formulation of strategies, in respect of business risks, seeks approval for such strategies, and implements them within the policy framework established by the Board.

Statement of Compliance

As a responsible organization, Alumex adheres to regulations, codes and best practices published by different governing bodies:

- Companies Act No. 7 of 2007,
- Code of Best Practices on Corporate Governance jointly issued by the Institute of Chartered Accountants of Sri Lanka and Securities and Exchange Commission of Sri Lanka.
- Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka.
- Listing Rules of Colombo Stock Exchange.
- Inland Revenue Act No. 10 of 2006
- Exchange Control Act
- Customs Ordinance

Alumex's commitment to adopt the Code of Best Practices on Corporate Governance, Code of Best Practices on Related Party Transactions and extent of adherence to the Listing Rules of Colombo Stock Exchange are summarized into three sections, purely for the convenience of our stakeholders. Hence, section 1, section 2 and section 3 in place are tabulated below:

SECTION 01 covers the extent of adherence to the requirements of the Code of Best Practice on Corporate Governance issued by the CA Sri Lanka and the Securities and Exchange Commission of Sri Lanka. It reflects Alumex's governance in the following six fundamental aspects:

- A. Directors
- B. Directors' Remuneration
- C. Relations with Shareholders
- D. Accountability and Audit
- E. Institutional Investors
- F. Other Investors
- G. Sustainability Reporting

SECTION 02 of the Code deals with Alumex's extent of adherence to requirements of the Continuing Listing Requirements Section 7.10 on Corporate Rules for Listed Companies issued by the CSE. This reflects Alumex's level of conformity to CSE's listing rules which comprise of the following fundamental principles:

- Non-Executive Directors
- Independent Directors
- Disclosures relating to Directors
- Remuneration Committee
- Audit Committee

SECTION 03 covers the extent of adherence to the requirements of the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka and Section 9 of the Listing Rules of the Colombo Stock Exchange. This covers all the following disclosure requirements:

- Non-recurrent Related Party Transactions
- Recurrent Related Party Transactions
- Declaration by the Board and the Committee
- Disclosure by the Board and the Committee

Corporate Governance

SECTION 1: CODE OF BEST PRACTICE ON CORPORATE GOVERNANCE ISSUED BY THE SECURITIES AND EXCHANGE COMMISSION OF SRI LANKA (SEC) AND THE INSTITUTE OF CHARTERED ACCOUNTANTS OF SRI LANKA (CASL)

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
A. DIRECTORS			
A.1 THE BOARD			
The Company is headed by an effective Board of Directors with local and international experience. The Board of Directors of the Company consists of professionals in the fields of Accounting, Management, Law, Economics, Engineering, Marketing and Business Leaders. All Directors possess the skills and experience and knowledge complemented with a high sense of integrity and independent judgment. The Board gives leadership in setting the strategic direction and establishing a sound control framework for the successful functioning of the Company. The Board's composition reflects a sound balance of independence and anchors shareholder commitment. Profiles of Directors are given on pages 78 and 79.			
1. Board Meetings	A.1.1	Complied	The Board usually meets at quarterly intervals, but also meets more frequently whenever needed. The Board met 4 times during the year under review. Scheduled Board meetings were arranged well in advance, and all Directors were expected to attend each meeting. Any instances of non-attendance of Board meetings were generally related to prior business, personal commitments or illness. The attendance at Board meetings held is set out on page 103.
2. Board Responsibilities	A.1.2	Complied	• The Board is responsible to the shareholders for creating and delivering long-term sustainable shareholder value through the business. The Board ensures the formulation and implementation of a sound business strategy. • The Board has put in place a Corporate Management team led by the Managing Director with the required skills, experience and knowledge necessary to implement the business strategy of the Company. • The Board also ensures effective systems are in place to secure integrity of information, internal controls and risk management. • The Board ensures that the Company's values and standards are set with an emphasis on adopting appropriate accounting policies and fostering compliance with financial regulation.
3. Compliance with Laws and access to independent professional advice	A.1.3	Complied	The Board collectively, and Directors individually must act in accordance with the laws as applicable to the Company. The Company had complied with all applicable laws and regulations during the year. A procedure has been put in place for Directors to seek independent professional advice in furtherance of their duties, at the Company's expense. This will be coordinated through the Company or the Board Secretary when requested.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
4. Company/Board Secretary	A.1.4	Complied	The Company Secretary acts as the Board Secretary as well. All Directors have access to the advice and services of the Company Secretary as required. The Company Secretary keeps the Board informed of new laws and revisions, and regulations and requirements coming into effect which are relevant to them as individual Directors and collectively to the Board.
5. Independent judgment	A.1.5	Complied	All Directors exercise independent judgment in decisions made by the Board on issues of strategy, performance, resource allocation and the conduct of business.
6. Dedication of adequate time and effort by the Board and Board Committees	A.1.6	Complied	All Directors of the Company dedicate adequate time and effort to fulfill their duties as Directors of the Company (both before and after the Board Meetings), in order to ensure that the duties and responsibilities owed to the Company are satisfactorily discharged.
7. Training for new and existing Directors	A.1.7	Complied	Both new and existing Directors of the Company are provided guidelines on general aspects of directorships and industry specific matters. In this regard, the Directors have recognized the need for continuous training, expansion of knowledge and to take part in such professional development as and when they consider it necessary and which would assist them to carry out their duties as Directors.
A.2 CHAIRMAN AND CHIEF EXECUTIVE OFFICER (CEO)			
There should be a clear division of responsibilities between the Chairman and Chief Executive Officer in order to ensure a balance of power and authority, in such a way that any individual has no unfettered powers of decision-making. The roles of the Chairman and Chief Executive Officer function separately in the Company. The Chairman's main responsibility is to lead, direct and manage the work of the Board in order to ensure that it operates effectively and fully discharges its legal and regulatory responsibilities. The Managing Director, who performs the role of the Chief Executive Officer, is responsible for the day-to-day operations of the Company.			
8. Division of responsibilities of the Chairman and Managing Director (CEO)	A.2	Complied	The positions and functions of the Chairman and the Managing Director have been separated; the role of the Managing Director is to manage the day-to-day running of the Company. The Board has delegated this responsibility to the Managing Director and he then leads the Corporate Management team in making and executing operational decisions. The Managing Director is also responsible for recommending strategy to the Board.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
A.3 CHAIRMAN'S ROLE			
The Chairman leads and manages the Board, ensuring that it discharges its legal and regulatory responsibilities effectively and fully preserves order and facilitates the effective discharge of the Board functions. The profile of the Chairman is given on page 78.			
9. Role of the Chairman	A.3.1	Complied	The Chairman is as an outstanding business leader, provides leadership to the Board, controls and preserves order at Board meeting and provides the Board with strategic direction and guidance in managing the affairs of the Company. The Chairman is also responsible for: • Ensuring the new Board members are given an appropriate induction, covering terms of appointment, • The effective participation of both Executive and Non-Executive Directors; • All Directors are encouraged to make an effective contribution, within their respective capabilities, for the benefit of the Company; • A balance of power between Executive and Non-Executive Directors is maintained; • The views of Directors on issues under consideration are ascertained:
A.4 FINANCIAL ACUMEN			
The Code requires that the Board comprises of members with sufficient financial acumen and knowledge in order to offer guidance on matters on finance. The Board of the Company has met the above requirement as some of the Board members are qualified Accountants having professional qualifications and are equipped with sufficient financial acumen and knowledge to offer guidance on matters of finance.			
10. Financial acumen and knowledge	A.4	Complied	The Board comprises two Chartered Accountants (CA Sri Lanka) and one Management Accountant (CIMA-UK). One of them serves as Chairman of the Audit Committee. These Directors add substantial value and independent judgment on the decision-making of the Board on matters concerning finance and investment.
A.5 BOARD BALANCE			
The Code requires that a balance is maintained between the Executive and Non- Executive Directors (NEDs) so that no individual or a small group of individual Directors are able to dominate the Board's decision-making. The Board consists of Three (03) Executive Directors and Six (6) Non-Executive Directors. Each of them brings to the Board, wide experience and the ability to exercise independence and judgment when taking informed decisions.			
11. Presence of Non-Executive Directors	A.5.1	Complied	Six (6) of the Nine (9) Directors are Non-Executive Directors, which is well above the minimum number prescribed by this Code.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
12. Independent Non-Executive Directors	A.5.2	Complied	Two (2) out of Six (6) Non-Executive Directors are independent as defined by the Code.
13. Criteria to evaluate Independence of Non-Executive Directors	A.5.3	Complied	Please refer Section A 5.5 below. The Board considers Non-Executive Director's independence on an annual basis. For a Director to be deemed 'independent' such a Director should be independent of management and free of any business or any other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgment.
14. Signed declaration of Independence by the Non-Executive Directors	A.5.4	Complied	Every Non-Executive Director of the Company has made a written submission as to their independence against the specified criteria set out by the Company, which is in line with the requirements of Schedule H of this Code.
15. Determination of Independence of the Board	A.5.5	Complied	The Board has determined the independence of Directors based on the declarations submitted by the Non-Executive Directors, as to their independence as a fair representation and will continue to evaluate their independence on this basis annually. No circumstances have arisen for the determination of independence by the Board, beyond the criteria set out in the Code. Independent Non-Executive Directors are: • Dr. H Cabral, PC • Mr. S Munaweera
16. Alternate Directors	A.5.6	Complied	Two alternate Directors have been appointed by two Non-Executive Directors and they are not executives of the Company: • A.J. Hirdaramani • T. Akbarally No other alternate Directors were appointed during the year. Please refer page 79 for the profiles of the alternative directors.
17. Senior Independent Director	A.5.7	Complied	Dr. H Cabral, PC, who is an Independent Non-Executive Director, functioned as the Senior Independent Director. The Senior Independent Director is the Director to whom concerns can be conveyed if a need arises. (Terms of Reference)
18. Confidential Discussions with Senior Independent Director	A.5.8	Complied	A Senior Independent Director is available for confidential discussions with other Directors who may have concerns which pertain to significant issues that are detrimental to the Group.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
19. Chairman's meeting of Non-Executive Directors	A.5.9	Complied	The Chairman meets with the Non-Executive Directors without the presence of Executive Directors, whenever necessary.
20. Recording of concerns in Board Minutes	A.5.10	Compliant	Concerns raised by the Directors which cannot be unanimously resolved during the year, if any, are recorded in the Board Minutes with adequate details
A.6 SUPPLY OF INFORMATION			
Management should provide time-bound information in a format that is appropriate and enables the Board to discharge its duties. Financial and non-financial information is analyzed and presented to the Board to make informed and accurate decisions.			
21. Obligation of the Management to provide appropriate and timely information to the Board	A.6.1	Complied	The Board was provided with timely and appropriate information by the management by way of Board papers and proposals. The Board sought additional information as and when necessary. The Chairman also ensured all Directors were properly briefed on issues arising at Board meetings.
22. Adequate time for effective Board meetings	A.6.2	Complied	The minutes, agenda and papers required for Board meeting are provided in advance to facilitate its effective conduct.
A.7 APPOINTMENTS TO THE BOARD			
The Code requires having a formal and transparent procedure in place for the appointment of new Directors to the Board.			
23. Nomination Committee	A.7.1	Complied	The Nomination Committee of the parent Company, Hayleys PLC, acts as the Nomination Committee for the Company and makes recommendations to the Board on all new Board appointments. The Nomination committee of Hayleys PLC consists of following members. • A.M. Pandithage – Chairman • K.D.D. Perera • W.D.N.H. Perera • Dr. H. Cabral, PC
24. Assessment of Board Composition by the Nomination Committee	A.7.2	Complied	The Nomination Committee annually assesses Board composition to ascertain whether the combined knowledge and experience of the Board matches the strategic demands facing the Company. The findings of such assessment are taken into account when new Board appointments are considered.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
25. Disclosure of required details to Shareholders on new appointments to the Board	A.7.3	Complied	When new Directors are appointed, a brief resume of each such Director, including the nature of his expertise, the names of companies in which the Director holds directorships, memberships in Board Sub-Committees etc., are informed to the Colombo Stock Exchange (CSE) in addition to disclosing this information in the Annual Report. Further, any changes in the details provided by the Directors are disseminated to the CSE without delay. The profiles of the above Directors are given on pages 78 and 79.
A.8 RE-ELECTION			
The Code requires all Directors to submit themselves for re-election, at regular intervals and at least once every three years.			
26. Appointment of Non-Executive Directors, Chief Executive and Directors	A.8.1	Complied	The provisions of the Company's Articles require a Director appointed by the Board to hold office until the next Annual General Meeting and seek re-appointment by the shareholders at that meeting. The Articles call for one-third of the Directors in office to retire at each Annual General Meeting. The Directors who retire are those who have served for the longest period after their appointment /re appointment. Retiring Directors are generally eligible for re-election. Accordingly, Mr. A.M. Pandithage, Mr. S.C. Ganegoda and Dr. H. Cabral, PC retire by rotation and being eligible offer themselves for re-election
27. Election of Directors by Shareholders	A.8.2	Complied	The names of the Directors submitted for election or re-election is accompanied by a resume to enable shareholders to make an informed decision on their election.
A.9 APPRAISAL OF BOARD PERFORMANCE			
The Board should periodically appraise its own performance against the present targets in order to ensure that the Board responsibilities are satisfactorily discharged.			
28. Annual performance evaluation of the Board and its Committees	A.9.1 & 9.2	Complied	The Chairman and Remuneration Committee evaluate the performance of the Executive Directors Periodically. The Board undertakes an annual self-evaluation of its own performance and of its Committees. The Board evaluated its performance and effectiveness in the current year.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
29. Disclosure of performance evaluation criteria	A. 9.3	Complied	Evaluation criteria with regard to Executive Directors are financial and non-financial targets set at the beginning of the year through the annual corporate plan. Criteria relating to evaluation of Board Committees are the performance against their duties referred in respective committee reports. Refer pages 115 and 116.
A.10 DISCLOSURE OF INFORMATION IN RESPECT OF DIRECTORS			
Details in respect of each Director should be disclosed in the Annual Report for the benefit of the shareholders.			
30. Details in respect of Directors	A.10.1	Complied	The following details pertaining to each Director are disclosed as follows: (a) Brief profile with expertise and experience – pages 78 and 79 (b) Directors' Interest in Contracts - page 109 and 165 (c) Detail of Board Meetings held during the year page 103
A.11 APPRAISAL OF CHIEF EXECUTIVE OFFICER			
The Board of Directors should annually assess the performance of the Managing Director who performs the role of the Chief Executive Officer			
31. Targets for Managing Director	A.11.1	Complied	Prior to the commencement of each financial year, the board sets reasonable financial and non-financial targets which are in line with short, medium and long-term objectives of the Company, achievement of which should be ensured by the Managing Director
32. Evaluation of the performance of the Managing Director	A.11.2	Complied	The performance is evaluated by the Board at each board meeting and the overall evaluation at the end of each fiscal year in order to ascertain whether the targets set by the Board have been achieved and if not, whether the failure to meet such targets was reasonable in the circumstances.
B. DIRECTORS' REMUNERATION			
B.1 REMUNERATION PROCEDURE			
This principle ensures that the Company has a well-established, formal and transparent procedure in place for developing an effective remuneration policy for both Executive and Non-Executive Directors where no Director is involved in deciding his/her own remuneration in order to avoid potential conflict of interest.			
33. Establishment of a Remuneration Committee	B.1.1	Complied	The Remuneration Committee was formed in year 2014. The Committee is required to decide on the remuneration of the Executive Directors and sets guidelines for the remuneration of the management staff within the Group. The Chairman and Managing Director are not members of this Committee. Please refer page 116 for the Remuneration Committee Report.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
34. Composition of Remuneration Committee	B.1.2	Complied	The Remuneration Committee consists of two Independent Non-Executive Directors and the Chairman of this Committee is appointed by the Board.
35. Chairman and the members Of the Remuneration Committee	B.1.3	Complied	The Remuneration Committee consists of following Independent Non- Executive Directors: • Dr H Cabral, PC - Chairman • Mr. S. Munaweera – Member
36. Determination of Remuneration of the Non-Executive Directors	B.1.4	Complied	The Board as a whole determines the remuneration of the Non-Executive Directors including the members of the Remuneration Committee which the Board believes is in line with current market conditions.
37. Consultation of the Chairman and access to professional advice	B.1.5	Complied	Each Committee has the authority to seek internal and external independent professional advice on remuneration of other Executive Directors and also on matters falling within its purview at the Company's expense. Views of the Chairman of each Committee are obtained, in addition to the views of the Managing Director.
B.2 THE LEVEL AND MAKE UP OF REMUNERATION			
The level of remuneration of both Executive and Non-Executive Directors should be sufficient to attract and retain the Directors needed to run the Company successfully. A proportion of Executive Directors' remuneration should be structured to link rewards to the corporate and individual performance.			
38. Level and makeup of the remuneration packages of Executive Directors.	B.2.1	Complied	The Board is mindful of the fact that the remuneration of Executive Directors should reflect the market expectations and is sufficient enough to attract, retain and motivate the Executive Directors of the required competence in order to run the Company.
39. Competitiveness of levels of Remuneration	B.2.2	Complied	The Remuneration Committee ensures that the remuneration of executives of each level of management including Executive Directors is competitive and in line with their performance. Surveys are conducted as and when necessary to ensure that the remuneration is competitive and in line with those of comparative companies.
40. Comparisons of remuneration with other companies in the Group	B.2.3	Complied	The Remuneration Committee reviews data concerning executive pay among the Group Companies.
41. Designing the performance based Remuneration for Executive Directors	B.2.4	Complied	Performance-based incentives have been determined by the Remuneration Committee to ensure that the total earnings of the Executive Directors are aligned with the achievement of objectives and budgets of the Group companies.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
42. Executive Share Options	B.2.5	N/A	Presently the Group does not have an executive Share Option Scheme.
43. Designing the Performance Related Remuneration of Executive Director	B.2.6	Complied	The Remuneration Committee follows the provisions set out in Schedule D of the Code as required.
44. Early termination of Executive Directors	B.2.7 B.2.8	N/A	Termination of Executive Directors are governed by their contracts of service/employment
45. Levels of Remuneration of Non-Executive Directors	B.2.9	Complied	Remuneration for Non-Executive Directors reflects the time commitment and responsibilities of their role, taking into consideration market practices.
B.3 DISCLOSURE OF REMUNERATION			
The Code requires the Company to disclose in its Annual Report the details of the remuneration paid and the Remuneration Policy.			
46. Disclosure of Remuneration	B.3.1	Complied	Please refer page 108 for the total Directors' remuneration
C. RELATIONS WITH SHAREHOLDERS			
C.1 CONSTRUCTIVE USE OF THE ANNUAL GENERAL MEETING (AGM) AND CONDUCT OF GENERAL MEETINGS			
The Code requires the Board to use the AGM which is a major event in the Company's calendar to communicate with shareholders and encourage their active participation. In this regard, all shareholders of the Company receive the Notice of Meeting within the statutory due dates.			
47. Use of Proxy Votes	C.1.1	Complied	The Company has in place an effective mechanism to count all proxies lodged on each resolution, and the balance for and against the resolution, after it has been dealt with on a show of hands, except where a poll is called.
48. Separate resolution for substantially separate issues and adoption of Annual Report and Accounts	C.1.2	Complied	The Board remains mindful of being accountable to shareholders and the need for transparency at all levels, striving to maintain its value framework in all shareholder dealings and communications.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
49. Availability of all Board Sub Committee Chairman at the AGM	C.1.3	Complied	The Chairman of the Company ensures the Chairmen of Audit and Remuneration Committees are available to answer questions at the AGM if so requested by the Chairman.
50. Adequate notice of the AGM to Shareholders	C. 1.4	Complied	A copy of the Annual Report including Financial Statements, Notice of the Meeting and the Form of Proxy is sent to shareholders 15 working days prior to the date of the AGM, as required by the statute, in order to provide the opportunity to all the shareholders to attend the AGM.
51. Procedures of voting at General Meetings	C.1.5	Complied	A summary of the procedures governing voting at General Meeting is circulated to shareholders with every Notice of the General Meeting.
C.2 COMMUNICATION WITH SHAREHOLDERS			
The Code Requires the Board should implement effective communication with shareholders.			
52. Channel to reach all shareholders	C.2.1	Complied	The main mode of communication between the Company and the shareholders is the Annual General Meeting. Shareholders are provided with the information prior to the AGM. Further, financial and other announcements are promptly submitted to CSE to publish in the CSE website. Comments and suggestions can be sent through marketing@alumexgroup.com
53. Policy methodology for communication with shareholders.	C.2.2.	Complied	An open door policy is in place, which enables shareholders to keep in constant touch, visit and obtain information from the Company Secretary and Investor Relations Department and engage in dialogue Contact details are published in all annual and quarterly financial reporting.
54. Implementation of the policy and methodology for communication with shareholders.	C.2.3	Complied	Please refer C.2.4 and C.2.5 for the implementation of the policy and methodology
55. Contact person for communication	C.2.4 & C.2.6	Complied	Details of contact persons are disclosed in the back inner cover of the Annual Report and Quarterly Financial Statements.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
56. Process to make Directors aware of major issues and concerns of shareholders	C.2.5	Complied	The Company Secretary maintains a record of all correspondence received. All major issues and concerns of the shareholders are referred to the Board of Directors with the views of the management.
C.3 MAJOR TRANSACTIONS			
Directors should disclose to shareholders all proposed corporate transactions which if entered into, would materially alter/vary the Company's net asset base or the Consolidated Group's net asset base.			
57. Disclosure on proposed Major Transaction	C.3.1	Complied	During the year there were no major transactions as defined by Section 185 of the Companies Act No. 07 of 2007 which materially affect the net asset base of Company or the Group's consolidated net asset base.
D. ACCOUNTABILITY AND AUDIT			
D.1 FINANCIAL REPORTING			
The Board should present a balanced and understandable assessment of the Company's financial position, performance and prospects.			
58. Board's responsibility for Statutory and Regulatory Reporting	D.1.1	Complied	The Board has recognized the responsibility to present regulatory and statutory reporting in a balanced and understandable manner. When preparing quarterly and Annual Financial Statements, the Company complied with the requirements of the Companies Act No. 07 of 2007 and prepared and presented them in accordance with Sri Lanka Accounting Standards. The Company has complied with the reporting requirements prescribed by the Colombo Stock Exchange.
59. Declaration by Directors' report in the Annual Report	D.1.2	Complied	The Directors have made all required declarations in the 'Annual Report of the Board of Directors that appears on pages 108 to 112.
60. Statement of Directors' and Auditor's responsibility for Financial Reporting	D.1.3	Complied	The 'Statement of Directors' Responsibility' is given on page 113. See the 'Auditors' Report' on page 121 for the reporting responsibility of Auditors.
61. Management Discussion and Analysis	D.1.4	Complied	See 'Management Discussion and Analysis' on pages 30 to 75.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
62. Declaration by the Board on Going Concern of the Business	D.1.5	Complied	This is given in the 'Annual Report of the Board of Directors' on page 112 and the 'Statement of Directors' Responsibility' on page 113 and pertains to required declarations.
63. Summon an EGM to notify serious loss of capital	D.1.6	Compliant	Reason for such an EGM has not risen as yet but would be complied with if such a situation arises.
64. Disclosure of related party transactions	D.1.7	Complied	The Directors have instituted an effective and comprehensive system of internal control for identifying, recording and disclosing related party transactions. All related party transactions, as defined in Sri Lanka Accounting Standard - (LKAS 24) on 'Related Party Transactions' are disclosed in note 28 to Financial Statements.
D.2 INTERNAL CONTROL			
The Board should have a sound system of internal controls to safeguard shareholders' investments and the Company's assets.			
65. Annual evaluation of the internal controls system	D.2.1	Complied	The Board is responsible for the Group's internal control and its effectiveness. Internal control is established with emphasis placed on safeguarding assets, making available accurate and timely information and imposing greater discipline on decision-making. It covers all controls, including financial, operational and compliance controls and risk management. It is important to state, however, that any system can ensure only reasonable, and not absolute assurance that errors and irregularities are prevented or detected within a reasonable time. The Hayleys Management Audit & System Review Department (MA & SRD) plays a significant role in assessing the effectiveness and successful implementation of existing controls and strengthening these and establishing new controls where necessary. The MA & SRD's reports are made available to the Chairman and Managing Director and the Chairman of the Audit Committee. The Board has reviewed the effectiveness of the system of financial controls for the period up to the date of signing the accounts. There is a direct channel of communication between the Head of MA & SRD and the Chairman of the Audit Committee without the interference of any Directors or Executives.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
66. Need for internal audit function	D.2.2	Complied	This is not applicable as the Hayleys Management Audit & System Review Department (MA & SRD) is responsible for the internal audit function of the Company.
67. Review of the process and effectiveness of risk management and internal controls.	D.2.3	Complied	The Audit Committee reviews internal control issues and risk management measures and evaluates the adequacy and effectiveness of the risk management and internal control systems including financial reporting.
68. Directors' responsibility of maintaining of a sound internal control system	D.2.4	Complied	Please refer Statement of Directors' Responsibilities on page 113.
D.3 AUDIT COMMITTEE			
The Board should have formal and transparent arrangements in selecting and applying the accounting policies, financial reporting and internal control principles and maintaining an appropriate relationship with the Company's External Auditor.			
69. Composition of the Audit Committee	D.3.1	Complied	Audit Committee consists of two Independent Non Executive Directors and a Non-Executive Director • S Munaweera - Chairman • Dr H Cabral, PC - Member • R P Pathirana - Member The Company Secretary Serves as its Secretary. The Chairman, Managing Director and the Chief Financial Officer (CFO) and Hayleys Group CFO are invited to attend meetings as required. The input of the statutory Auditors will be obtained where necessary. The Audit Committee is required to help the Company to achieve a balance between conformance and performance.
70. Duties of the Audit Committee	D.3.2	Complied	The Audit Committee keeps under review the scope and results of the audit and its effectiveness, and the independence and objectivity of the auditors. Review of nature and extent of non-audit services provided by the auditors to seek balance objectivity and independence. Refer Audit Committee Report on page 115 for the duties.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
71. Terms of reference of the Audit Committee	D.3.3	Complied	Terms of Reference of the Board Audit Committee is clearly defined in the Charter of the Audit Committee approved by the Board of Directors. This clearly explains the purpose of the Committee, its duties and responsibilities together with the scope and functions of the Committee. The Committee is required mainly to deal with the matters pertaining to statutory and regulatory compliance in financial reporting, matters with regard to the External Auditors, Internal Audit and Risk Management procedures of the Company. Please refer Audit Committee Report on page 115.
72. Disclosures of the Audit Committee	D.3.4	Complied	The names of the members of the Audit Committee are given under section D.3.1 of this Code. The Committee ensures that the rotation of External Audit Engagement Partner, once every 5 years, is met. The External Auditor, has provided an independence confirmation in compliance with the "Guidelines for Appointment of Auditors of Listed Companies" issued by SEC. In order to safeguard the objectivity and independence of the External Auditor, the Audit Committee reviewed the nature and scope taking account of the regulations guidelines stated in Section D.3.2.
D.4 CODE OF BUSINESS CONDUCTED AND ETHICS			
The Company should develop a Code of Business Conduct and Ethics for Directors and members of the Senior Management team and must promptly disclose any waivers of the Code for Directors or others.			
73. Code of Business Conduct and Ethics	D.4.1	Complied	The Company has developed a Code of Conduct for its employees. This Code addresses conflict of interest, corporate opportunities, confidentiality of information, fair dealing, protection and proper use of the Company's assets, compliance with laws and regulations and encouraging the reporting of any illegal or unethical behaviour, etc.
74. Affirmative Statement by the Chairman	D.4.2	Complied	See the 'The Chairman's statement on page 12 for required details.
D.5 CORPORATE GOVERNANCE DISCLOSURE			
Directors of the Company disclose annually the Company's adherence to the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka.			
75. Disclosure of corporate governance	D.5.1	Complied	This requirement is met through the presentation of this report.

Corporate Governance

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
E. INSTITUTIONAL INVESTORS			
E.1 SHAREHOLDERS' VOTING			
Institutional shareholders are required to make considered use of their votes and are encouraged to ensure their voting intentions are translated into practice.			
76. Communication with shareholders	E.1.1	Complied	In order to avoid conflicts of interest by nurturing the mutual understanding, the Board carries out dialogues with its shareholders at general meetings. In this regard, the AGM of the Company plays a critical role. Voting by the shareholders is crucial in carrying a resolution at the AGM. The Chairman, who plays the role of the agent, communicates the views and queries of the shareholders to the Board and the senior management, in order to ensure that the views are properly communicated to the Company.
E.2 EVALUATION OF GOVERNANCE DISCLOSURES			
The Code requires the Company to encourage institutional investors to give due weightage to all relevant factors drawn to their attention.			
77. Due weightage by Institutional Investors	E.2.1	Complied	The Institutional Investors are encouraged to give due weightage to all relevant matters relating to the Board structure and composition.
F. OTHER INVESTORS			
F.1 INVESTING/DIVESTING DECISIONS			
78. Seek Independent Advice	F.1	Complied	Individual investors are encouraged to carry out adequate analysis or seek independent advice in investing or divesting decisions. The Company's website serves to provide a wide range of information on the Group.
F.2 SHAREHOLDER VOTING			
79. Encourage Voting by Individual Investors	F.2	Complied	Individual shareholders are encouraged to participate in General Meetings of the Company and exercise their voting rights.

Corporate Governance Principles	Reference of Code	Compliance	The Company's Extent of Compliance in 2015/16
G. SUSTAINABILITY REPORTING			
G.1 PRINCIPLES OF SUSTAINABILITY REPORTING			
The Code requires the Company to adopt the following principles in Sustainability Reporting to ensure the maintenance of policies and procedures to develop a sustainable business environment and to make disclosure on Sustainability			
80.Economic Sustainability	G.1.1	Complied	Company uses various strategies to employ the resources optimally to achieve responsible and beneficial balance in economic performance in the long term. Refer page 28 for strategies and page 35 for outlook.
81.The Environment	G.1.2	Complied	The company adopts an integrated approach which mitigates the environmental threats and improves best practices in company's engagements to fulfill the obligation towards the environment. Such best practices are atmospheric emission management, water management, Waste management, Material Management and Noise management . Refer to the Natural Capital on pages 70 to 75 in this Annual report.
82.Labour Practices	G.1.3	Complied	Company maintains sound and effective labour related policies and practices relating to work performed by the employees. Refer pages 48 to 55 in the annual report for information.
83.Society	G.1.4	Complied	Company implements community development programmes in order to build a strong relationship with the community and strives towards sustainable development. Refer pages 56 to 69 in this annual report for related information.
84.Product Responsibility	G.1.5	Complied	Company manufactures quality products according to certified quality standards, and offers proper distribution system of the same, which ensures high customer satisfaction. Please refer pages 67 to 69 for information.
85.Stakeholder identification, engagement and effective communication.	G.1.6	Complied	Company maintains proactive and transparent communication system with internal and external stakeholders. Communication includes reporting on economic, social and environmental issues relevant to the company.
86.Sustainable reporting and disclosure	G.1.7	Complied	Company has followed the sustainability reporting guidelines published by the Institute of Chartered Accountants of Sri Lanka in the "Guidelines for presentation of Annual reports 2013".

Corporate Governance

SECTION 2 : COLOMBO STOCK EXCHANGE LISTING RULES SECTION 7.10

Statement of Compliance

This section covers Alumex PLC's extent of adherence to the requirements of the Continuing Listing Requirements of Section 7.10 on Corporate Governance Rules for Listed Companies issued by the Colombo Stock Exchange.

Rule No.	Subject	Alumex Extent of Adaption	Compliance Status	Reference in this Report
7.10.1(a)	Non-Executive Directors (NED)	Six (6) of the nine (9) Directors were Non-Executive Directors as at 31st March 2016	Complied	Corporate Governance
7.10.2(a)	Independent Directors	Two (2) of the Six (6) Non-Executive Directors were independent as at 31st March, 2016.	Complied	Corporate Governance
7.10.2(b)	Independent Directors	All Non-Executive Directors have submitted their confirmation of independence as per the criteria set by the CSE rules, which is in line with the regulatory requirements.	Complied	Corporate Governance
7.10.3(a)	Disclosure relating to Directors	The Board assessed the independence declared by the Directors and determined the Directors who are independent and disclosed same in item A.5.5 of the ICASL Code table.	Complied	Corporate Governance
7.10.3(b)	Disclosure relating to Directors	The Board has determined that Two (2) Non-Executive Directors satisfy the criteria for "independence" set in the Listing Rules. The Board is of the opinion that Dr. H. Cabral's independence will not be compromised by him being an independent Non-Executive Director of Hayleys PLC.	Complied	Corporate Governance
7.10.3(c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report including the Director's areas of expertise.	Complied	Board of Directors' (profile) section in the Annual Report on – pages 78 and 79
7.10.3(d)	Disclosure relating to Directors	Disclosed the appointments of new Directors to the Colombo Stock Exchange and was disclosed to the public. Brief resumes of the Directors appointed during the year have been provided to the Colombo Stock Exchange.	Complied	Corporate Governance and Board of Directors (profile) section in the Annual Report

Rule No.	Subject	Alumex Extent of Adaption	Compliance Status	Reference in this Report
7.10.5(a)	Composition of Remuneration Committee	The Remuneration Committee comprised of Two (2) Independent Non-Executive Directors as at 31st March 2016.	Complied	Corporate Governance and Remuneration Committee Report
7.10.5(b)	Functions of Remuneration Committee	The Remuneration Committee shall recommend the remuneration of the Managing Director and the Executive Directors.	Complied	Corporate Governance and Remuneration Committee Report
7.10.5(c)	Disclosure in the Annual Report relating to Remuneration Committee	Names of Remuneration Committee members are given in section B.1.3 of the ICASL code table on page 91 . The disclosure of the Remuneration Committee is given on page 116 and the Remuneration paid to Directors is given in the Note 8 to the Financial Statement on page 142.	Complied	Corporate Governance and Remuneration Committee Report
7.10.6(a)	Composition of Audit Committee	Shall comprise of NEDs, a majority of whom will be independent.	Complied	Corporate Governance and Audit Committee Report
7.10.6(b)	Audit Committee Functions	Audit Committee functions are stated in the Audit Committee Report – page 115 .	Complied	Corporate Governance and Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report relating to Audit Committee	The names of the Audit Committee members given on page 96. The basis of determination of the independence of the Auditor is also given in section D.3.4 of the ICASL code table.	Complied	Corporate Governance and Audit Committee Report

Corporate Governance

SECTION 3 : COLOMBO STOCK EXCHANGE LISTING RULES SECTION 9

Statement of Compliance

This section covers Alumex PLC's extent of adherence to the requirements of the Code of Best practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka and the Section 9 of the Listing Rules of the Colombo Stock Exchange

Rule No.	Subject	Alumex Extent of Adaption	Compliance Status	Reference in this report
9.2.1 & 9.2.3	Related Party Transactions Review Committee (RPTRC)	The RPTRC of the parent Company, Hayleys PLC, a listed entity, functions as the RPTRC for the Company The Committee was formed on 10th February 2015. The functions of the Committee are stated in Related Party Transactions review Committee Report in page 117.	Complied	Annual report of Board of Directors - pages 108 to 112 Related Party Transactions Review Committee Report - page 117
9.2.2	Composition of the Related Party Transactions Review Committee	The RPTRC consists of following Directors: Dr H Cabral, PC - Chairman (Independent Non-Executive Director - Hayleys PLC) Mr. M D S Goonetilleke - (Independent non-executive Director - Hayleys PLC) (resigned w.e.f. 12 May 2016) Mr. S C Ganegoda - (Executive Director - Hayleys PLC)	Complied	Annual report of Board of Directors - pages 108 to 112 Related Party Transactions Review Committee Report - page 117
9.2.4	Related Party Transactions Review Committee-Meetings	The committee was formed on 10th February 2015 and met 02 times during the financial year of 2015/16. Shall meet once in a quarter	Complied	Annual report of Board of Directors - pages 108 to 112
9.3.1	Immediate disclosures	Company has not involved with any Non recurrent related party transactions which requires immediate announcement to the Exchange.	Complied	Notes 28 to the Financial Statements - pages 165 to 168
9.3.2 (a)	Disclosure - Non-recurrent Related Party Transactions	Company has not involved with any Non recurrent related party transactions with aggregate value exceeds 10% of the equity or 5% Total assets whichever is lower. Hence no disclosure requires.	Complied	Notes 28 to the Financial Statements - pages 165 to 168

Rule No.	Subject	Alumex Extent of Adaption	Compliance Status	Reference in this report
9.3.2 (b)	Disclosure - Recurrent Related Party Transactions	Company involves with provision of goods and services or financial assistance to related parties which are carried out on a continuing basis and expected to extend over a period of time in ordinary course of business of the Company. However, aggregate values of these transactions were below 10% of gross revenue of latest audited accounts.	Complied	Notes 28 to the Financial Statements - pages 165 to 168
9.3.2 (c)	Report by the Related Party Transactions review Committee	Refer page 117 for the Related Party Transactions Review Committee report	Complied	Related Party Transactions Review Committee Report - page 117
9.3.2 (d)	A declaration by the Board of Directors	Refer pages 108 to 112 - The Annual Report of Directors for an affirmative statement of compliance of the Board .	Complied	Annual report of Board of Directors - pages 108 to 112

Board and the Committee Attendance

The number of meetings of the Board and the Audit Committee and individual attendance by members are as follows:

Board Meeting Attendance

Name of Director	Attendance
Mr. A.M.Pandithage	4/4
Mr. R.P.Peris	4/4
Mr. S.C.Ganegoda*	4/4
Mr. R.P.Pathirana*	4/4
Mr. A.A.Akbarally*	2/4
Mr. D.W.P.N.Dediwela	4/4
Mr. H.H.Abdulhisein*	2/4
Dr. H.Cabral,PC **	3/4
Mr. S.Munaweera**	3/4

Audit Committee Attendance

Name of Director	Attendance
Dr. H.Cabral,PC **	2/4
Mr. S.Munaweera**	4/4
Mr. R.P.Pathirana*	1/2

(Mr. R.P. Pathirana was appointed to the Audit Committee on 13th May 2015)

Risk Management

Alumex Risk Management Framework

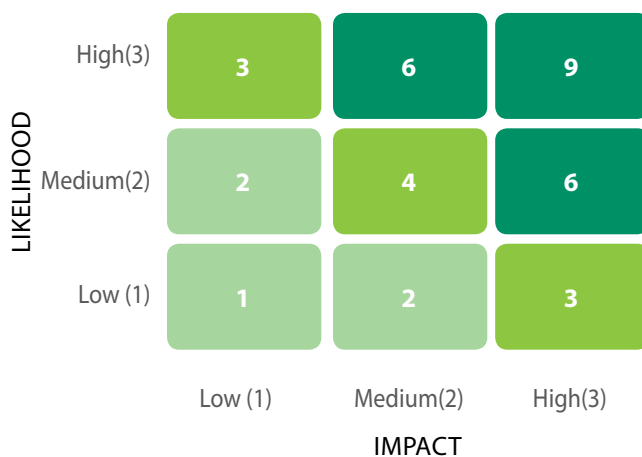
Alumex uses COSO and Risk Management Industry approaches as the conceptual framework of Enterprise Risk Management. The framework consists of identifying and profiling significant risks, modelling and measuring risk, determining Group risk appetites, accepting/transferring/eliminating/sharing risk, measuring performance, including the benefits of risk diversification, and monitoring execution of the process. The outcome of this process will help to direct scarce resources towards business opportunities that generate maximum returns, with minimum risks. Further, this method allows assessment of risk observations to prioritise risk management.

Enterprise Risk Management Process

Objective Setting	Alumex Group sets its financial and operational objectives on a yearly basis. This process includes reviewing and setting long term (five-year) objectives and annual objectives with related KPIs for monitoring purposes. The Corporate Management Team takes the initiative in proposing objectives and they are reviewed and approved by the Board.
Risk Identification	Risks associated with objectives are identified and documented parallel to objective setting. Further, the applicability of risk areas identified previously during management discussions in internal audit reports and management letters of external auditors are reviewed to prepare a comprehensive list of risks of the Group.
Risk Assessment	The measure of risk is based on likelihood and impact assessment performed as explained below. Any significant risks exceeding risk tolerance limits will require management responses.
Risk Response	Depending on the significance of the risk, decisions are taken to appropriately manage the risk by accepting, reducing, sharing or avoiding it. Risk responses identified in relation to set objectives are also documented and reviewed.
Control Activities	The Corporate Management Team and the Group Managers implement the risk response action plans identified, with a view to managing those risks.
Information and Communication	Documentation and reporting plays a key role in monitoring risk. The corporate plan, which includes objectives and related risks, internal audit reports and management letters of external auditors, are communicated to the management of the Company, the Audit Committee and the Board of Directors, of both Alumex and its holding company, Hayleys PLC, for their review and actions.
Monitoring	Monitoring risks at multiple levels: During the monthly performance review meetings, all significant risks and their actions plans are reviewed by the Corporate Management Team and the Group Managers. The Hayleys' Group Management Committee, attended by the Managing Director of the Alumex Group, also reviews these risk areas on a monthly basis. The Audit Committee, which has the ultimate responsibility of monitoring the process of risk management, reviews the risks and action plans on a quarterly basis and makes recommendations to the Board.

Risk Assessment

The COSO view of risk assessment is based on the likelihood and impact of a specific type of event; the output is a probability weighted impact. The high risk area in the top right corner of the matrix demands higher and prompt attention.



Risk Management Structure

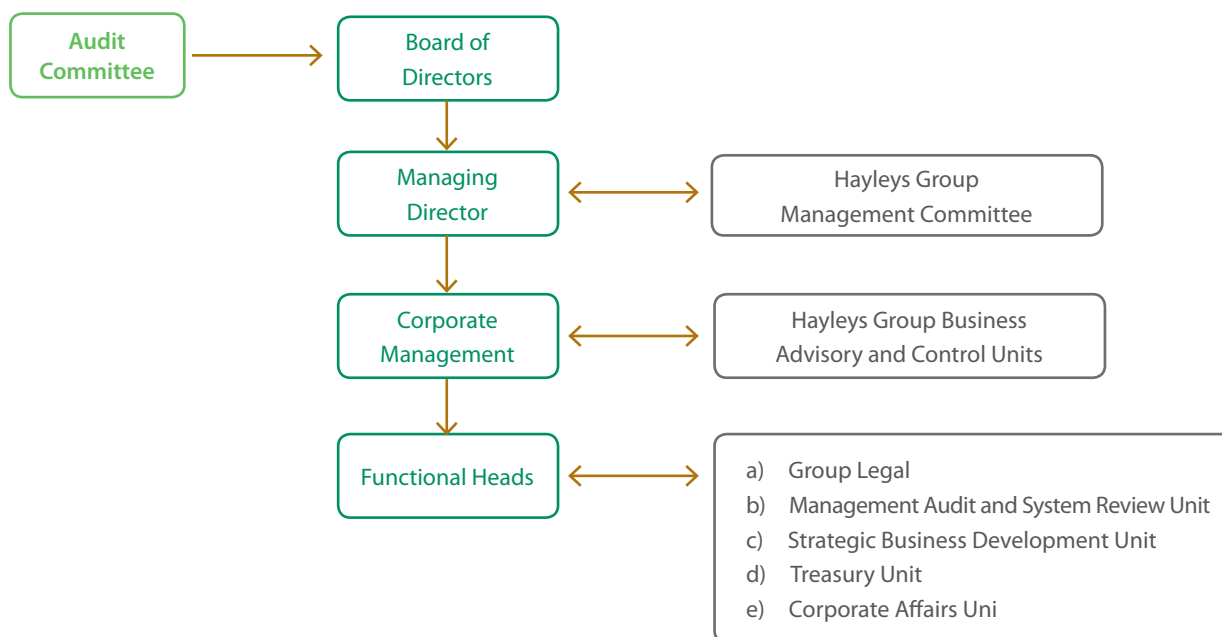
The Board is primarily responsible for ensuring that the risks are identified and appropriately managed across the Group. The Board has delegated this responsibility to the Audit Committee to review the effectiveness of the Group risk management framework, including the systems established to identify, assess, manage and monitor risks. The internal audit function also plays a key role in risk identification.

The corporate management team takes the lead in the total risk management process - the identification of risks and finally the implementation and monitoring of identified risks. A bottom-up approach is taken in the process of risk identification. The corporate management team also evaluates the options available to mitigate risks. Functional heads provide useful information and feedback to the corporate management team for risk management with the assistance of the employees of the Group.

The Hayleys' Group Management Committee and the business advisory and control units specialized in legal, management audit and system reviews, strategic business developments, treasury, HR and corporate affairs, also play a key role in identifying, assessing, controlling and monitoring the risks applicable to Alumex Group business operations.

Organizational Structure	Risk Management Role
Board of Directors	Overlook the risk management strategy and the Enterprise Risk Management process
Audit Committee	Oversee and review the Enterprise Risk Management process
Hayleys' Group Management Committee	Identify, assess and monitor risks relating to Alumex business operations
Hayleys' Group Business Advisory and Control Units	Identify and assess risks related to Alumex' business operations within their expertise in legal, systems and audit, strategic business development, treasury, HR and corporate affairs.
Corporate Management Team	Identify, assess, monitor risks, and implement action plans
Functional Heads	Implement, monitor and elicit feedback

Risk Management



Risk Management Actions

The table below sets out the broader categories of risks, along with specific risk elements Alumex is exposed to the implications of the same and the risk management measures in place.

Risk Category	Risk Element	Implications	Mitigating Measures	Risk Level High, Medium, Low
Market Risk	Commodity Price Risk Fluctuations in Aluminium prices in the world market	Increase in Aluminium raw material prices will create losses due to fixed selling prices	- Monitor prices/trends and forward booking - Quote variable prices to customers, based on London Metal Exchange prices	High
	Foreign Currency Risk arises from exposure to foreign currency positions	Losses can arise when foreign currency assets and liabilities are translated into local currency as at the balance sheet date, or when transactions are carried out in foreign currency	- Monitor trends and forward booking - Maintain foreign currency denominated assets to hedge against liabilities	High
	Interest Rate Risk arising due to the sensitivity to interest rate changes	Increase in interest rates could impact demand for Aluminium due to high cost of financing and increase the cost of borrowing	- Effective management of working capital - Maintain a proper combination of fixed and floating rates	Low

Risk Category	Risk Element	Implications	Mitigating Measures	Risk Level High, Medium, Low
Liquidity Risk	Availability of funds the Group has to be liquid and solvent to carry out its operations smoothly	Unavailability of sufficient funds may interrupt the smooth functioning of the Company's operations	• Effective treasury function to forecast funds requirement and availability • Maintain a portfolio of short term liquid assets • Arrange sufficient financial facilities	Low
Operational Risk	Risk of having a few major customers and/or suppliers Dependence on few main customers and or suppliers	Loss of a major customer affects revenues and loss of a major supplier affects the supply of critical raw material for manufacture	• Diversify and increase the customer base • Develop multiple supplier network	Medium
	Competition Risk coming from flooding the market with low priced, poor quality imported and locally manufactured products.	Loss of business due to customers shifting to cheaper products	• Continue to promote and advertise on quality of Alumex Products. • Branding and differentiating products for easy identification • Customer awareness programs	Medium
	Regulatory Risk Adverse impact on the business due to changes in government policies.	Loss of business due to new free trade agreements with foreign countries and barriers imposed against exporting Aluminium products	• Continuous lobbying with policy makers to educate them on adverse consequences • Quality improvements and product differentiation	High
	Labor Shortages Reduction in skilled and un-skilled labor	Increase in production costs due to higher wages	• Automation • Increase living standards of employees to reduce turnover	Medium
Credit Risk	Risk of Bad Debts Losses due to payment default by credit customers	Could result in direct losses due to bad debt and increase in finance cost due to delayed payments	• Implementation of Group credit policy • Periodic review of receivables Legal and other recovery actions	Medium

Annual Report of the Board of Directors on the Affairs of the Company

The Directors of Alumex PLC have pleasure in presenting the Report on the Affairs of the Company together with the audited Financial Statements for the year ended 31st March 2016. The details set out herein provide the pertinent information required by the Companies Act No.7 of 2007, the Colombo Stock Exchange Listing Rules and are guided by recommended best reporting practices.

Principal Activities & Business Review

The principal activity of the Company is manufacturing and selling dies and aluminium extrusions. There were no significant changes in the activities of the Company in the year under review. A review of Company performance during the year with brief comments on the financial results and prospects is contained in the Chairman's Review of this Annual Report. These reports together with the Financial Statements reflect the state of affairs of the Company.

The Directors, to the best of their knowledge and belief, confirm that the Company has not engaged in any activities that contravene laws and regulations.

The Company was listed on the Colombo Stock Exchange on 31st March 2014 subsequent to an Initial Public Offering.

Financial Statements

The Financial Statements of the Company are given on pages 122 to 173.

Auditor's Report

The Auditor's Report on the Financial Statements is given on page 121.

Accounting Policies

The accounting policies adopted in the preparation of Financial Statements are given on pages 129 to 140.

There were no changes in the accounting policies adopted.

Interests register

The Company, in compliance with the Companies Act No.7 of 2007, maintains an Interests Register. Particulars of entries in the Interests Register are detailed below.

Related Party Transactions

The Board of Directors has given the following statement in respect of the related party transactions.

The related party transactions of the Company during the financial year have been reviewed by the Related Party Transactions Review Committee which is formed under the parent company and are in compliance with the Section 09 of the CSE Listing Rules.

The Committee met Two (02) times in the Financial year 2015/16.

Attendance

Meetings held on 22nd January 2016 and 23rd March 2016.

Dr H Cabral**	2/2
Mr. M D S Goonetilleke** (resigned w.e.f. 12.05.2016)	2/2
Mr S C Ganegoda*	2/2

**Independent Non-executive

*Executive

Directors' Interests in Transactions

The Directors of the Company have made the general disclosures provided for in Section 192(2) of the Companies Act No.7 of 2007. Note 28 to the Financial Statements dealing with related party disclosures includes details of their interests in transactions.

Directors' Interests in Shares

Directors of the Company who have relevant interests in the shares of the Company have disclosed their shareholdings in compliance with Section 200 of the Companies Act.

Details of Directors' shareholdings in the Company are given later in this report.

Directors' Remuneration

Executive Directors' remuneration is established within an established framework. The total remuneration of Executive Directors for the year ended 31st March 2016 was Rs. 24,829 which includes the value of perquisites granted to them as part of their terms of service. The total remuneration of Non Executive Directors for the year ended 31st March 2016 was

Rs. 705,000.00 determined according to scales of payment decided upon by the Board. The Board is satisfied that the payment of this remuneration is fair to the Company.

Insurance and Indemnity

Pursuant to a decision of the Board, Company has obtained an insurance policy to cover director's liability under the parent Company, Hayleys PLC.

The limit on liability of the cover is USD 5 Mn at a premium of Rs. 4.6 Mn per annum.

Directors' Shareholdings

Name	No of shares As at 31/03/16	No of shares As at 01/04/15
Mr. A M Pandithage	10,000	10,000
Mr. R P Peris	70,000	70,000
Mr. D W P N Dediwela	10,669,200	10,669,200
Mr. H H Abdulhusein	2,000,000	2,000,000
Mr. R.P.Pathirana	243,949	233,949
Mr. S.C.Ganegoda	Nil	Nil
Mr. A. A. Akbarally	Nil	Nil
Dr. H. Cabral, PC	Nil	Nil
Mr. S. Munaweera	Nil	Nil
Mr. A. J. Hirdaramani	Nil	Nil
(Alternate Director to Mr. R. P. Pathirana)		
Mr. T. Akbarally	Nil	Nil
(Alternate Director to Mr. A. A. Akbarally)		

Hayleys PLC holds 152,644,500 shares (51%) in Alumex PLC in which Mr. A M Pandithage, Mr. S C Ganegoda and Dr. H.Cabral, PC are Directors.

Dean Foster (Pvt) Ltd holds 14,213,900 shares (4.75%) in Alumex PLC in which Mr. A M Pandithage and Mr.S C Ganegoda are Directors.

Star Pack Investments (Pvt) Ltd holds 16,500,000 shares(5.51%) in Alumex PLC in which Mr. H.H Abdulhusein is a Director/ Shareholder .

Akbar Brothers (Pvt) Ltd holds 40,217,782 shares (13.44%) in Alumex PLC in which Mr. A A Akbarally and Mr T Akbarally are Directors/shareholders.

Rosewood (Pvt) Ltd holds 29,340,300 shares (9.80%) in Alumex PLC in which Mr. R P Pathirana and Mr A J Hirdaramani are Directors.

10,714,400 shares were purchased by Akbar Brothers (Pvt) Ltd during the year. (Mr.A.A. Akbarally, a Director and Mr.T.Akbarally, an alternate Director of Alumex PLC are also Directors of Akbar Brothers (Pvt) Ltd

725,000 shares were disposed by Rosewood (Pvt) Ltd during the year. (Mr. R.P. Pathirana, a Director and Mr.A.J.Hirdaramani, an alternate Director of Alumex PLC are also Directors of Rosewood (Pvt) Ltd

27,535 shares were disposed by Ceylon Knit Trend Ltd during the year. (Mr.R.P.Pathirana, a Non-Executive Director of Alumex PLC is also a Director of Ceylon Knit Trend Limited)

936,500 shares were disposed by Zenith Insurance Brokers (Pvt) Ltd during the year. (Mr.A.J.Hirdaramani an alternate Director of Alumex PLC is also a Director of Zenith Insurance Brokers (Pvt) Ltd)

10,000 shares were purchased by Mr.R.P.Pathirana, a Non-Executive Director of Alumex PLC during the year.

Corporate Donations

The donations made during this year by the Company amounted to Rs.1,108,863/=. (2014/15 – Rs 795,165/=.). This exceed the amount of Rs.1,000,000./= approved by the shareholders at the last Annual General Meeting.

Ratification of the additional amount of Rs.108,863.00 will be sought at the Annual General Meeting.

While Donations made by the Group amounted to Rs. 1,108,863/=(2014/15 – Rs 795,165/=.).

Annual Report of the Board of Directors on the Affairs of the Company

Directorate

The names of the Directors who held office at the end of the financial year are given below and their brief profiles appear on pages 78 and 79.

Mr. A. M. Pandithage (Chairman)
 Mr. R. P. Peris (Managing Director)
 Mr. S. C. Ganegoda*
 Mr. R. P. Pathirana*
 Mr. A. A. Akbarally*
 Mr. D. W. P. N. Dediwela
 Mr. H. H. Abdulhusein*
 Dr. H. Cabral, PC**
 Mr. S. Munaweera**
 Mr. A. J. Hirdaramani* (Alternate Director to Mr R P Pathirana)
 Mr. T. Akbarally* (Alternate Director to A A Akbarally)

* Non Executive

** Independent Non Executive

Messrs. A.M. Pandithage, S.C. Ganegoda and Dr. H. Cabral, PC, retire by rotation and being eligible offer themselves for re-election in terms of Article 28(6) of the Articles of Association of the Company.

Directors' Meeting

The number of Directors' meetings comprises Board meetings, Audit Committee meetings & Remuneration Committee meetings and the attendance of Directors at these meetings are given on page 103 of the Annual Report. Furthermore, the Directors contributed towards policy advocacy and direction by participating in the deliberations of the Board appointed sub committees on Strategic Review, Procurement and Disposal of Assets

Directors' Responsibility for Financial Reporting

The Directors are responsible for the preparation of the Financial Statements of the Company to present a true and fair view of the state of its affairs. The Directors are of the view that these Financial Statements have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Companies Act No 7 of 2007, Sri Lanka Accounting and the Listing Rules of the Colombo Stock Exchange. The Statement of Directors'

Responsibility for Financial Reporting is given on page 113 which forms an integral part of the Annual Report of the Board of Directors.

Significant Accounting Policies

Preparation of the Financial Statements of the Company have been consistent with the previous financial year that adopted in new SLFRS and LKAS. The significant Accounting policies adopted in the Financial Statement are given on pages 129 to to 140 of this Annual Report.

Auditors

The Financial Statements for the year have been audited by Messrs Ernst & Young, Chartered Accountants who are deemed to have been re-appointed as auditors in terms of Section 158 of the Companies Act No.7 of 2007.

A resolution proposing the Directors be authorized to determine their remuneration will be submitted at the Annual General Meeting.

The Auditors, Messrs. Ernst and Young & Co., was paid Rs 775,172 (Rs 735,620) and Rs 354,349 (Rs 382,691) as audit fees by the Company and its subsidiaries respectively. In addition, they were paid Rs1,625,984 (Rs 982,223) and Rs 505,510 (Rs 76,785) respectively by the Company and its subsidiaries for non-audit related work, which consisted mainly of tax consultancy services.

As far as the Directors are aware, the Auditors do not have any relationships (other than that of an auditor) with the company and the Group companies other than those disclosed above. The Auditors also do not have any interests in the company or in the Group.

Future Developments

Information on future developments are contained in the Chairman's report (page13) Goals and strategies referred in pages 28 to 29.

Turnover

The turnover of the Group was Rs 3,995 Mn (Rs. 3,307Mn) in the year under review. A detailed analysis of the Group's turnover is given in Note 5 to the Financial Statements.

Results and Dividends

The Group's profit before tax amounted to Rs. 801 Mn (Rs 613 Mn). After charge of Rs. 212 Mn (Rs 136Mn) for taxation, net Profit for the year was Rs. 589 Mn (Rs. 477 Mn) In addition, Group's total Comprehensive Income net of tax was Rs. 583 Mn (Rs. 542Mn).

Interim dividend of cents 75 per share was paid to the shareholders on 23rd February, 2016. The Board of Directors has recommended the payment of a final dividend of cents 45 per share payable on 4th July 2016 to the shareholders of the issued ordinary shares of the Company as at the close of business on 23rd June 2016.

The proposed dividend is subject to the shareholders approval at the forthcoming Annual General Meeting.

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No. 07 of 2007 for the interim dividends paid and the final dividend proposed. The Solvency certificates were obtained from the Auditors in respect of the interim dividends paid and one has been sought in respect of the final dividend proposed.

Ratios and Market Price Information

Ratios relating to equity and debt and the market price information are given on page 8.

Property, Plant and Equipment

The capital expenditure of the Group on property, plant and equipment during the year under review amounted to Rs 142. Mn (Rs 342Mn). Information relating to movement in property, plant and equipment during the year is given in note 12 to the Financial Statements.

Market Values of the Properties

The free hold land in the Group has in general been subject to routine revaluation by independent qualified valuers. The most recent valuation was conducted in the previous year and results have been Incorporated In The Financial Statements.

Stated Capital and Reserves

The issued and paid up stated capital of the Company is Rs. 283,735,400.00 (299,302,840 shares).

Total Group reserves as at 31st March 2016 amounted to Rs. 1,615 Mn (Rs. 1,406 Mn) comprising capital reserve of Rs. 685 (Rs. 738) and revenue reserve of Rs. 930 (Rs. 668). Movements are shown in the Statement of Changes in Equity in the Financial Statements.

Employment

The Group has a structure and a culture that recognizes the aspirations, competencies and commitment of its employees. Career growth and advancement within the Group is promoted. Details of the Group human resource practices and employees are given in the employees section of the stakeholder review. The number of persons employed by the Group at the year end was 466. The Group does not operate any share option scheme.

Shareholders

It is the Group's policy to endeavor to ensure equitable treatment to its shareholders. Details of the major shareholders are given on page 175.

Events Occurring After the Reporting Period

No circumstances have arisen since the reporting date that would require adjustment to or other disclosure in, except disclosure given in Note 27 to the Financial Statements.

Statutory Payments

The Directors, to the best of their knowledge and belief are satisfied that all statutory payments due, in relation to employees and the Government have been made promptly and are up to date.

Environmental Protection

The Company's business activities can have direct and indirect effects on the environment. It is the policy of the Company to conduct its activities in an environmentally responsible manner in order to keep adverse effects to a minimum and to ensure compliance with the relevant regulations.

Corporate Governance/ Internal Control

Adoption of good governance practices has become an essential requirement in today's corporate culture. The Company has complied with the Corporate Governance rules

Annual Report of the Board of Directors on the Affairs of the Company

laid down by the Colombo Stock Exchange. The practices carried out by the Company are explained in the Corporate Governance statement on pages 82 to 103.

The Directors acknowledge their responsibility for the Group's system of internal control. The system is designed to give assurance, inter alia, regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated. However, any system can only ensure reasonable and not absolute assurance that errors and irregularities are either prevented or detected within a reasonable time period.

The Board, having reviewed the system of internal controls, is satisfied with its effectiveness for the period up to the date of signing of the Financial Statements.

Exposure to Risk

The Group has a structured risk management process in place to support its operations. The Audit Committee plays a major role in this process. The risk management section referred in pages 104 to 107 elaborates these practices and the risk factors

Going Concern

The Directors, after making necessary inquiries and reviews including reviews of the Group's budget for the ensuing year, capital expenditure requirements, future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

Annual General Meeting

The Annual General Meeting will be held at Hayleys PLC, No.400, Deans Road, Colombo 10, Sri Lanka at 3.00 p.m. on 23rd June 2016. The notice of the Annual General Meeting appears on page 188.

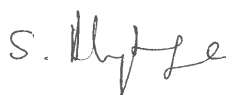
For and on behalf of the Board



A. M. Pandithage
Chairman



R. P. Peris
Managing Director



Hayleys Group Services (Pvt) Ltd
Secretaries

17th May 2016

Statement of Directors' Responsibility

The Directors are responsible under Sections 150 (1), 151, 152 (1), and 153 of the Companies Act No. 07 of 2007, to ensure compliance with the requirements set out therein to prepare Financial Statements for each financial year giving a true and fair view of the state of affairs of the Company and the Group as at the end of the financial year and of the profit and loss of the Company and the Group for the financial year.

The Directors are also responsible, under Section 148, for ensuring that proper accounting records are kept to enable, determination of financial position with reasonable accuracy, preparation of Financial Statements and audit of such statements to be carried out readily and properly.

The Board accepts responsibility for the integrity and objectivity of the Financial Statements presented. The Directors confirm that in preparing the Financial Statements, appropriate accounting policies have been selected and applied consistently while reasonable and prudent judgments have been made so that the form and substance of transactions are properly reflected.

They also confirm that the Financial Statements have been prepared and presented in accordance with the Sri Lanka Accounting Standards, Companies Act No. 07 of 2007 and the Listing Rules of the Colombo Stock Exchange. Further, the Financial Statements provide the information required by the Companies Act and the Listing Rules of the Colombo Stock Exchange.

The Directors are of the opinion, based on their knowledge of the Company, key operations and specific inquiries, that adequate resources exist to support the Company on a going concern basis over the next year. These Financial Statements have been prepared on that basis.

The Directors have taken reasonable measures to safeguard the assets of the Group and, in that context, have instituted appropriate systems of internal control with a view to preventing and detecting fraud and other irregularities.

As required by Section 56 (2) of the Companies Act, the Board of Directors has authorised distribution of the dividend paid and recommended the proposed dividend, being satisfied based on information available to it that the Company would satisfy the solvency test after such distribution in accordance with Section 57 of the Companies Act, and have sought in respect of the dividend now proposed, a Certificate of Solvency from the Auditors.

The external Auditors, Messrs Ernst & Young who were deemed reappointed in terms of Section 158 of the Companies Act No. 07 of 2007 were provided with every opportunity to undertake the inspections they considered appropriate to enable them to form their opinion on the Financial Statements. The Report of the Auditors, shown on page 121 sets out their responsibilities in relation to the Financial Statements.

Compliance Report

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the Government that were due in respect of the Company and its Subsidiaries as at the Balance Sheet date have been paid or where relevant, provided for

By order of the Board,

Hayleys Group Services (Pvt) Ltd
Secretaries

17th May 2016

Responsibility Statement of Chairman, Managing Director and Chief Financial Officer

The Financial Statements of Alumex PLC and the consolidated Financial Statements of the Group, as at 31st March 2016, are prepared and presented in conformity with the requirements of the following:

1. Sri Lanka Accounting Standards, issued by the Institute of Chartered Accountants of Sri Lanka
2. The Companies Act No. 07 of 2007
3. The Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995
4. Listing Rules of the Colombo Stock Exchange
5. The Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accounts of Sri Lanka and the Securities and Exchange Commission of Sri Lanka.
6. Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka.

We confirm that the significant accounting policies used in the preparation of the Financial Statements are appropriate, and are consistently applied, unless otherwise stated in the Notes to the Financial Statements. The significant accounting policies and estimates that involved a high degree of judgment and complexity were discussed with the Audit Committee and our external auditors.

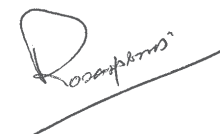
We have also taken proper and sufficient care in installing systems of internal control and accounting records to safeguard assets and to prevent and detect fraud as well as other irregularities. These have been reviewed, evaluated and updated on an ongoing basis. Reasonable assurances that the established policies and procedures of the Company have been consistently followed were provided by periodic audits conducted by the Group's internal auditors. However, there are inherent limitations that should be recognized in weighing the assurances provided by any system of internal controls and accounting.

The Audit Committee of the Company meets periodically with the internal auditors and the independent auditors to review the effectiveness of audits, and to discuss auditing, internal control and financial reporting issues. The independent auditors and the internal auditors have full and free access to the Audit Committee to discuss any matter of substance.

The Financial Statements were audited by the independent external auditors, Messrs Ernst & Young, Chartered Accountants. The Audit Committee approves the audit and non-audit services provided by the external auditor, in order to ensure that the provision of such services do not impair their independence.



A.M. Pandithage
Chairman



R.P. Peris
Managing Director



R.P.P.K. Rajapaksha
Chief Financial Officer

17th May 2016

Audit Committee Report

Composition of the Audit Committee

The Audit Committee of Alumex PLC, appointed by and responsible to the Board of Directors, comprises two Independent Non-Executive Directors, namely, Mr. Somasiri Munaweera, Chairman of the Committee and Dr. Harsha Cabral; and a Non-Executive Director, Mr. Ranil Prasad Pathirana.

Brief profiles of each member are provided on pages 78 and 79.

The Company Secretary acts as the Secretary to the Audit Committee. The Chairman of the Audit Committee is a senior qualified Accountant.

Meeting of the Audit Committee

The Committee met 4 times during the year. The attendance of the members at these meetings is stated in the table on page 103.

Other members of the Board, external auditors, internal auditors and the Chief Financial Officer were present at discussions as required.. The proceedings of the Audit Committee are regularly reported to the Board of Directors.

Tasks of the Audit Committee & Roll

The Audit Committee assists the Board of Directors in fulfilling effectively its responsibility of oversight of the group accounting and financial reporting process and audit of the financial Statement of the Group. The responsibilities of the committee are:

- Review the financial reporting process of Alumex Group in order to ensure that an accurate and effective financial reporting process is in place.
- Review the effectiveness of the Company's internal control system.

- Review the adequacy of the scope, functions and resources of internal auditors.
- Recommend to the Board of appointment or continuing engagement of the external auditors.
- Review the effectiveness of the system with a view to monitoring compliance with laws and regulations.
- Report to the Board its findings based on the reports of the external auditor.

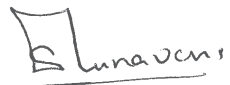
Other responsibilities include holding discussions with the management about the major policies with respect to risk assessment and risk management.

Appointment of External Auditor

The Audit Committee has recommended to the Board of Directors that Messrs Ernst & Young continue as auditors for the financial year ending 31st March 2017.

Conclusion

The Audit Committee is satisfied that the effectiveness of the financial reporting process, Group's accounting policies and operational controls provide reasonable assurance that the affairs of the Group are managed in accordance with Group policies and that Group assets are properly accounted for and adequately safeguarded.



S. Munaweera
Chairman- Audit Committee

17th May 2016

Remuneration Committee Report

Composition of the Remuneration Committee

The Remuneration Committee of Alumex PLC consists of two (02) Independent Non-Executive Directors, namely, Dr. Harsha Cabral, Chairman of the Committee, and Mr. Somasiri Munaweera.

Brief profiles of each member are given on page 79.

The Managing Director of the Company, who is responsible for the overall management of the company, provides information to the Committee in all deliberations except in relation to those matters where the outcome has an impact on him.

Scope of Duties

Led by the objective of attracting and retaining high calibre individuals in a competitive environment, in line with business performance and stakeholder expectations, the Remuneration Committee shall be responsible for the following:

- Setting the overall Hayleys PLC Group remuneration policies after taking into consideration the current industrial norms; laying down guidelines and parameters for the compensation structure of the Managing Director, Executive Directors and other key managerial staff. To set goals and targets for the Managing Director, Executive Directors and key management personnel.
- To monitor and review the performance of the Managing Director, Executive Directors and other key management personnel

- To periodically evaluate the performance of the Managing Director, Executive Directors and other key management personnel against the set targets and goals, and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.

Remuneration Policy

The remuneration Policy is to attract and retain a highly qualified and experienced workforce, and reward performance accordingly against the backdrop of industry norms. These compensation packages provide compensation appropriate for the Group and are commensurate with each employee's level of expertise and contribution, bearing in mind business performance and shareholder returns.

Disclosure

Apart from the two Executive Directors who are involved with the operations of the Company on a full-time basis, only Independent Directors receive a fee for attending Board meetings and serving on sub-committees. Details of Directors' emoluments are disclosed on pages 108 and 109.



Dr. Harsha Cabral

Chairman- Remuneration Committee

17th May 2016

Related Party Transactions

Review Committee Report

Hayleys PLC, the parent group of Alumex PLC, established the Related Party Transaction Review Committee with effect from 10th February 2015 in terms of the Code of Best Practice on Related Party Transactions issued by the Securities & Exchange Commission of Sri Lanka and the Section 9 of the Listing Rules of the Colombo Stock Exchange, which functions as the Committee of the Alumex PLC.

Composition of the Committee

The Related Party Transactions Review Committee comprises two Independent Non-Executive Directors and one Executive Director. The Committee comprised of the following members;

Dr H Cabral, PC(IND/NED) - Chairman

M. D. S. Goonatilleke (IND/NED)
(resigned w.e.f. 12 May 2016)

Mr. S C Ganegoda (ED)

(ED- Executive Director, IND- Independent Director, NED - Non-Executive Director)

The Duties of the Committee

- To review in advance all proposed related party transactions of the Group either prior to the transaction being entered into or, if the transaction is expressed to be conditional on such review, prior to the completion of the transaction.
- Seek any information the Committee requires from management, employees or external parties with regard to any transaction entered into with a related party.
- Obtain knowledge or expertise to assess all aspects of proposed related party transactions where necessary, including obtaining appropriate professional and expert advice from suitably qualified persons.
- To recommend, where necessary, to the Board, and obtain their approval prior to the execution of any related party transaction.

- To monitor that all related party transactions of the entity are transacted on normal commercial terms and are not prejudicial to the interests of the entity and its minority shareholders.
- Meet with the management, Internal Auditors/External Auditors as necessary to carry out the assigned duties.
- To review the transfer of resources, services or obligations between related parties regardless of whether a price is charged.
- To review the economic and commercial substance of both recurrent/non recurrent related party transactions
- To monitor and recommend the acquisition or disposal of substantial assets between related parties, including obtaining 'competent independent advice' from independent professional experts with regard to the value of the substantial asset of the related party transaction.

Task of the Committee

The Committee reviewed the related party transactions and their compliance of Alumex PLC and communicated the same to the Board.

The Committee in its review process recognized the adequate content and quality of the information forwarded to its members by the management.

Meetings

The Committee met 2 times during the year under review. The attendance at the meetings is given in table on page 108 of the Annual Report.

Dr. Harsha Cabral, PC.

Chairman - Related Party Transactions Review Committee of Hayleys PLC

18th May 2016

Financial Reports





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Financial Calendar 2015/16

01st Quarter Report	27th July 2015
02nd Quarter Report	04th November 2015
3rd Quarter Report	02nd February 2016
04th Quarter Report	17th May 2016
Annual Report 2015/2016	30th May 2016
09th Annual General Meeting	23rd June 2016
Interim Dividend Paid	23rd February 2016
Final dividend proposed	23rd June 2016
Final dividend paid	04th July 2016

Independent Auditor's Report



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
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Sri Lanka

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eysl@lk.ey.com
ey.com

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ALUMEX PLC REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Alumex PLC, ("the Company"), and the consolidated financial statement of the Company and its Subsidiaries ("Group"), which comprise the statement of financial position as at 31 March 2016, statement of profit or loss, statement of comprehensive income, statement of changes in equity and, cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information. (set out on pages 128 to 173)

BOARD'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates

made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 March 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by Section 163 (2) of the Companies Act No. 7 of 2007, we state the following:

- The basis of opinion, scope and limitations of the audit are as stated above.
- In our opinion :
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - the financial statements of the Company give a true and fair view of the financial position as at 31 March 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards and
 - the financial statements of the Company and the Group comply with the requirements of Section 151 and 153 of the Companies Act No. 07 of 2007.

17 May 2016
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

A member firm of Ernst & Young Global Limited

Statement of Profit or Loss

Year ended 31 March 2016	Notes	Group		Company	
		2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Revenue	5	3,995,449	3,307,181	3,465,854	2,692,622
Less - NBT		(79,781)	(65,698)	(69,015)	(53,227)
Net Revenue		3,915,668	3,241,483	3,396,839	2,639,395
Cost of Sales		(2,738,835)	(2,342,541)	(2,455,959)	(1,996,990)
Gross Profit		1,176,833	898,942	940,880	642,405
Other Income and Gains	6	13,213	17,080	206,589	151,313
Selling and Distribution Cost		(90,426)	(58,724)	(87,720)	(54,588)
Administrative Expenses		(286,508)	(245,847)	(265,880)	(230,654)
Operating Profit		813,112	611,451	793,869	508,476
Finance Cost	7.1	(34,944)	(13,811)	(45,857)	(17,528)
Finance Income	7.2	23,092	15,160	18,730	12,148
Profit Before Tax	8	801,260	612,800	766,742	503,096
Income Tax Expenses	9	(212,137)	(135,805)	(170,082)	(108,341)
Profit for the Year		589,123	476,995	596,660	394,755
Profit Attributable to Shareholders		589,123	476,995	596,660	394,755
		589,123	476,995	596,660	394,755
Diluted and Basic Earnings per Share	10	1.97	1.59	1.99	1.32
Dividend Per Share	11			1.00	1.00

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Statement of Comprehensive Income

Year ended 31 March 2016	Notes	Group		Company	
		2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Profit for the Year		589,123	476,995	596,660	394,755
Other Comprehensive Income					
Other comprehensive income not to be reclassified to profit or loss in subsequent periods					
Actuarial gains/ (Losses) on defined benefit plans	24.1	(8,632)	5,799	(7,897)	4,844
Income tax effect on actuarial gains and Losses	9	2,358	(1,547)	2,211	(1,356)
		(6,274)	4,252	(5,686)	3,488
Revaluation of Land	22.1	-	61,245	-	50,220
Net other Comprehensive Income not to be reclassified to profit or loss in subsequent period		(6,274)	65,497	(5,686)	53,708
Total Comprehensive Income for the Year, Net of Tax		582,849	542,492	590,974	448,463
Other Comprehensive Income Attributable to Shareholders		582,849	542,492	590,974	448,463

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Statement of Financial Position

As at 31 March 2016	Notes	Group		Company	
		2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Assets					
Non-current Assets					
Property, Plant and Equipment	12	1,293,137	1,273,134	1,069,096	1,070,602
Investment Property	13	-	-	-	47,775
Intangible Assets	14	39,421	16,984	39,421	16,984
Investments in Subsidiaries	15	-	-	33,264	36,392
		1,332,558	1,290,118	1,141,781	1,171,753
Current Assets					
Inventories	17	861,686	765,356	711,096	636,173
Trade and Other Receivables	18	507,937	342,931	455,820	264,956
Advances and Prepayments	19	38,101	27,486	34,973	22,896
Income Tax Receivable		898	3,421	271	373
Other Current Financial Assets	16	1,133	1,062	1,133	1,062
Cash and Cash Equivalents	20	138,450	210,480	117,503	94,109
		1,548,205	1,350,736	1,320,796	1,019,569
Total Assets		2,880,763	2,640,854	2,462,577	2,191,322
Equity and Liabilities					
Stated Capital	21	283,735	283,735	283,735	283,735
Reserves	22	684,503	738,284	673,478	727,259
Retained Earnings		930,218	667,586	526,711	254,120
Total Equity		1,898,456	1,689,605	1,483,924	1,265,114
Non-Current Liabilities					
Interest Bearing Loans and Borrowings	16.2	-	3,084	-	3,084
Retirement Benefit Liability	24	79,522	64,279	72,180	57,927
Deferred Tax Liabilities	9	85,948	98,664	86,322	95,678
		165,470	166,027	158,502	156,689
Current Liabilities					
Trade and Other Payables	25	669,617	723,998	699,908	714,792
Interest Bearing Loans and Borrowings	16.2	3,084	14,590	3,084	14,590
Other current financial liabilities	16.2.5	553	-	553	-
Provisions	23	6,954	4,810	5,704	3,968
Income Tax Liabilities		136,629	41,824	110,902	36,169
		816,837	785,222	820,151	769,519
Total Equity and Liabilities		2,880,763	2,640,854	2,462,577	2,191,322

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.


R.P.P.K. Rajapaksha
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board,


A.M. Pandithage
Chairman


R.P. Peris
Managing Director

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

17 May 2016
Colombo

Statement of Changes in Equity

Year ended 31 March 2016 Group	Notes	Attributable to Equity Holders of the Parent					Total Equity Rs. 000
		Stated Capital Rs. 000	Revaluation Reserve Rs. 000	Capital Reserve Rs. 000	Retained Earnings Rs. 000	Total Rs. 000	
Balance as at 01 April 2014		283,735	457,300	228,056	477,325	1,446,416	1,446,416
Profit for the Year		-	-	-	476,995	476,995	476,995
Revaluation of Land		-	61,245	-	-	61,245	61,245
Depreciation Transfer for Building		-	(8,317)	-	8,317	-	-
Other Comprehensive Income		-	-	-	4,252	4,252	4,252
Total Comprehensive Income		283,735	510,228	228,056	966,889	1,988,908	1,988,908
Dividends to Equity Holders		-	-	-	(299,303)	(299,303)	(299,303)
Balance as at 01 of April 2015		283,735	510,228	228,056	667,586	1,689,605	1,689,605
Provision for Super Gain Tax	9.4	-	-	-	(74,695)	(74,695)	(74,695)
Adjusted balance as at 01 of April 2015		283,735	510,228	228,056	592,891	1,614,910	1,614,910
Profit for the Year		-	-	-	589,123	589,123	589,123
Depreciation Transfer for Building	12.5	-	(53,781)	-	53,781	-	-
Other Comprehensive Income		-	-	-	(6,274)	(6,274)	(6,274)
Total Comprehensive Income		283,735	456,447	228,056	1,229,521	2,197,759	2,197,759
Dividends to Equity Holders		-	-	-	(299,303)	(299,303)	(299,303)
Balance as at 31 March 2016		283,735	456,447	228,056	930,218	1,898,456	1,898,456

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Statement of Changes In Equity

Year ended 31 March 2016 Company	Notes	Stated Capital Rs. 000	Revaluation Reserve Rs. 000	Capital Reserve Rs. 000	Retained Earnings Rs. 000	Total Rs. 000
Balance as at 01 April 2014		283,735	457,300	228,056	146,863	1,115,955
Profit for the Year		-	-	-	394,755	394,755
Depreciation Transfer for Building		-	(8,317)	-	8,317	-
Revaluation of Land		-	50,220	-	-	50,220
Other Comprehensive Income		-	-	-	3,488	3,488
Total Comprehensive Income		283,735	499,203	228,056	553,423	1,564,417
Dividends to Equity Holders-(2013/2014 Final)	11	-	-	-	(74,826)	(74,826)
Dividends to Equity Holders(2014/2015 Interim)	11	-	-	-	(224,477)	(224,477)
Balance as at 01 April 2015		283,735	499,203	228,056	254,120	1,265,114
Provision for Super gain tax		-	-	-	(72,861)	(72,861)
Adjusted balance as at 01 April 2015		283,735	499,203	228,056	181,259	1,192,253
Profit for the Year		-	-	-	596,660	596,660
Depreciation Transfer for Building		-	(53,781)	-	53,781	-
Other Comprehensive Income		-	-	-	(5,686)	(5,686)
Total Comprehensive Income		283,735	445,422	228,056	826,014	1,783,227
Dividends to Equity Holders (2014/2015 Final)		-	-	-	(74,826)	(74,826)
Dividends to Equity Holders (2015/2016 Interim)		-	-	-	(224,477)	(224,477)
Balance as at 31 March 2016		283,735	445,422	228,056	526,711	1,483,924

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Statement of Cash Flows

		Group		Company	
Year ended 31 March 2016	Notes	2016	2015	2016	2015
		Rs. 000	Rs. 000	Rs. 000	Rs. 000
Cash Flows from Operating Activities					
Profit Before Taxation		801,260	612,800	766,742	503,096
Adjustments for,					
Finance Cost	7.1	859	2,778	17,868	8,779
Finance Income	7.2	(10,442)	(8,434)	(6,558)	(5,824)
Provision for Gratuity	24	9,007	11,701	8,116	11,304
(Profit) / Loss on Disposal of Property, Plant and Equipment	6	(4,767)	(8,107)	(32,360)	(8,326)
Provision for Bad Debts		12,767	(675)	9,295	(908)
Provision for Impairment of Investment		-	-	3,127	1,609
Depreciation and Amortization	12	107,498	83,185	93,758	72,825
Operating Profit Before Working Capital Changes		916,182	693,248	859,988	582,555
(Increase) / Decrease in Inventories		(104,508)	(180,009)	(77,824)	(222,161)
(Increase) / Decrease in Trade and Other Receivables		(179,373)	(14,966)	(200,450)	(1,892)
(Increase) / Decrease in Advances and Prepayments		(10,614)	(6,275)	(12,076)	(3,675)
Increase / (Decrease) in Trade and Other Payables		74,024	118,791	113,112	74,182
Cash Generated from Operating Activities		695,711	610,789	682,750	429,009
Finance Cost Paid	7.1	(859)	(2,778)	(17,868)	(8,779)
Income Tax Paid		(198,263)	(123,796)	(174,961)	(107,030)
Retirement Benefit Liability Paid		(2,396)	(1,989)	(1,760)	(1,989)
Net Cash From Operating Activities		494,194	482,226	488,161	311,211
Cash Flows from Investing Activities					
Acquisition of Property, Plant and Equipment	12	(142,180)	(342,002)	(182,340)	(259,219)
Proceeds from Sale of Property, Plant and Equipment		5,185	9,310	150,685	9,310
Proceeds from Short Term Investments		(70)	193	(70)	193
Finance Income Received	7.2	10,442	8,434	6,558	5,824
Net Cash Flows Used In Investing Activities		(126,623)	(324,065)	(25,167)	(243,892)
Cash Flows from Financing Activities					
Repayment of Interest Bearing Loans and Borrowings	16.2.3	(14,417)	(33,122)	(14,417)	(33,122)
Principal Payments Under Finance Lease Liabilities		(174)	(1,919)	(174)	(1,919)
Dividend Paid	11	(425,010)	(173,596)	(425,010)	(173,596)
Net Cash Flows from / (Used in) Financing Activities		(439,601)	(208,637)	(439,601)	(208,637)
Net Increase in Cash and Cash Equivalents					
		(72,030)	(50,476)	23,394	(141,318)
Cash and Cash Equivalents at the Beginning of the Year	20	210,480	260,956	94,109	235,427
Cash and Cash Equivalents at end of the Year	20	138,450	210,480	117,503	94,109

Notes from pages 128 to 173 form an integral part of these Financial Statements. Figures in brackets indicate deductions.

Notes to the Financial Statements

Year ended 31 March 2016

1. CORPORATE INFORMATION

1.1 General

Alumex PLC is a public limited liability Company incorporated and domiciled in Sri Lanka. The Ordinary Shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka on 31 March 2014.

The registered office of the Company and the principal place of business are situated at Sapugaskanda, Makola.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements of Alumex PLC, as at and for the year ended 31 March 2016 encompass the Company and its subsidiaries (together referred to as the "Group"). All subsidiaries in the Group are limited liability Companies namely Alco Industries (Pvt) Ltd, Avro Enterprises (Pvt) Ltd and Alumex Systems (Pvt) Ltd and incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations of the Company and the Group

During the financial year, principal activities of the Company is manufacturing and selling dies and aluminium extrusions. Principal activities of the subsidiaries are;

Alco Industries (Pvt) Ltd	Manufacturing and selling aluminium components and Industrial tools
Avro Enterprises (Pvt) Ltd	Buying and selling aluminium components and accessories
Alumex Systems (Pvt) Ltd	Manufacture and sale of extruded Aluminium profiles and related
	Products using advance technology. (Company incorporated in 21
	March 2016 and commercial operation has not been commenced as at 31 March 2016)

There were no significant changes in the nature of principal activities of the Company and the Group during the financial year under review.

1.4 Ultimate Parent Entity

In the opinion of the Directors, the Company's ultimate Parent undertaking and controlling party is Hayleys PLC which is incorporated in Sri Lanka.

1.5 Date of Authorization for Issue

The Consolidated Financial Statements of the Group for the year ended 31 March 2016 were authorized for issue in accordance with a resolution of the Board of Directors on 17 May 2016.

1.6 Responsibility for Financial Statements

The responsibility of the Directors in relation to the Financial Statements is set out in the Statement of Directors' Responsibility Report in the Annual Report.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Consolidated Financial Statements have been prepared in accordance with the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and with the requirements of the Companies Act No. 7 of 2007.

2.2 Basis of Measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except for the following material items in the Statement of Financial Position.

- Lands are measured at cost at the time of the acquisition and subsequently lands are carried at fair value
- Financial instruments reflected as fair value through profit or loss are measured at fair value

These financial statements have been prepared, except for cash flow information using the annual accrued basis of accounting.

Where appropriate, the specific policies are explained in the succeeding notes.

No adjustments have been made for inflationary factors in the Consolidated Financial Statements.

2.3 Functional and presentation currency

The Financial Statements are presented in Sri Lankan Rupees, which is the Group's functional currency.

All financial information presented in Sri Lankan Rupees has rounded to the nearest thousand (Rs'000), except when otherwise indicated.

2.4 Comparative Information

The accounting policies have been consistently applied by the Company and, are consistent with those used in the previous year. Previous year's figures and phrases have been re-arranged wherever necessary to conform to current year presentation.

2.5 Materiality and Aggregation

Each material class of similar items is presented separately in the Consolidated Financial Statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in the Consolidated Financial Statements.

The Directors have made an assessment of the Group's ability to continue as a going concern in the foreseeable future, and they do not foresee a need for liquidation or cessation of trading.

3.1 Basis of Consolidation

Subsidiaries

Subsidiaries are those entities controlled by the Group. Control achieved when the Group is exposed, or rights to variable returns from its involvement with the investee and when it has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e; existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it recognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognized in Income Statement. Any investment retained is recognised at fair value.

The Consolidated Financial Statements of the Company for the year ended 31 March 2016 comprise of the Company and its Subsidiaries. The details of Subsidiaries are as follows:

Company Name	Year of Incorporation	Ownership Percentage
Alco Industries (Pvt) Ltd	2010/2011	100%
Avro Enterprises (Pvt) Ltd	2008/2009	100%
Alumex Systems (Pvt) Ltd	2015/2016	100%

The Consolidated Financial Statements incorporating all subsidiaries in the Group are using uniform Accounting Policies for like transactions and in similar circumstance are applied consistently.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Group obtains control and continue to be consolidated until the date that such control ceases.

3.2 Transactions Eliminated on Consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the Consolidated Financial Statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Notes to the Financial Statements

Year ended 31 March 2016

3.3 Foreign Currency Transactions

Transactions in foreign currencies are initially recorded by the Group at their respective functional currency spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

Differences arising on settlement or translation of monetary items are recognised in Income Statement.

3.4 Current versus non-current classification

The Group presents assets and liabilities in Statement of Financial Position based on current/non-current classification. An asset is current when it is:

- Expected to be realised or intended to sold or consumed in normal operating cycle
 - Held primarily for the purpose of trading
 - Expected to be realised within twelve months after the reporting period
- Or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current. A liability is current when:

- It is expected to be settled in normal operating cycle
 - It is held primarily for the purpose of trading
 - It is due to be settled within twelve months after the reporting period
- Or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

3.5 Fair value measurement

The Group measures financial instruments such as derivatives, and non-financial assets such as land, at fair value at each balance sheet date. Fair value related disclosures for financial instruments and non-financial

assets that are measured at fair value or where fair values are disclosed, are summarised in the following notes:

- Disclosures for valuation methods, significant estimates and assumptions Notes 12 & 13
- Property (land) under revaluation model Notes 12 & 13

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

- Level 3 -Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the Financial Statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group's Senior Management determines the policies and procedures for both recurring fair value measurement, such as land and unquoted AFS financial assets, and for non-recurring measurement.

External valuers are involved for valuation of significant properties (land) and AFS financial assets, and significant liabilities, such as contingent consideration. Involvement of external valuers is decided upon annually by the Senior Management after discussion with and approval by the Company's Audit Committee. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. Valuers are normally rotated every three years. The Senior Management decides, after discussions with the Group's external valuers, which valuation techniques and inputs to use for each case.

At each reporting date, the Senior Management analyses the movements in the values of assets and liabilities which are required to be remeasured or re-assessed as per the Group's accounting policies. For this analysis, the Senior Management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

The Senior Management, in conjunction with the Group's external valuers, also compares the change in the fair value of each asset and liability with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

3.6 Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred can

be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Sale of Goods

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer, with the Group retaining neither continuing managerial involvement to the degree usually associated with ownership, nor effective control over the goods sold.

Rendering of Services

Revenue from services rendered is recognized in profit and loss in proportion to the stage of completion of the transaction at the reporting date.

Interest

Interest Income is recognized as the interest accrues unless collectability is in doubt.

Rental Income

Rental income is recognised in profit or loss as it accrues.

Dividend

Dividend income is recognised in profit or loss on the date the entity's right to receive payment is established.

Other Income

Other Income is recognized on an accrual basis.

Gains and Losses

Gains and losses on disposal of an item of property, plant & equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant & equipment and are recognised net within "other income and gains" in Income Statement.

3.7 Tax Expenses

Tax expenses comprises current tax and deferred tax are recognised in Income statement except to the extent that it relates to item recognised directly in Equity or in Other Comprehensive Income

Current Tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Taxation Authorities. The tax

Notes to the Financial Statements

Year ended 31 March 2016

rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act at the following rates per annum.

Local Sales, Export Sale and Other Income are subject to tax rates of 12% and 28%.

Alco Industries (Pvt) Ltd

Pursuant to agreement dated 15 July 2010 entered in to with the Board of Investment under Section 17 of the Board of Investment Law No. 04 of 1978, the Company had been granted a tax exemption period of five (5) years under Inland Revenue Act No. 10 of 2006 relating to the imposition payment and recovery of income tax in respect of profits and income of the Company. The above period will commence from the year in which enterprise make profits or any year of assessment not later than two (02) years from the date of commencement of commercial operations which ever year is earliest.

The concessionary rate of 10% tax charges is applicable on profits and income for two years immediately succeeding the last date of the tax exemption period. Thereafter, 20% tax rate is applicable on profit and income.

Alco Industries (Pvt) Ltd commences making profit in 2010/2011 and hence tax exemption has been ended from year of assessment 2014/2015.

Deferred Tax

Deferred income tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax assets are recognised for all deductible temporary differences and carry-forward of unused tax assets are made to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

3.8 Sales Tax

Revenues, expenses and assets are recognised net of the amount of sales tax, except:

When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable.

Receivables and payables that are stated with the amount of sales tax. The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

3.9 Property, Plant and Equipment

The group applies the requirements of LKAS 16 on 'Property Plant and Equipment' in accounting for its owned assets which are held for and use in the provision of the services, for rental to other or for administration purpose and are expected to be used for more than one year.

Recognition and measurement

All Items of property, plant & equipment are measured at cost except for land which is measured at fair value, less accumulated depreciation and accumulated impairment losses, if any.

Owned Assets

The cost of property, plant & equipment includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets for which the commencement date for capitalisation is on or after 1st April 2011.

Purchased software that is integral to the functionality of the related equipment is capitalised as a part of that equipment.

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Revaluation of land is done with sufficient frequency to ensure that the fair value of the land does not differ materially from its carrying amount, and is undertaken by professionally qualified valuers.

Any revaluation surplus is recorded in Other Comprehensive Income and credited to the asset revaluation reserve in equity, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the Income Statement, in which case, the increase is recognised in the Income Statement.

A revaluation deficit is recognised in the Income Statement, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

The assets' residual values, useful lives and methods of depreciation are reviewed at each financial year end and adjusted prospectively, if appropriate.

Subsequent Costs

The cost of replacing a component of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognized in accordance with the de-recognition policy given below.

The costs of the day-to-day servicing of property, plant & equipment are recognised in income statement as incurred.

De-recognition

The carrying amount of an item of property, plant & equipment is derecognized on disposal; or when no future economic benefits are expected from its use. Gains and losses on de-recognition are recognised in profit and loss and gains are not classified as revenue. When revalued assets are sold, any related amount included in the Revaluation Reserve is transferred to Retained Earnings.

Depreciation

Depreciation is recognised in Income Statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets unless it is reasonably certain that the Group will have ownership by the end of the lease term. Freehold land is not depreciated.

The estimated useful lives for the current and comparative periods are as follows:

Building	20 years
Plant & machinery	05 – 20 years
Stores equipment	05 – 10 years
Motor vehicles	04 – 05 years
Furniture, fittings and office equipment	02 – 13 years
Tools and Equipment	10 years

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognized.

A reconciliation of the carrying amount at the beginning and end of the period is presented in Note 12 to this financial statements.

Capital Work in Progress

Capital work in progress represents the cost of civil construction work not completed and Property, Plant and Equipment that are not ready for their intended use.

Investment Properties

Investment property is property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment property is measured at its cost less accumulated depreciation and accumulated impairment losses, if any. Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self-constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Notes to the Financial Statements

Year ended 31 March 2016

Investment properties are de-recognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal.

The difference between the net disposal proceeds and the carrying amount of the asset is recognised in the income statement in the period of derecognition.

Transfers are made to or from investment property only when there is a change in use. Transfers between investment properties, owner-occupied property do not change the carrying amount of the property transferred and they do not change the cost of that property for measurement or disclosure purposes.

Investment Property of the company represent a Land and not depreciated. Refer Note 13 to this financial statements.

3.10 Leases

Finance Leases

Finance leases, which transfer to the Group substantially all the risks and benefits incidental to ownership of the leased item, are capitalized at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance costs charged are reflected in the income statement.

Capitalized leased assets are depreciated over the shorter of the estimated useful life of the asset and the lease term, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term. If there is reasonable certainty that the Group will obtain ownership by the end of the lease term, the depreciation policy for depreciable leased assets is consistent with that of depreciable asset that are owned as describe in Note 3.9.

Operating lease payments are recognized as an operating expenses in the income statement on a straight line basis over year lease term.

3.11 Intangible Assets

An Intangible asset is recognised if it is probable that future economic benefit associated with the assets will flow to the Group and cost of the asset can be reliably measured.

Basis of Measurement

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in the income statement in the year in which the expenditure is incurred.

Useful Economic Lives and Amortisation

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

De-recognition of Intangible Assets

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement when the asset is derecognized.

Subsequent Expenditure

Subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognized in Income Statements as incurred

Research and Development Cost

Research Costs are expensed as incurred. Development expenditures on an individual project are recognized as an intangible asset when the Group can demonstrate:

- The technical feasibility of completing the intangible asset so that the asset will be available use or sale
- Its intention to complete and its ability to use or sell the asset
- How the asset will generate future economic benefit
- The availability of recourse to complete the asset
- The ability to measure reliably the expenditure during development

Following initial recognition of the development expenditure as an asset, the asset is carried at cost less any accumulated amortisation and accumulated impairment losses. Amortization of the asset begins when development is complete and the asset is available for use. It is amortized over the period of expected future benefit. Amortization is recorded in cost of sales. During the period of development, the asset is tested for impairment annually.

A summary of the policies applied to group intangible assets are as follows.

3.12 Expenses

Expenses are recognized in the Income Statement on the basis of a direct association between the cost incurred and the earnings of specific items of income. All expenditure incurred in the running of the business has been charged to income in arriving at the profit for the year.

Repairs and renewals are charged to profit and loss in the year in which the expenditure is incurred.

3.13 Operating leases

Payments made under operating leases are recognised in profit and loss on a straight-line basis over the term of the lease.

3.14 Finance Income and Finance Costs

Finance income comprises interest income on funds invested, changes in the fair value of financial assets at fair value through profit or loss, and gains on hedging instruments that are recognised in Income Statement. Interest income is recognised as it accrues in Income Statement.

	Development cost	Software & website	Patents and licenses
Useful lives	Finite (10 years)	Finite (7 years)	Finite (7 years)
Amortization method used	Amortized on a straight line basis over the period of expected future sales from the related project.	Amortized on a straight line basis over the period of useful life.	Amortized on a straight line basis over the period of useful life.
Internally generated or acquired	Internally generated	Acquired	Acquired

Notes to the Financial Statements

Year ended 31 March 2016

Finance costs comprise interest expense on borrowings, changes in the fair value of financial assets at fair value through profit or loss, and losses on hedging instruments that are recognised in Income Statement.

The interest expense component of finance lease payments is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

3.15 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred, except to the extent where borrowing cost that are distributable to the acquisition, construction or production of an asset that takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of that asset.

3.16 Inventories

Inventories are valued at the lower of cost and net realisable value, after making due allowances for obsolete and slow moving items. Net realisable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and conditions are accounted using the following cost formula:-

Raw Materials	At purchase cost on first-in first-out
Finished Goods and Work-in-progress	Manufacturing overheads based on normal operating capacity, but Excluding Borrowing Costs.
Consumables and Spares	At purchase cost on first-in first-out
Goods in Transit	At purchase cost on first-in first-out

3.17 Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of the Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with

short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

3.18 Financial Instruments initial recognition and subsequent measurement

Financial Assets

Initial Recognition

Financial assets within the scope of LKAS 39 are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments, available-for-sale financial assets, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial assets at initial recognition.

All financial assets are recognized initially at fair value plus, in the case of assets not at fair value through profit or loss, directly attributable transaction costs. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

The Group's financial assets include cash and cash equivalents, trade and other receivables and short term investments which have been classified as other current financial assets in the statement of financial position.

Subsequent Measurement

The subsequent measurement of financial assets depends on their classification at initial recognition.

Loans and Receivables

Loans and Receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate method (EIR), less impairment.

Other Investments

Other investment include Fixed Deposits which are stated at amortised cost.

De-recognition

A financial asset is de-recognized when:

- The rights to receive cash flows from the asset have expired

- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The Group has transferred substantially all the risks and rewards of the asset, or
 - (b) The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognized to the extent of the Group's continuing involvement in it.

Impairment of financial assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Financial assets carried at amortised cost

For financial assets carried at amortised cost, the Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future

cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the Income Statement. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of finance income in the income statement. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realised or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a future write-off is later recovered, the recovery is credited to finance costs in the Income Statement.

Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, carried at amortized cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, bank overdrafts and loans and borrowings and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for

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trading if they are acquired for the purpose of selling in the near Term. This category includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by LKAS 39. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the income statement. Financial liabilities designated upon initial recognition at fair value through profit and loss so designated at the initial date of recognition, and only if criteria of LKAS 39 are satisfied. The Group has not designated any financial liability as at fair value through profit or loss.

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in the income statement when the liabilities are derecognized as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance costs in the income statement.

Financial guarantee contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognised less cumulative amortisation.

De-recognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

Derivative financial instruments

Initial recognition and subsequent measurement

The Group uses derivative financial instruments, such as forward currency contracts, to hedge its foreign currency risks. Such derivative financial instruments are initially

recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to the Statement of Profit or Loss.

Impairment of non- financial assets

The carrying amounts of the Group's assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

3.19 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate assets but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement.

3.20 Warranties

A provision for warranties is recognised when the underlying products or services are sold. The provision is based on historical warranty data and a weighing of possible outcomes against their associated probabilities

3.21 Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.22 Trade and other payables

Trade and other payables are stated at their cost.

3.23 Capital commitments and contingencies

Capital commitments and contingent liabilities of the Group are disclosed in the respective Note 26 to the Financial Statements.

3.24 Employee Benefits

Defined Contribution Plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Provident and Trust Funds covering all employees are recognised as an employee benefit expense in profit or loss in the periods during which services are rendered by employees.

The Group contributes to the following Schemes:

Employees' Provident Fund

The Group and employees contribute 12% and 8% respectively of the employee's monthly gross salary to the Provident Fund.

Employees' Trust Fund

The Group contributes 3% of the employee's monthly gross salary to the Employees' Trust Fund maintained by the Employees' Trust Fund Board.

Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit is calculated by independent actuaries using Projected Unit Credit (PUC) method as recommended by LKAS 19 – "Employee benefits". The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Key assumptions used in determining the defined retirement benefit obligations are given in Note 24. Any changes in these assumptions will impact the carrying amount of defined benefit obligations.

Provision has been made for retirement gratuities from the beginning of service for all employees, in conformity with LKAS 19 on employee benefit. However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of 5 years of continued service.

The valuation was carried out as at 31 March 2016 by Messer's NMG Consulting a qualified actuary. Further details are disclosed in Note 24.

Recognition of Actuarial Losses / Gains

Actuarial gains and losses are recognized in full in the Other Comprehensive Income in line with the LKAS 19 – Employee Benefits (Revised 2013).

Funding Arrangements

The Gratuity liability is not externally funded.

Short Term Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.25 Cash Flow Statement

The Cash Flow Statement is prepared using the indirect method, as stipulated in LKAS 7- "Statement of Cash Flows".

3.26 Critical Accounting Estimates and Judgments

The preparation of Financial Statements in conformity with Sri Lanka Accounting Standards which requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Judgments and estimates are based on historical experience and other factors, including expectations that are believed to be reasonable under the circumstances. Hence actual experience and results may differ from these judgements and estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revision to accounting estimates are recognised in the period in which the estimates are revised if the revision affects only that period and any future periods.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes.

Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

Notes to the Financial Statements

Year ended 31 March 2016

Transfer Pricing regulation

The Company is subject to income taxes and other taxes including transfer pricing regulations. Prevailing uncertainties with respect to the interpretation of respective transfer pricing regulations, necessitated using management judgment to determine the impact of transfer pricing regulations. Accordingly critical judgments and estimates were used in applying the regulations in aspects including but not limited to identifying associated undertakings, estimation of the respective arm's length prices and selection of appropriate pricing mechanism. The current tax charge is subject to such judgments. Differences between estimated income tax charge and actual payable may arise as a result of management's interpretation and application of transfer pricing regulation.

Measurement of the Defined Benefit Obligations

The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Key assumptions used in determining the defined retirement benefit obligations are given in Note 24. Any changes in these assumptions will impact the carrying amount of defined benefit obligations.

Revaluation of Land

The Group measures lands at revalued amount with change in value being recognized in the Statement of Other Comprehensive Income in Financial year 2014/2015. The valuer has used valuation techniques such as open market value. Refer Note 12 to the financial statements.

Inventories

Group reviews the existence and usability of inventories based on a perpetual inventory count. Provisions are made when Management determines obsolete stock and/or assesses a reduction in recoverable value. Provision is made in full when the goods aged over three months with regard to Die used in the production process based on group policy.

Allowance for Doubtful Debts

Group reviews at each reporting date all receivables to assess whether an allowance should be recorded in the income statement. Management uses judgment in estimating such allowance considering the duration of outstanding and any other factors management is aware of that indicates uncertainty in recoverability. Refer Note 18 for more details.

3.27 Events occurring after the Reporting date

All material post occurred after the reporting date events have been considered and where appropriate adjustments or disclosures have been made in the Note 27 to the Financial Statements.

3.28 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE

Standards issued but not yet effective up to the date of issuance of the Group's financial statements are listed below. This listing of standards and interpretations issued are those that the Group reasonably expects to have an impact on disclosures, financial position or performance when applied at a future date. The Group intends to adopt these standards when they become effective.

SLFRS 9 – Financial Instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

SLFRS 15 – Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 is effective for annual reporting periods beginning on or after 1 January 2018, with early adoption permitted.

Pending the completion of the detailed impact analysis, possible Impact from SLFRS 9 and SLFRS 15 is not reasonably estimable as of the reporting date.

5. REVENUE

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Local Sales - Extrusions	3,242,884	2,411,603	3,243,156	2,427,342
Export Sales - Extrusions	5,672	15,196	5,672	15,196
Local Sales - Aluminium Components	696,499	830,389	-	-
Export Sales - Aluminium Components	715	2,146	-	-
Finished Die Sales	-	-	7,050	34,209
Powder Coating , Anodizing ,Wood Effect and Billets Conversion Charges	-	-	122,336	121,240
Aluminium Accessories, Cladding & Corian	14,091	35,771	13,759	30,921
Other Material Sales and Service Charges	35,588	12,076	71,703	61,871
Other Sales	-	-	2,178	1,843
	3,995,449	3,307,181	3,465,854	2,692,622

6. OTHER INCOME AND GAINS

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Profit on Disposal of Property, Plant and Equipment	4,766	8,107	32,360	8,326
Dividend Income	-	-	164,813	135,000
Rent Income	-	-	1,200	1,200
Income from sale of discarded items	7,955	7,636	7,724	6,039
Insurance Claim Received	492	1,337	492	748
Finished Die Sales	13,213	17,080	206,589	151,313

7. FINANCE COST AND INCOME

7.1 Finance Cost

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Interest Expense on Loans and Borrowings	752	2,447	463	1,752
Interest Expense on Finance Leases	3	226	3	226
Interest Expense on Bank Overdrafts	104	104	89	89
Other Finance Costs	-	-	17,313	6,711
Exchange Loss	34,085	11,034	27,989	8,750
	34,944	13,811	45,857	17,528

Notes to the Financial Statements

Year ended 31 March 2016

7. FINANCE COST AND INCOME CONTD.

7.2 Finance Income

	Group		Company	
	2016	2015	2016	2015
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Interest Income on Deposits	10,442	8,434	6,558	5,823
Exchange Gain	12,650	6,726	12,172	6,325
	23,092	15,160	18,730	12,148

8. PROFIT BEFORE TAX

	Group	Group	Company	Company
	2016	2015	2016	2015
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Included in Cost of Sales				
Employee Benefits Including the Following	209,654	187,856	179,028	165,292
- Defined Benefit Plan Costs - Gratuity	4,955	6,383	4,290	6,167
- Defined Contribution Plan Costs - EPF and ETF	5,559	11,762	3,486	10,264
Depreciation	93,601	70,710	81,194	61,713
Provision for Inventory	29,961	17,300	12,736	14,393
Included in Administrative Expenses				
Employee Benefits Including the Following	157,303	143,607	150,391	135,100
- Defined Benefit Plan Costs - Gratuity	4,051	5,318	3,803	5,137
- Defined Contribution Plan Costs - EPF and ETF	12,899	11,716	12,137	10,840
Provision/ (Reversal) for Bad Debts	12,862	(675)	9,295	(908)
Unclaimed Tax	49	404	33	404
Audit Fees	1,130	1,118	775	736
Non - Audit Fee	2,131	1,059	1,626	982
Depreciation and Amortization	13,897	12,511	12,565	11,148
Gifts , Donation and CSR	5,374	795	5,335	795
Directors Fees (NED)*	705	705	705	705
Directors Emoluments (ED)**	24,829	22,318	24,829	22,318
Research & Development Expenses	1,238	4,306	1,238	4,298
Included in Selling and Distribution Expenses				
Advertising Costs	27,400	11,211	27,370	10,741

* NED - Non Executive Directors

** ED - Executive Directors

9. INCOME TAX

The major components of income tax expense for the years ended 31 March 2016 and 2015 are :

Income Statement	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Current Income Tax :				
Current Income Tax	204,661	97,958	177,698	93,708
Adjustments in Respect of Current Income Tax of Previous Year	(479)	4,670	(471)	(1,567)
WHT on Dividends	18,313	15,000	-	-
Deferred Tax :				
Relating to Origination and Reversal of Temporary Differences	(10,358)	18,177	(7,145)	16,200
Income Tax Expense Reported in the Income Statement	212,137	135,805	170,082	108,341

A reconciliation between tax expense and the product of accounting profit multiplied by domestic tax rate for the years ended 31 March 2016 and 2015 is as follows :

Consolidated Statement of OCI	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Deferred Tax Related to Items Recognized in OCI During the Year				
Net Loss/(Gain) on Actual Gains and Losses	(2,358)	1,547	(2,211)	1,356
Deferred Tax Charged to OCI	(2,358)	1,547	(2,211)	1,356

Notes to the Financial Statements

Year ended 31 March 2016

9. INCOME TAX CONTD.

9.1 A Reconciliation Between Tax Expense and the Product of Accounting Profit

Income Statement	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Accounting Profit Before Income Tax	801,260	612,800	755,716	503,095
Aggregate Disallowable Items	270,064	129,706	215,541	113,805
Aggregate Allowable Expenses	(387,823)	(186,592)	(342,646)	(286,974)
Exempt Profit	-	(232,284)	-	-
Interest Income	10,442	8,434	6,558	5,802
Taxable Income	693,942	332,064	635,169	335,728
Income Tax @ 10%	38,957	15,000	-	-
Income Tax @ 12%	135	282	112	222
Income Tax @ 28%	183,882	97,676	177,586	93,486
Income Tax on Current Year Profit	222,973	112,958	177,698	93,708
Tax on Temporary Difference Tax @ 20%	(3,241)	(165)	-	-
Tax on Temporary Difference Tax @ 28%	(7,117)	18,342	(7,145)	16,200
Adjustments In Respect of Current Income Tax of Previous Year	(479)	4,670	(471)	(1,567)
Income Tax Expenses Reported in the Consolidated Income Statement	212,137	135,805	170,082	108,341

Deferred Tax Relates to the Following:

Income Statement	Statement of Financial Position		Income statement	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Company				
Accelerated Depreciation for the Tax Purposes	(121,676)	(119,276)	2,400	21,019
Retirement Benefit Obligations	20,210	16,219	(1,780)	(806)
Provision for Bad Debts	3,182	580	(2,602)	17
Provision for Obsolete Inventory	11,962	6,798	(5,163)	(4,030)
			(7,145)	16,200
Statement of Comprehensive Income				
Income Tax Effect on Actuarial Gains			(2,211)	1,356
			(2,211)	1,356
Deferred Tax Expense / (Income)			(9,357)	17,556
Net Deferred Tax Assets / (Liabilities)	(86,322)	(95,678)		
			2016 Rs. 000	2015 Rs. 000
Company				
Reflected in the Statement of Financial Position as follows,				
Deferred Tax Assets			35,354	23,598
Deferred Tax Liabilities			(121,676)	(119,276)
Deferred Tax Liabilities Net as at 31 March 2016			(86,322)	(95,678)
Reconciliation of Deferred Tax Liabilities				
Balance as at 01 April			(95,678)	(78,122)
Tax Income/(Expense) Recognized in Profit & Loss			7,145	(16,200)
Tax Income/(Expense) Recognized in Other Comprehensive Income			2,211	(1,356)
Balance as at 31 March			(86,322)	(95,678)

Notes to the Financial Statements

Year ended 31 March 2016

9. INCOME TAX CONTD.

9.3 Group

	Statement of Financial Position		Income statement	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Accelerated Depreciation for the Tax Purposes	(127,794)	(124,175)	3,618	22,155
Retirement Benefit Obligations	21,679	17,490	(1,831)	(2,173)
Provision for Bad Debts	4,195	907	(3,287)	(4)
Provision for Obsolete Inventory	15,972	7,114	(8,858)	(1,801)
			(10,358)	18,177

	Statement of Comprehensive Income	
Income Tax Effect on Actuarial Gains or Losses	(2,358)	1,547
	(2,358)	1,547
Deferred Tax Expense /(Income)	(12,716)	19,724
Net Deferred Tax Assets / (Liabilities)	(85,948)	(98,664)

Deferred Tax is computed at 28% tax rate, as the effect of other rates do not significantly impact on the Financial Statements of the Company as at 31 March 2016.

Group

Reflected in the Statement of Financial Position as Follows,

	2016 Rs. 000	2015 Rs. 000
Deferred Tax Assets	41,846	25,511
Deferred Tax Liabilities	(127,794)	(124,175)
Deferred Tax Liabilities Net as at 31 March 2016	(85,948)	(98,664)
Reconciliation of Deferred Tax Liabilities		
Balance as at 01 April 2015	(98,664)	(78,939)
Tax Income/(Expense) Recognized in Profit & Loss	10,358	(18,178)
Tax Income/(Expense) Recognized in Other Comprehensive Income	2,358	(1,547)
Balance as at 31 March 2016	(85,948)	(98,664)

9.4 Super Gain Tax

As per provisions of part III of the Finance Act No 10 of 2015 which was certified on 30 October 2015, the Company and the Group are liable for super gain tax of Rs.72.82 mn and Rs. 74.7 mn respectively. According to the Act, the Super Gain Tax shall be deemed to be an expenditure in the Financial Statements relating to the year of assessment which commenced on 01 April 2013. The Act supersedes the requirements of the Sri Lanka Accounting Standards, hence the expense of super gain tax is accounted in accordance with the requirements of the said Act as recommended by the Statement of Alternative Treatment (SoAT) on Accounting for Super Gain Tax issued by the Institute of Chartered Accountants of Sri Lanka, dated 24 November 2015.

10. NOTES TO THE FINANCIAL STATEMENTS

10.1 Basic Earning per Share

Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The weighted average number of ordinary shares outstanding during the year and the previous year are adjusted for events that have changed the number of ordinary shares outstanding, without a corresponding change in the resources such as an Initial Public Offering of shares.

Diluted Earning per share

The calculation of diluted earning per share is based on the profit attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding after adjustment for the effect of all diluted ordinary shares.

There were no potentially dilutive ordinary shares outstanding at any time during the year/Previous year

10.2 The following reflects the income and share data used in the Basic & Diluted Earnings Per Share computation.

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Amounts Used as Numerator:				
Net Profit Attributable to the Equity Holders of the Company	589,123	476,995	596,660	394,755
	2016 Number	2015 Number	2016 Number	2015 Number
Numbers of Ordinary Shares Used as Denominator:				
Weighted Average Number of Ordinary Shares in Issue	299,302,840	299,302,840	299,302,840	299,302,840
Basic & Diluted Earning per Share	1.97	1.59	1.99	1.32

Notes to the Financial Statements

Year ended 31 March 2016

11. DIVIDENDS PAID AND PROPOSED

	Company	
	2016 Rs. 000	2015 Rs. 000
Declared and paid during the year:		
Dividends on Ordinary Shares:		
Final Dividend for 2014/2015 -Rs.0.25/- per Share (Final Dividend for 2013/2014 -Rs.0.25/- per Share)	74,826	74,826
Interim Dividend for 2015/16 - Rs.0.75/- per Share (Interim Dividend for 2014/2015 - Rs 0. 33/- per Share)	224,477	98,770
Declared and Paid After the Year:		
Interim Dividend for 2014/15-Rs.0.42/- per Share	-	125,707
	299,303	299,303
Number of Shares	299,302,840	299,302,840
Dividend per Share	1.00	1.00

All dividend proposed and declared before the financial statement were authorized for issue have been recognized as a distribution to owners

12. PROPERTY, PLANT AND EQUIPMENT

12.1 Group

	Land Rs. 000	Building Rs. 000	Construction In Progress Rs. 000	Plant and Machinery Rs. 000	Motor Vehicles Rs. 000	Office Equipment Rs. 000	Furniture and Fittings Rs. 000	Tool and Equipment Rs. 000	Total Rs. 000
Cost or Valuation									
At 1 April 2015	426,455	451,058	7,376	782,498	62,658	31,506	13,749	11,878	1,787,178
Additions	-	8,179	55,785	29,890	14,476	9,497	5,039	4,232	127,100
Disposals	-	(450)	(1,198)	-	(11,889)	-	-	-	(13,537)
Transfer	-	17,340	(23,586)	6,246	-	-	-	-	-
At 31 March 2016	426,455	476,127	38,377	818,634	65,245	41,003	18,791	16,110	1,900,742
Depreciation and Impairment									
At 1 April 2015	-	75,143	-	360,364	46,666	16,668	9,108	6,095	514,044
Charge for the Year	-	23,224	-	67,436	8,221	3,659	1,288	1,652	105,482
Disposals	-	(32)	-	-	(11,889)	-	-	-	(11,921)
At 31 March 2016	-	98,335	-	427,800	42,998	20,327	10,396	7,747	607,605
Net Book Value									
At 31 March 2016	426,455	377,792	38,377	390,834	22,247	20,676	8,395	8,363	1,293,137
At 31 March 2015	426,455	375,915	7,376	422,936	15,992	14,838	4,642	5,782	1,273,134

12 PROPERTY, PLANT AND EQUIPMENT

12.2 Company

	Land Rs. 000	Building Rs. 000	Construction In Progress Rs. 000	Plant and Machinery Rs. 000	Motor Vehicles Rs. 000	Office Equipment Rs. 000	Furniture and Fittings Rs. 000	Tool and Equipment Rs. 000	Total Rs. 000
Cost or Valuation									
At 1 April 2015	322,875	421,405	-	686,099	56,024	31,352	13,578	11,689	1,543,022
Additions	47,944	35,179	22,484	23,051	14,477	9,497	4,663	3,491	160,786
Disposals	(10,872)	(80,160)	-	-	(11,889)	-	-	-	(102,920)
Transfer	-	11,162	(17,407)	6,246	-	-	-	-	-
At 31 March 2016	359,947	387,586	5,077	715,396	58,612	40,849	18,241	15,180	1,600,888
Depreciation and Impairment									
At 1 April 2015	-	74,382	-	324,165	42,241	16,618	8,999	6,015	472,420
Charge for the Year	-	21,622	-	56,751	6,919	3,629	1,252	1,569	91,742
Disposals	-	(20,481)	-	-	(11,889)	-	-	-	(32,370)
At 31 March 2016	-	75,523	-	380,916	37,271	20,247	10,251	7,584	531,792
Net Book Value									
At 31 March 2016	359,947	312,063	5,077	334,480	21,341	20,602	7,990	7,596	1,069,096
At 31 March 2015	322,875	347,023	-	361,934	13,783	14,734	4,579	5,674	1,070,602

During the financial year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.142 mn. (2015- Rs.342 mn) for cash.

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.182 mn (2015- Rs.259 mn) for cash.

E-friend loan Rs. 37.5mn obtain from Lanka Orix Leasing Company PLC in the year 2010/11 is secured over the extrusion plant of Alco Industries (Pvt) Ltd for Rs. 37.5mn.

The gross carrying amount of fully depreciated property, plant and equipment that are still in use as at 31 March 2016 was Rs.63 mn (2015 -Rs.41 mn).

12.3 Assents held under finance leases

There were no motor vehicles held under finance leases at 31 March 2016 (2015 - Rs. 0.2 mn).

Notes to the Financial Statements

Year ended 31 March 2016

12 PROPERTY, PLANT AND EQUIPMENT CONTD.

12.4 Revaluation of Land & Building

Fair value of the properties was determined using the market comparable method. This means that valuation performed by the value are based on market based evidence, significantly adjusted for difference in the nature, location or condition of the specific property.

As at the date of revaluation on 31 March 2015, the fair value of land are based on valuation performed by Mr. P. B. Kalugalgedara, an independent chartered valuer who has valuation experience for similar lands since 1969. The fair value of Freehold Buildings were determined by means of a revaluation during the year 2010 by Messrs. SGS Lanka (Pvt) Ltd, an independent valuer in reference to market based evidence. The results of such revaluation were incorporated in these financial statements from its effective date which was 31 March 2011. The surplus arising from the revaluation net of deferred taxes was transferred to a revaluation reserve and it's transferred back to equity over the period of time.

The group changed the accounting policy with respect of measurement of building during 2012, therefore the fair value of building was not measured thereafter.

The carrying amount of revalued assets that would have been included in the financial statements had the assets been carried at cost less depreciation is as follows:

Class of Asset	Cumulative		Net Carrying Amount	Net Carrying Amount
	Cost	Depreciation if Assets were Carried at Cost		
	Rs. 000	Rs. 000	2016 Rs. 000	2015 Rs. 000
Group / Company				
Freehold Land	21,210	-	21,210	21,210
Building	132,355	(85,122)	47,233	53,851
	153,565	(85,122)	68,443	75,061

12.4 Revaluation of Land & Building

Fair Value of Land

Fair Value measurement disclosure for revalued land based on un-observable inputs are as follows,

		Fair Value measurement using Significant unobservable inputs (Level 3)	
	Date of Valuation	Group Rs. 000	Company Rs. 000
Revalued Property, Plant and Equipments			
Land -Makola	31 December 2014	426,455	322,875
		426,455	322,875
	Range		
Depreciation Transfer for Building	Rs. 000		
Significant unobservable input :	300-400		
Price per perch			

Significant increases / (decreases) in estimated price per perch in isolation would result in a significantly higher (lower) fair value.

12.5 Depreciation Transfer for Building

An annual transfer from the asset revaluation reserve to retained earnings is made for the difference between depreciation based on the revalued carrying amount of the asset and depreciation based on the asset's original cost. Additionally, accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

13. INVESTMENT PROPERTY

		Company	
		2016 Rs. 000	2015 Rs. 000
At 1st April 2015		47,775	47,775
Addition		-	-
Disposal		(47,775)	-
At 31st March 2016		-	47,775

Company's investment property consists of a part of the land of Alumex PLC, situated at Sapugaskanda leased out to Alco Industries (Pvt) Ltd at a monthly rental of Rs.0.1 mn for a period of 33 years commencing from 1 July 2010.

The company is carrying the investment property at cost. As at 31 March 2015, the fair value of the property was valued for Rs.58.8 mn by an independent chartered valuer Mr. P. B. Kalugagedara.

Notes to the Financial Statements

Year ended 31 March 2016

13. INVESTMENT PROPERTY CONTD.

Fair Value of Investment Property

		Fair Value measurement using Significant unobservable inputs (Level 3)	
	Date of Valuation	Group Rs. 000	Company Rs. 000
Revalued Property, Plant and Equipments			
Land	31 December 2014	-	58,000
Significant unobservable input :			
Price per perch	Range Rs. 000 400		

Significant increase (decrease) in estimated price per perch in isolation would result in a significantly higher (lower) fair value.

	2016	2015
Rental income derived from investment property (Rs. 000')	1,200	1,200

Investment Property represent a Land is not depreciated

Company's investment property has been sold out to Alco Industries (Pvt) Ltd for value of Rs 61.740 mn during the month March 2016 and profit of Rs.13.965 mn arising from the transaction has been incorporated to the profit and loss.

14. INTANGIBLE ASSETS

	Group / Company			
	Development Cost Rs. 000	Software Development Rs. 000	Patents and licenses Rs. 000	Total Rs. 000
Cost				
At 1 April 2015	6,746	6,404	11,124	24,274
Additions / Transfers	12,476	4,918	7,059	24,454
At 31 March 2016	19,222	11,322	18,183	48,728
Amortization				
At 1 April 2015	-	-	7,290	7,290
Amortization Charge for the Year	-	-	2015	2015
At 31 March 2016	-	-	9,035	9,035
Net Book Value				
At 31 March 2016	19,222	11,322	8,877	39,422
At 31 March 2015	6,746	6,404	3,834	16,984

- 14.1** Intangible asset consist of patent and licence of ERP software (Microsoft Navision) purchased during 2009 and amortize by 31 December 2018,

Development cost represent the cost incurred to develop and test three door and window systems.

Software development cost represent the cost incurred for implementing finance and manufacturing modules of ERP Software (Microsoft Navision). Manufacturing module implementation is still in progress.

15 INVESTMENTS IN SUBSIDIARIES

	Holding %		Company	
	2016	2015	2016 Rs. 000	2015 Rs. 000
Alco Industries (Pvt) Ltd		100%	30,000	30,000
Avro Enterprises (Pvt) Ltd (Note 15.1)		100%	3,264	6,392
Alumex Systems (Pvt) Ltd (Incorporated 21st March 2016 and shares to be allotted)		100%	-	-
			33,264	36,392
(Initial investment in Alumex Systems (Pvt) Ltd is one share at a value of Rs.10/-)				

15.1 Impairment of Investment

	Company	
	2016 Rs. 000	2015 Rs. 000
Balance as at 01 April	6,392	8,001
Impairment	3,128	1,609
Balance as at 31 March	3,264	6,392

16 FINANCIAL ASSETS AND FINANCIAL LIABILITIES

16.1 Financial Asset

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Fixed deposit	1,133	1,062	1,133	1,062
Total Financial Asset	1,133	1,062	1,133	1,062
Total Current Asset	1,133	1,062	1,133	1,062
Total Non Current Asset	-	-	-	-

Loans and receivables are non-derivative financial assets carried at amortized cost which generate a fixed or variable interest income for the Group.

Notes to the Financial Statements

Year ended 31 March 2016

16 FINANCIAL ASSETS AND FINANCIAL LIABILITIES CONTD.

16.2 Financial Liabilities

	Group		Company	
	2016	2015	2016	2015
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Current Interest Bearing Loans and Borrowings				
Finance Lease Obligations	-	173	-	173
Long Term Loans	3,084	14,417	3,084	14,417
Total Current Interest Bearing Loans and Borrowings	3,084	14,590	3,084	14,590
Non Current Interest Bearing Loans and Borrowings				
- Loan Term Loans	-	3,084	-	3,084
Total Non Current Interest Bearing Loans and Borrowings	-	3,084	-	3,084

16.2.1 Financial Lease Obligation

	Group		Company	
	2016	2015	2016	2015
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
As at 01 April	176	2,321	176	2,321
New Leased obtained	-	-	-	-
Repayments	(176)	(2,145)	(176)	(2,145)
As at 31 March		176		176
Finance Charge Unamortized	-	(3)	-	(3)
Net Lease Obligation (i)	-	173	-	173

16.2.2 Analysis of Financial Lease Obligations by Year of Repayment

	Group		Company	
	2016	2015	2016	2015
	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Finance Lease Obligations Repayable within 1 Year from Year-end				
Gross Liability	-	176	-	176
Finance Charges Unamortized	-	(3)	-	(3)
Net Lease Obligations Repayable Within 1 Year from Year-end (i)	-	173	-	173

16.2.3 Long-Term Borrowings

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
As at 01 April	17,501	50,622	17,501	50,622
New Loans Obtained	-	-	-	-
Repayments	(14,417)	(33,122)	(14,417)	(33,122)
As at 31 March	3,084	17,501	3,084	17,501
Transfer to Current Liability (Repayable Within One Year)	3,084	14,417	3,084	14,417
Repayable After One Year	-	3,084	-	3,084

16.2.4 Analysis of Long-Term Borrowings by year of Repayment

Long-Term Loans Repayable Between 1 and 2 Years from Year-end	-	3,084	-	3,084
Long-Term Loans Repayable Between 2 and 5 Years from Year-end	-	-	-	-
Long-Term Loans Repayable later than 5 Years from Year-end	-	-	-	-
	-	3,084	-	3,084

16.2.5 Other Current Financial Liability

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Financial instruments at fair value through profit or loss				
Foreign exchange forward contracts	553	-	553	-
Total Other current financial liability	553	-	553	-

The Group enters in to foreign exchange forward contracts with the intention of reducing the foreign exchange risk of purchases, these contracts are measured at fair value through profit or loss.

Notes to the Financial Statements

Year ended 31 March 2016

16 FINANCIAL ASSETS AND FINANCIAL LIABILITIES CONTD.

16.2.6 Fair Value of Financial Assets and Liabilities not Carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Company's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of non-financial assets and non-financial liabilities.

Group	Carrying Amount		Fair value	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Financial Assets				
Trade and Other Receivables	507,937	342,931	507,937	342,931
Fixed Deposits	1,133	1,062	1,133	1,062
Total	509,070	343,993	509,070	343,993
Financial Liabilities				
Trade and Other Payables	669,617	723,998	669,617	723,998
Loans and Borrowings- Current	3,084	14,590	3,084	14,590
Loans and Borrowings- Non Current	-	3,084	-	3,084
Foreign exchange forward contracts	553	-	553	-
Total	673,254	741,672	673,254	741,672

16.2.6 Fair Value of Financial Assets and Liabilities not Carried at Fair Value

Company	Carrying Amount		Fair value	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Financial Assets				
Trade and Other Receivables	455,820	264,956	455,820	264,956
Fixed Deposits	1,133	1,062	1,133	1,062
Total	456,953	266,018	459,953	266,018
Financial Liabilities				
Trade and Other Payables	699,908	714,792	699,908	714,792
Loans and Borrowings- Current	3,084	14,590	3,084	14,590
Loans and Borrowings- Non Current	-	3,084	-	3,084
Foreign exchange forward contracts				
Total	702,992	732,466	702,992	732,466

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which Fair Value Approximates Carrying Value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values.

Loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books.

17. INVENTORIES

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Raw Material	428,323	412,181	333,250	337,981
Work In Progress	44,666	27,203	39,824	19,947
Finished Goods	215,612	303,762	177,343	257,097
Other Materials	34,856	21,782	27,852	20,839
Goods In Transit	138,229	428	132,827	309
	861,686	765,356	711,096	636,173

The provision made for obsolete inventory was amounting Rs. 21 mn (2015 - Rs. 14 mn) which was recognized in Cost of Sales.

18. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Trade Receivables	486,804	319,358	412,281	241,320
Less: Provision for Doubtful Debts	(16,349)	(3,590)	(11,366)	(2,071)
	470,455	315,768	400,915	239,249
Receivables from Subsidiaries (Note 18.2)	-	-	35,023	-
Receivables from Related Parties (Note 18.1)	15,946	5,167	1,271	5,120
Other Receivables	21,536	21,996	18,611	20,587
	507,937	342,931	455,820	264,956
18.1 Receivables from Related Parties				
Hayleys PLC				
Logiventures Ltd	613	558	613	558
Hayleys Industrial Solution (Pvt) Ltd	14,424	-	-	-
Alufab PLC	909	4,609	658	4,562
	15,946	5,167	1,271	5,120
18.2 Receivables from Subsidiaries				
Alumex Systems (Pvt) Ltd	-	-	35,023	-
	-	-	35,023	-

Trade receivables are non- interest bearing and are generally on 30-90 days terms.

Notes to the Financial Statements

Year ended 31 March 2016

18. TRADE AND OTHER RECEIVABLES CONTD.

18.3 Movement in the Provision for Doubtful Debts.

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
As at 1 April	3,590	3,551	2,071	2,132
Provision Made During the Year	20,120	2,233	14,487	1,288
Write-off Against the Provision	(2,075)	(585)	(1,542)	(433)
Provision Reversed During the Year	(5,286)	(1,609)	(3,650)	(916)
As at 31 March	16,349	3,590	11,366	2,071

18.4 As at 31 March , the ageing analysis of trade receivables is as follows:

Group	Neither Past Due nor Impaired	Past Due but not Impaired				Provision for Doubtful Debts	Total (Net)
		< 60 days	61-120 days	121-180 days	> 180 days	Total (Gross)	
2016	369,883	69,923	20,197	19,243	7,558	486,804	(16,349) 470,455
2015	218,242	85,144	10,943	1,810	3,219	319,358	(3,590) 315,768

Company	Neither Past Due nor Impaired	Past Due but not Impaired				Provision for Doubtful Debts	Total (Net)
		< 60 days	61-120 days	121-180 days	> 180 days	Total (Gross)	
2016	314,330	59,071	17,904	17,401	3,575	412,281	(11,366) 400,915
2015	162,523	68,491	7,871	433	2,002	241,320	(2,071) 239,249

See Note 29 on credit risk of trade receivables which explains how the Group manages and measures credit quality of trade receivables that are neither past due nor impaired.

19 ADVANCES AND PREPAYMENTS

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Advances	31,572	24,387	31,542	20,379
Prepayments	6,529	3,099	3,431	2,517
	38,101	27,486	34,973	22,896

20 CASH AND SHORT TERM DEPOSITS

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Cash at Banks and on Hand	55,534	78,354	35,738	39,149
Short-Term Deposits	82,916	132,126	81,765	54,960
	138,450	210,480	117,503	94,109

For the purpose of statement of cash flows, cash and cash equivalents comprise the followings.

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Cash at Banks and on Hand	55,534	78,354	35,738	39,149
Short-Term Deposits	82,916	132,126	81,765	54,960
Cash and Cash Equivalents for the Purpose of Cash Flow Statement	138,450	210,480	117,503	94,109

21 STATED CAPITAL

	Company			
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Ordinary Shares	299,302,840	283,735	299,302,840	283,735

All authorized ordinary shares are issued and fully paid

22 RESERVES

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Revaluation Reserve (Note 22.1)	456,447	510,228	445,422	499,203
Capital Reserve	228,056	228,056	228,056	228,056
	684,503	738,284	673,478	727,259

22.1 Revaluation Reserve

	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
As at 1 April	510,228	457,300	499,203	457,300
Revaluation Surplus During the Year	-	61,245	-	50,220
Excess Depreciation Transfer on Revaluation Surplus	(53,781)	(8,317)	(53,781)	(8,317)
As at 31 March	456,447	510,228	445,422	499,203

Notes to the Financial Statements

Year ended 31 March 2016

22 RESERVES CONTD.

22.2 Capital reserve was made with funds transferred from retained earnings in previous years with the purchase of capital nature assets.

22.3 OCI items, Net of Tax

The disaggregation of charges OCI by each type of equity is shown below

Group	Revaluation Reserve Rs. 000	Retained Earnings Rs. 000	Total Rs. 000
As at 31 March 2016	-	(6,274)	-
Remeasurement of Defined Benefit Plan	-	(6,274)	-
As at 31 March 2015			
Remeasurement of Defined Benefit Plan	-	4,252	4,252
Revaluation of Land	61,245	-	61,245
	61,245	4,252	65,497
Company			
As at 31 March 2016			
Remeasurement of Defined Benefit Plan	-	(5,686)	(5,686)
	-	(5,686)	(5,686)
As at 31 March 2015			
Remeasurement of Defined Benefit Plan	-	3,488	3,488
Revaluation of Land	50,220	-	50,220
	50,220	3,488	53,708

23 PROVISIONS

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Maintenance Warranty				
As at 01 April	4,810	-	3,968	-
Provisions During the Year	2,144	4,810	1,736	3,968
As at 31 March	6,954	4,810	5,704	3,968

Maintenance warranty provision is recognized for expected warranty claims on Wood Finished product sold.

24 RETIREMENT BENEFIT LIABILITY

The Group measures the present value of Defined Benefit Obligation (PVDBO) which is a defined benefit plan with the advice of an actuary using Project Unit Credit Method.

Changes in the present value of the Retirement Benefit Plan as follows:

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
As at 1 April	64,279	60,367	57,927	59,892
Interest Cost	6,302	6,564	5,704	6,512
Current Service Cost	2,705	5,136	2,389	4,792
Benefit Paid	(2,396)	(1,989)	(1,760)	(1,989)
Actuarial (Gain) / Loss	8,632	(5,799)	7,897	(4,844)
Due to Employee Transfers	-	-	23	(6,436)
As at 31 March	79,522	64,279	72,180	57,927

24.1 Expense Recognized during the year in Income Statement

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Interest Cost	6,302	6,564	5,704	6,512
Current Service Cost	2,705	5,137	2,389	4,792
	9,007	11,701	8,093	11,304
Actuarial (gains)/losses recognized in Other Comprehensive Income	8,632	(5,799)	7,897	(4,844)

Messer's NMG Consulting, carried out an actuarial valuation of the defined benefit plan gratuity on 31 March 2016. The principal financial assumptions underlying the valuation are as follows.;

24.2 The key assumptions used in determining the cost of employee benefits were:

Discount rate	11% (2015 - 10%)
Rate of Salary Increase	10% (2015 - 09%)
Retirement Age	55-60 Years as specified by the Company (2015 - 55-60 Years)
Staff Turnover	12.8%
Mortality	Based on A1967/70 Mortality Table (Institute of Actuaries , London)

Notes to the Financial Statements

Year ended 31 March 2016

24 RETIREMENT BENEFIT LIABILITY CONTD.

24.3 In order to illustrate the significance of the salary escalation rates and discount rates assumed in this valuation a sensitivity analysis for all employees assuming the above is as follows;

Group				Company			
Salary Increment Rate	Discount Rate	PVODBO	Net Benefit (Expense)	Salary Increment Rate	Discount Rate	PVODBO	Net Benefit (Expense)
10%	10%	85,778	(6,256)	10%	10%	77,989	(5,809)
10%	12%	73,674	5,848	10%	12%	66,974	5,206
9%	11%	73,588	5,934	9%	11%	66,896	5,284
11%	11%	85,763	(6,241)	11%	11%	77,977	(5,796)

24.4 Average future working life time as per the assumptions made is 8.3 years as of 31 March 2016.

24.5 Maturity Profile of the Defined Benefit Obligation as at 31 March 2016

	Defined Benefit Obligation			
	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Expected Future Working Life				
Within the Next Twelve Months	8,740	4,049	7,557	3,420
Between One to Five Years	18,950	9,739	16,873	8,780
Between Five to Ten Years	21,003	50,492	19,885	45,727
More than Ten Years	30,829	-	27,865	-
	79,522	64,280	72,180	57,927

25. TRADE AND OTHER PAYABLES

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Trade Payables	436,235	463,954	403,576	354,418
Payable to Subsidiaries (Note 25.2)	-	-	78,938	117,801
Amounts Due to Related Parties (Note 25.1)	6,500	71,036	6,399	70,677
Other Payables	78,261	101,310	69,269	91,864
Accruals and Sundry Creditors	148,621	87,698	141,726	80,032
	669,617	723,998	699,908	714,792
25.1 Amounts Due to Related Parties				
Hayleys PLC	5,739	64,548	5,665	64,548
Dean Foster (Pvt) Ltd	-	5,970	-	5,970
Civaro Lanka (Pvt) Ltd	11	68	11	68
Hayleys Business Solutions International (Pvt) Ltd	134	115	106	91
Logiwise Limited	20	-	20	-
MIT Cargo (Pvt) Ltd	492	-	492	-
Hayleys Electronic Lighting (Pvt) Ltd	68	-	68	-
Hayleys Industrial Solutions (Pvt) Ltd	-	319	-	-
Hayleys Travel & Tours (Pvt) Ltd	36	-	37	-
Alufab PLC	-	16	-	-
	6,500	71,036	6,399	70,677
25.2 Payable to subsidiaries				
Avro Enterprises (Pvt) Ltd	-	-	2,913	5,513
Alco Industries (Pvt) Ltd	-	-	76,025	112,288
Between One to Five Years	-	-	78,938	117,801

Group / Company

Terms and conditions of the above financial liabilities:

- Trade payables are non-interest bearing and are normally settled on 30-120 day terms
- Accrued expenses are non-interest bearing and are normally settled on 30 day terms

Other payables are non-interest bearing and hence on average term of six months. For explanation of group credit risk management process, refer to Note No 29.

Notes to the Financial Statements

Year ended 31 March 2016

26. COMMITMENTS AND CONTINGENCIES

26.1 Capital Expenditure Commitments

The "Group" has following capital commitments as at 31 March 2016.

Company	Nature of transaction	Capital Commitment Rs. 000
Alumex PLC	Construction of Motor Cycle park	392
Alumex PLC	Purchase of Furniture & Fittings	283
Alumex PLC	Time Attendance machine & Software	486
Alumex PLC	Inventory Control Software	170
Alumex PLC	Purchase Standalone NVT System	510
Alumex PLC	Purchase Telephone System (AASTRA A 470)	1,625
Alumex PLC	Purchase of EDM Machine	2,869
Alumex PLC	Roofing for sludge dryer	388
Alumex PLC	Purchase of Fork lift	3,292
Alumex PLC	Purchase of tractor	1,600
Alumex PLC	Purchase of 2nd Cutter with Chip Extraction System	1,730
Alumex PLC	Purchase of thermometer display unit	1,428
Alumex PLC	Wooden flat form for Chemical Stripping process	782
Alco Industries (Pvt) Ltd	Purchase of 800kva Generator	20,605
		36,160

26.2 Litigation, Disputes and Contingent Liabilities

There are no material legal, arbitration or mediation proceedings pending against the Company that would materially affect the current financial position of future operations or profits of the Company. The Company was not involved in any legal, arbitration or mediation proceedings in the recent past which had any significant effects on the company's financial position or profitability.

As at 31 March 2016, there are no penalties imposed by any regulatory or state authority against the Company.

The contingent liabilities as at 31 March 2016 on guarantees given by group to third parties amounted to Rs.0.7 mn (2015 - Rs.0.3 mn).

Company has received a claim from the Department of Labour for surcharge payments on the grounds of delayed EPF contributions made to the Central Bank of Sri Lanka 10 years before, for a value of Rs. 2 mn and its still being discussed with Department of Labour and the Central Bank of Sri Lanka.

There are no material contingent liabilities, except the above mentioned items, that would affect current and future profits of the Company as at 31 March 2016.

27. EVENTS OCCURRING AFTER THE REPORTING DATE

Avro Enterprises (Pvt) Ltd (Fully own Subsidiary of Alumex PLC) will be amalgamated with Alumex PLC with effect from 20 April 2016.

There were no events, except the above mentioned, that has occurred as at 31st March 2016 which require adjustment to or disclosure in the Financial Statements.

28. RELATED PARTY DISCLOSURES

28.1 Transactions with the key management personnel

(A) Loans to Directors

No loans have been given to the Directors of the Company/Group.

(B) Key Management Personnel Compensation

Key management personnel comprises the Directors of the Company and details of compensation are given in Note 08 to the Financial Statements. There were no other transactions with key management personnel during the year.

28.2 Transaction with parent, subsidiaries and other related companies

The Financial Statements include the Financial Statements of the Group and the subsidiaries listed in the following table:

Name	Country of Incorporation	% Equity Interest	
		2016	2015
Alco Industries (Pvt) Ltd	Sri Lanka	100	100
Avro Enterprises (Pvt) Ltd	Sri Lanka	100	100
Alumex Systems (Pvt) Ltd	Sri Lanka	100	-

Notes to the Financial Statements

Year ended 31 March 2016

28. RELATED PARTY DISCLOSURES CONTD.

The following table provides the total amount of transactions that the Company have been entered into with related parties for the relevant financial year (for information regarding outstanding balances at 31 March 2016, 31 March 2015, refer to Notes 18 and 25):

		Sales to Related Parties	Purchases from Related Parties	Net Funds Transfer from / (to) Related Parties	Amounts Due from Related Parties	Amounts Due to Related Parties
		Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Parent :						
Hayleys PLC	2016	-	33,265	-	-	5,665
	2015	-	31,354	-	-	64,548
Subsidiaries :						
Alco Industries (Pvt) Ltd	2016	355,349	211,768	107,319	-	76,024
	2015	260,270	182,915	50,691	-	112,287
Avro Enterprises (Pvt) Ltd	2016	-	-	(2,600)	-	2,913
	2015	953	20,510	2,321	-	5,513
Alumex Systems (Pvt) Ltd	2016	-	35,023	-	35,023	-
Entities with significant influence over the Group						
Hayleys Business Solutions International (Pvt) Ltd	2016	-	1,157	-	-	106
	2015	-	1,038	-	-	92
Hayleys Consumer Products Ltd	2016	-	-	-	-	-
	2015	-	34	-	-	-
Hayleys Travels & Tours (Pvt) Ltd	2016	-	1,987	-	-	36
	2015	-	1,673	-	-	-
Hayleys Electronics Lighting (Pvt) Ltd	2016	-	731	-	-	68
	2015	-	275	-	-	-
Hayleys Industrial Solutions (Pvt) Ltd	2016	-	94	-	-	-
	2015	-	-	-	-	-

		Sales to Related Parties	Purchases from Related Parties	Net Funds Transfer from / (to) Related Parties	Amounts Due from Related Parties	Amounts Due to Related Parties
		Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
The Kingsbury PLC	2016	-	2,360	-	-	-
	2015	-	2,436	-	-	-
Puritas (Pvt) Ltd	2016	-	1,993	-	-	-
	2015	-	27	-	-	-
Logiventures (Pvt) Ltd	2016	-	3,241	-	-	-
	2015	4,676	-	-	558	-
Haycarb PLC	2016	-	-	-	-	-
	2015	-	21	-	-	-
Civaro Lanka (Pvt) Ltd	2016	-	444	-	-	11
	2015	-	1,106	-	-	68
Sampath Bank PLC	2016	-	433	-	-	-
	2015	-	26	-	-	-
Alufab PLC	2016	46,235	35,626	-	-	-
	2015	19,913	67,366	-	4,562	-
Logiwiz Limited	2016	-	119	-	-	20
	2015	-	20	-	-	-
CMA CGA Lanka (Pvt) Ltd.	2016	-	-	-	-	-
	2015	-	102	-	-	-
Maritime Agencies (Pvt) Ltd	2016	-	-	-	-	-
	2015	-	17	-	-	-
COSCO Lanka (Pvt) Ltd	2016	-	844	-	-	-
	2015	-	362	-	-	-
Dean Foster (Pvt) Ltd	2016	-	-	-	-	-
	2015	-	-	-	-	5,970

Notes to the Financial Statements

Year ended 31 March 2016

28 RELATED PARTY DISCLOSURES CONTD.

		Sales to Related Parties	Purchases from Related Parties	Net Funds Transfer from / (to) Related Parties	Amounts Due from Related Parties	Amounts Due to Related Parties
		Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
MIT Cargo (Pvt) Ltd	2016	-	607	-	-	492
	2015	-	442	-	-	-
Mountain Hawk Express (Pvt) Ltd.	2016	-	-	-	-	-
	2015	-	45	-	-	-
Hayleys Agriculture Holdings Ltd	2016	-	509	-	-	-
	2015	-	-	-	-	-
Kandyan Resorts (Pvt.) Ltd.	2016	-	873	-	-	-
	2015	-	-	-	-	-
Logiwiz NW (Pvt) Ltd	2016	-	129	-	-	-
	2015	-	-	-	-	-

Recurrent and Non Recurrent Related Party Transactions

There were no non recurrent related party transactions which aggregate value exceeds 10% of Equity or 5% of total Assets. And there were no recurrent related party transactions which aggregate value exceeds 10% of gross revenue.

The ultimate parent

The ultimate parent of the Group is Hayleys PLC

The Entity with significant influence over the Company

Hayleys Business Solutions International (Pvt) Ltd, Haycarb PLC, The Kingsbury PLC, Hayleys Travels & Tours (Pvt) Ltd, Logiventures (Pvt) Ltd, Puritas (Pvt) Ltd, Hayleys Electronics Lighting (Pvt) Ltd, Hayleys Industrial Solutions (Pvt) Ltd, Civaro Lanka (Pvt) Ltd, Hayleys Consumer Products Ltd, Alufab PLC, Dean Foster (Pvt) Ltd, Logiwiz Limited, CMA CGA Lanka (Pvt) Ltd, Maritime Agencies (Pvt) Ltd, COSCO Lanka (Pvt) Ltd, MIT Cargo (Pvt) Ltd, Mountain Hawk Express (Pvt) Ltd are subsidiaries of Hayleys PLC and Mr. K.D.D. Perera is a Director of Sampath Bank PLC as well as Hayleys PLC.

Terms and conditions of transactions with related parties

The sales to and purchases from related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 March 2016, the Group has not recorded any impairment of receivables relating to amounts owed by related parties (2015 - Nil). This assessment is undertaken each financial year by examining the financial position of the related party and the market in which the related party operates.

29. FINANCIAL MANAGEMENT OBJECTIVES AND POLICIES

Financial Risk Management

The Company has exposure to the following risks from financial instruments:

- 1 Credit Risk
- 2 Liquidity Risk
- 3 Operational Risk
- 4 Market Risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the company's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The board has delegated this responsibility to the Audit Committee which is supported by the senior management of the of the Group in identifying, measuring and managing the risks of the Company.

Credit Risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily for trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments.

Trade and Other Receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer.

The Group senior management has established a credit policy under which each new customer is analyzed individually for creditworthiness before the group's standard payment and delivery terms and conditions are offered. Purchase limits are established for each customer, which represents the maximum open amount without requiring approval from the senior management; these limits are reviewed quarterly. Customers that fail to meet the group's benchmark creditworthiness may transact with the company only on a prepayment basis. Outstanding customer receivables are regularly monitored.

More than 58 % of the Group's customers have been transacting with the company for over five years, and no impairment loss has been recognized against these customers. In monitoring customer credit risk, customers are grouped according to their credit characteristics, including whether they are an individual or legal entity, whether they are a wholesale, retail or end-user customer, geographic location, industry, aging profile, maturity and existence of previous financial difficulties.

The company establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main components of this allowance are a specific provision that relates to individually significant exposures, and a collective loss component established for groups of similar assets in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data of payment statistics for similar financial assets.

The maximum exposure to credit risk for trade and other receivables at the reporting date is Rs. 508 mn (2015-Rs. 343 mn) which is disclosed in Note 18. The Company evaluates the concentration of risk with respect to trade receivables as low.

Notes to the Financial Statements

Year ended 31 March 2016

29. FINANCIAL MANAGEMENT OBJECTIVES AND POLICIES CONTD.

Cash and Cash Equivalents

The Group/Company held cash and cash equivalents of Rs. 138 mn and Rs. 117 mn respectively as at 31 March 2016 (2015 -Rs.210 mn and Rs.94 mn) which represents its maximum credit exposure on these assets.

Respective credit ratings of banks which group cash balances held are as follows;

- Commercial Bank of Ceylon PLC – AA(Ika)
- Sampath Bank PLC – A+(Ika)
- Bank of Ceylon – AA+(Ika)
- DFCC Vardhana Bank – WD
- Hatton National Bank PLC– AA-(Ika)
- Lanka Orix Leasing Finance PLC -A-(SL)
- Deutsche Bank -A+
- Standard Chartered Bank- AAA

Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts, bank loans, and finance leases. The Group assessed the concentration of risk with respect to refinancing its debt and concluded it to be low. Access to sources of funding is sufficiently available and debt maturing within 12 months can be rolled over with existing lenders.

Group maintains a portfolio of short-term liquid assets, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through short-term loans from intercompany fund transfers to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

The monthly liquidity position is monitored. All liquidity policies and procedures are subject to review and approval by Chief Financial Officer. Daily reports cover the liquidity position of both the parent and operating subsidiaries. A summary report, including any exceptions and remedial action taken, is submitted regularly to Chief Financial Officer.

The table below summarizes the maturity profile of the Group/ Company financial liabilities based on contractual undiscounted payments.

Group	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 years	>5 years	Total
Year ended 31 March 2016	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Interest-Bearing Loans and Borrowings	-	3,128	-	-	-	3,128
Other Liabilities	7,507	-	-	-	-	7,509
Trade and Other Payables	82,957	435,408	151,251	-	-	669,617
	90,464	438,536	151,251	-	-	680,252

Company	On Demand	Less than 3 Months	3 to 12 Months	1 to 5 years	>5 years	Total
Year ended 31 March 2016	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000	Rs. 000
Interest-Bearing Loans and Borrowings	-	3,128	-	-	-	3,128
Other Liabilities	6,256	-	-	-	-	6,256
Trade and Other Payables	56,316	497,236	146,356	-	-	699,908
	62,572	500,364	146,356	-	-	709,292

Operational Risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Company's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. Operational risks arise from all of the Company's operations.

The company's objective is to manage operational risk, so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. This responsibility is supported by the development of overall company standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties, including the independent authorization of transactions
- Requirements for the reconciliation and monitoring of transactions
- Compliance with regulatory and other legal requirements
- Documentation of controls and procedures
- Requirements for the periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Requirements for the reporting of operational losses and proposed remedial action
- Development of contingency plans
- Training and professional development
- Ethical and business standards
- Risk mitigation, including insurance when this is effective

Notes to the Financial Statements

Year ended 31 March 2016

29. FINANCIAL MANAGEMENT OBJECTIVES AND POLICIES CONTD.

Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise four types of risk: Interest rate risk, Currency risk, Commodity price risk and other price risk, such as equity price risk. Financial instruments affected by market risk include loans and deposits. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Interest Rate Risk

The Company adopts a policy of ensuring that between 6.5% fixed and 7.45% floating interest rate on borrowings, taking into account assets with exposure to changes in interest rates. This is achieved by maintaining proper mix of interest rate on borrowings based on the market.

The following table demonstrate the sensitivity to a reasonably possible change in the interest rate with all other variables held constant. The impact on the Group's and Company's Profit before tax due to the change in the interest rate is as follows.

	Increase/ Decrease in Interest Rate	Effect on Profit Before Tax	
		2016 Group Rs. 000	2016 Company Rs. 000
Only Using	.+ 1%	8	8
Loans and Borrowings	. - 1 %	(8)	(8)

Foreign Currency Risk

The Group is exposed to currency risk on sales and purchases. The Company manage s its foreign currency risk by hedging transactions that are expected to occur within a maximum period of 4 months by using foreign currency forwards contracts.

The following table demonstrate the sensitivity to a reasonably possible change in the US Dollar rate with all other variables held constant. The impact on the Group's and Company's Profit before tax due to the change in the change in exchange rate is as follows.

	2016	
	Group Rs. 000	Company Rs. 000
Liability -Creditor	430,890	401,710
Assets -Deposit in \$	(2,993)	(2,993)
Net Position	427,897	398,717
If Rupee Depreciated by 5%	449,291	418,652
Impact to the PBT	(21,395)	(19,936)
If Rupee Appreciated by 5%	406,501	378,781
Impact to the PBT	21,395	19,936

Commodity Price Risk

The Group is affected by the volatility of certain commodities. Its operating activities require the ongoing purchase of Aluminium. Due to the significantly increased volatility of the price of the underlying, the company's Board of Directors has developed and enacted a risk management strategy regarding commodity price risk and its mitigation.

Based on 03 months forecast of required aluminium supply, the group hedges the purchase price using forward commodity purchase controls. The forecast is deemed to be highly probable.

Forward contract with a physical delivery that qualify for normal purchase, sale or usage and that are therefore not recognized as derivatives.

The following table shows the effect of price changes in raw Aluminium on the profit before tax.

	Change in Year-End Price	Effect on Profit Before Tax	
		2016 Group Rs. 000	2016 Company Rs. 000
Raw Aluminium	+5%	(74,303)	62,347
	-5%	74,303	62,347

Capital Management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. Capital consists of share capital, reserves and retained earnings of the Company. The Board of Directors monitors the return on capital as well as the level of dividends to ordinary shareholders.

The Group's net debt to adjusted equity ratio at the reporting date was as follows;

	Group		Company	
	2016 Rs. 000	2015 Rs. 000	2016 Rs. 000	2015 Rs. 000
Interest Bearing Loans and Borrowings	3,084	17,674	3,084	17,674
	3,084	17,674	3,084	17,674
Equity	1,898,456	1,689,605	1,483,923	1,265,115
Equity and Net Debts	1,901,540	1,707,279	1,487,007	1,282,789
Gearing Ratio	0.16%	1%	0.21%	1%

Investor Information

Ordinary Shareholders as at 31st March 2016

No. of shares held	RESIDENTS			NON RESIDENTS			TOTAL		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 – 1,000	853	380,037	0.1270	5	2,730	0.0009	858	382,767	0.1279
1,001 – 10,000	709	3,099,946	1.0357	2	15,000	0.0050	711	3,114,946	1.0407
10,001 – 100,000	275	9,149,659	3.0570	12	599,300	0.2002	287	9,748,959	3.2572
100,001 – 1,000,000	40	12,990,876	4.3404	7	2,017,400	0.6741	47	15,008,276	5.0145
OVER 1,000,000	10	271,047,892	90.5597	-	-	-	10	271,047,892	90.5597
	1,887	296,668,410	99.1198	26	2,634,430	0.8802	1,913	299,302,840	100.0000

Category									
Individuals	1,769	33,206,124	11.0945	23	1,404,430	0.4692	1,792	34,610,554	11.5637
Institutions	118	263,462,286	88.0253	3	1,230,000	0.4110	121	264,692,286	88.4363
	1,887	296,668,410	99.1198	26	2,634,430	0.8802	1,913	299,302,840	100.0000

Directors Shareholding as at 31.03.16

Name of Director	No of Shares
Mr.A.M.Pandithage	10,000
Mr.R.P.Peris	70,000
Mr.D.W.P.N.Dediwela	10,669,200
Mr.H.H.Abdulhusein	2,000,000
Mr.R.P.Pathirana	243,949
Total	12,993,149

Share Trading Information - Three Months Ended 31.03.2016

from 01/01/2016 to 31/03/2016

Highest Price	Rs.17.40
Lowest Price	Rs. 13.50
Closing Price	Rs.15.40

Share Trading Information - Twelve Months Ended 31.03.2016

from 01/04/2015 to 31/03/2016

Highest Price	Rs.19.70
Lowest Price	Rs. 13.50
Closing Price	Rs.15.40

No. of Transactions	9,407
No. of shares traded	43,375,989
Value of shares traded	Rs.760,279,047/30

Percentage of Public Holding as at 31.03.2016	11.16%
Total number of shareholders representing the public holding	1,903

Dividend

2nd Interim Dividend 2014/15 - Cents 42 per share paid on 16th April, 2015.

Final Dividend 2014/15 - Cents 25 per share paid on 02nd July, 2015

Interim Dividend 2015/16 - Cents 75 per share paid on 23rd February, 2016.

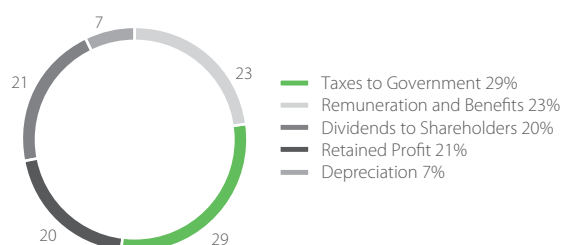
Final Dividend Proposed - Cents 45 per share payable on 04th July 2016.

First Twenty Shareholders as at 31.03.2016

Name of the Shareholder	No. of Shares as at 31.03.2016	%	No. of Shares as at 31.03.2015	%
1 Hayleys PLC	152,644,500	51.00	152,644,500	51.00
2 Akbar Brothers Pvt Ltd A/C No.1	40,217,782	13.44	29,503,382	9.86
3 Rosewood (Pvt) Ltd - Account No.01	29,340,300	9.80	30,065,300	10.05
4 Star Pack Investments (Pvt) Ltd	16,500,000	5.51	16,500,000	5.51
5 Dean Foster (Pvt) Ltd A/C No.1	14,213,900	4.75	14,213,900	4.75
6 Mr. D.W.P.N.Dediwela	10,669,200	3.56	10,669,200	3.56
7 Seylan Bank PLC/ARC Capital (Pvt) Ltd	3,325,920	1.11	3,754,905	1.25
8 Mr.H.H.Abdulhusein	2,000,000	0.67	2,000,000	0.67
9 Mr.T.H.D.I.U.Thrimanne	1,111,040	0.37	1,111,040	0.37
10 Mr.A.N.Esufally	1,025,250	0.34	750,000	0.25
11 Elgin Investments Ltd	1,000,000	0.33	--	--
Mr.K.D.H.Perera	1,000,000	0.33	--	--
12 Asian Alliance General Insurance Limited	828,460	0.28	--	--
13 Pinnacle Trust (Pvt) Limited	803,780	0.27	803,780	0.27
14 Mr.P.T.S.De Silva	728,097	0.24	--	--
15 Commercial Bank of Ceylon PLC A/C No.01	714,200	0.24	714,200	0.24
Mr. M.L.Hirdaramani	714,200	0.24	714,200	0.24
Mr.S.J.Hirdaramani	714,200	0.24	714,200	0.24
16 Dr. T. Senthilvel	685,002	0.23	--	--
Seylan Bank PLC/T. Senthilvel	125,665	0.04	--	--
17 Mr.R.A.K.Hirdaramani	417,100	0.14	417,100	0.14
18 Mr.A.R.Gunasekara & Mrs.S.R.Gunasekara	400,000	0.13	--	--
19 Mr.K.S.N.Hirdaramani	357,000	0.12	357,000	0.12
20 Mr.A.N.William	347,221	0.12	250,000	0.08
Total	279,882,817	93.50	265,182,707	88.60

Statement of Value Added

	Note	Group			
		2016 Rs. Mn	Share %	2015 Rs. Mn	Share %
Gross Revenue	1	4,479		3,758	
Cost of materials and services bought in	2	(3,010)		(2,627)	
Value added		1,469		1,131	
Distribution of Value Added					
Remuneration and benefits	3	334	23%	310	27%
Taxes to Government	4	421	29%	235	21%
Dividends to Shareholders		299	20%	299	26%
Interest on Borrowings	5	12	1%	(1)	0%
Community investment		16	1%	9	1%
Retained in the business					
Retained profit		290	20%	178	16%
Deferred tax		(10)	-1%	18	2%
Depreciation	6	107	7%	83	7%
		1,469	100%	1,131	100%



Five Year Summary

	2016 Rs. '000'	2015 Rs. '000'	2014 Rs. '000'	2013 Rs. '000'	2012 Rs. '000'
Turnover	3,915,668	3,241,483	2,749,348	2,429,911	2,189,738
Profit before Tax	801,260	612,800	464,067	377,788	110,702
Taxation	(212,137)	(135,805)	(85,113)	(71,441)	3,800
Profit after Tax	589,123	476,995	378,954	306,347	114,502
Non-Controlling Interest	-	-	-	-	-
Profit Attributable to the Group	589,123	476,995	378,954	306,347	114,502
Funds Employed					
Stated Capital	283,735	283,735	283,735	33,735	33,735
Reserves	684,503	738,284	685,355	693,672	605,850
Retained Earnings	930,218	667,586	477,325	256,713	68,845
Assets Employed					
Non-Current Assets	1,332,559	1,290,118	965,372	969,374	882,908
Current Assets	1,548,205	1,350,736	1,209,784	730,630	686,806
Current Liability Net of Borrowings	813,753	770,632	536,719	415,286	361,487
Capital Employed	1,901,540	1,707,279	1,499,130	1,151,834	1,081,315
Cash Flow					
Net Cash Inflow/Outflow from Operating Activities	494,194	482,226	300,996	403,253	129,961
Net Cash Inflow/Outflow from Investing Activities	(126,623)	(324,065)	(70,910)	(45,659)	(79,352)
Net Cash Inflow/Outflow from Financing Activities	(439,601)	(208,637)	(27,541)	(259,636)	(46,543)
Net Increase/Decrease in Cash and Cash Equivalents	(72,030)	(50,476)	202,545	97,958	4,066
Key Indicators					
Current Ratio	1.90	1.72	2.12	1.38	1.05
Gearing Ratio	0.16	1.03	3.5	14.6	34.5
Asset Turnover Ratio	1.36	1.23	1.26	1.43	1.39
Earnings per Share	1.97	1.59	1.34	1.09	0.41
Dividends per Share	1.00	1.00	0.53	0.41	0.06
Net assets per Share	6.34	5.65	4.83	3.50	2.52
Return on Average Shareholders' Funds	0.33	0.30	0.31	0.36	0.17
Return on Capital Employed	0.45	0.38	0.32	0.36	0.16
Price Earnings Ratio	7.82	9.91	10.59	-	-
Interest Cover	948	220	48	9	3
Dividend Payout Ratio	0.51	0.63	0.39	0.38	0.14

GRI Content Index-

"In Accordance" -Core

GRI Indicator	Disclosure Title	Topic Reference/Comments	Page Reference
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Section: Organizational Profile			
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G4-4	Primary brands, products, and services	About the Company	Page 3
G4-5	Location of Organisations Head Quarters	About the Company	Page 3
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G4-7	Nature of ownership and legal form	About the Company	Page 3
G4-8	Markets served	Social and Relationship Capital - Customers	Page 57
G4-9	Scale of the reporting organization	About the Company / Financial Highlights	Pages 3 and 9
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G4-11	Percentage of employees covered by collective bargaining agreements	Human Capital	Page 50
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G4-20	Aspect boundaries within the organization	Identifying Material Issues	Page 26
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G4-22	Explanation of the effect of any restatement of information provided in earlier reports and reasons for such restatements	There are no restatements	
G4-23	Significant changes from previous reporting periods in the Scope and Aspect Boundaries.	None	

GRI Indicator	Disclosure Title	Topic Reference/Comments	Page Reference
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G4-24	List of stakeholder groups engaged by the organization.	Stakeholder Engagement	Page 24
G4-25	Basis for identification and selection of stakeholders with whom to engage.	Stakeholder Engagement	Page 24
G4-26	Organisation's approach to stakeholder engagement	Stakeholder Engagement	Page 24
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G4-30	Reporting cycle	About this Report	Page 6
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G4-32	Compliance with GRI G4 guidelines, GRI Content Index and External Assurance Report	This report	
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G4-56	Organisations values, principles, standards and norms of behaviour such as codes of conducts and codes of ethics	Corporate Governance	Page 82
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G4-EC3	Coverage of the organisations defined benefit plan obligations	Financial Statements	Pages 139 and 173

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G4-EC8	Significant indirect economic impacts including the extent of impacts	Social and Relationship Capital - Community Development	Page 66
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GRI Indicator	Disclosure Title	Topic Reference/Comments	Page Reference
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Aspect: Compliance			
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Category: Social			
Sub-category: Labor Practices & Decent Work			
Aspect: Employment			
G4-LA1	Employees Turnover during reporting period	Human Capital	Page 52
G4-LA2	Benefits which are standard for full-time employees of the organisation	Human Capital	Page 54
Aspect: Labor/ Management Relations			
G4-LA5	Level to which Occupational health and safety committees operates in organisation	Human Capital	Page 55
G4-LA6	Rates of injury, occupational disease, lost days, absenteeism, and work-related fatalities by region and gender	Human Capital	Page 55
Aspect: Training & Education			
G4-LA9	Average hours of training provided to employees during reporting period	Human Capital	Page 53
G4-LA10	Type and scope of programs implemented and assistance provided to upgrade the employees skills	Human Capital	Page 52
G4-LA11	Percentage of employees receiving performance and career development reviews by gender and by employment category	Human Capital	Page 53

GRI Content Index- "In Accordance" -Core

GRI Indicator	Disclosure Title	Topic Reference/Comments	Page Reference
Aspect: Diversity			
G4-LA12	Composition of governance bodies and breakdown of employees per employee category, according to gender, age group, minority interest membership and other indicators of diversity	Human Capital	Page 51
Aspect: Supplier Assessment for Labor Practices			
G4-LA14	New suppliers that were screened using labor practices criteria	Social and Relationship Capital - Suppliers	Page 61
Aspect: Labor Practices Grievance Mechanisms			
G4-LA16	Total number of grievances about labour practices filed through formal grievance mechanism during reporting period.	Human Capital	Page 53
Category: Social			
Sub-category: Human Rights			
Aspect: Freedom of Association			
G4-HR4	Significant risk of freedom of association in operations and suppliers	Human Capital	Page 50
Aspect: Child Labor			
G4-HR5	Operations and suppliers identified as having significant risk for incidents of child labour and measures taken to contribute to the effective abolition of child labour	Human Capital	Page 49
Aspect: Forced or Compulsory Labor			
G4-HR6	Operations and suppliers identified as having significant risk of forced or compulsory labour and measure taken to contribute to elimination of all forms of forced or compulsory labour	Human Capital	Page 55
Aspect: Human Rights Grievance Mechanisms			
G4-HR12	Number of grievances about human rights impacts filed, addressed, and resolved through formal grievances mechanism	Human Capital	Page 49
Sub-category: Society			
Aspect: Local Communities			
G4-SO1	Local community engagement, impact assessments and development programs	Social and Relationship Capital - Community Development	Pages 62 and 64
Aspect: Anti-corruption			
G4-SO4	Communications and training on anti-corruption policies and procedures	Social and Relationship Capital - Community Development	Page 64

GRI Indicator	Disclosure Title	Topic Reference/Comments	Page Reference
Aspect: Compliance			
G4-SO8	Significant fines and non-monetary sanctions for non compliance with laws or regulations	None	Page 64
Aspect: Grievance Mechanisms for Impacts on Society			
G4-SO11	Grievances about impacts on society	Social and Relationship Capital - Community Development	Page 64
Sub-category: Product Responsibility			
Aspect: Customer Health & Safety			
G4-PR2	Non-compliance concerning the health and safety impacts of products and services	No incidents of non compliance	Page 64
Aspect: Product & Service Labeling			
G4-PR3	Product and service information required for labeling	Social and Relationship Capital - Product Responsibility	Page 67
G4-PR4	Non-compliance with regulations concerning product and service labeling	No incidents of non compliance	Page 68
G4-PR5	Results on conclusions of customer satisfaction surveys	Social and Relationship Capital - Customers	Page 60
Aspect: Marketing & Communications			
G4-PR7	Total number of incidents of non compliance with regulations and voluntary codes concerning marketing communication including advertising, promotions and sponsorships by type of outcomes	No incidents of non compliance	Page 59
Aspect: Customer Privacy			
G4-PR8	Total number of substantiated complaints regarding breaches of customer privacy and loss of customer data	None	Page 60
G4-PR9	Monetary values of significant fines for non compliance of laws and regulations concerning the provision and use of products and services.	None	Page 64

Distribution Channels

Central

Kandy Hardware Stores

No. 40, D.S. Senanayake Veediya,
Kandy
Tele: 0812 222 598

Richard & Company

No. 23, Kings Street, Kandy
Tele: 0812 224 181

Sarasavi Enterprises (Pvt) Ltd.

No. 442/3, Gohagoda Road,
Wegiriya,
Katugasthota
Tele: 0812 492 469

Almet Enterprises

No. 25/A, Kurunegala Road,
Dambulla
Tele: 0718 254 658

Matale Glass Center

No. 27, Station Road, Matale
Tele: 0664 460 565

Sabaragamuwa

New Aluroma Enterprises

No. 731, Kandy Road, Meepitiya,
Kegalle
Tele: 0352 223 969

Alushan Aluminium

No. 291, Keli Weediya,
Kudugalwattha,
Rathnapura
Tele: 0772 211 135

Embilipitya Glass Center (Pvt) Ltd.

New Town Road, Embilipitya
Tele: 0472 230 760

Arcade of Aluminium

No. A, 45C, Madola, Avissawella
Tele: 0362 230 066

Arcade of Aluminium

No.125, Batugedara Road,
Angammana, Rathnapura.
Tele : 0454935292

Uva

Alumex Warehouse

No.46,Hingoda,Badulla
Tele: 0554 963 196

Rajitha Interiors

Kumaradasa Junction,
Wellawaya.
Tele: 0552 274 392

Arcade of Aluminium-Badulla

No.276A,Passara Rd,Badulla
Tele: 0554936196

Lanka Hardware

No.139,Wallawaya
Road,Monaragala
Tele: 0773 535 731

Kadurata Hardware

No.26,27,Kandy Road
Mahiyanganaya
Tele: 0552257473

Aluminium Gallery

No. 345, Wellawaya Road,
Monaragala.
Tele : 0702900702

Eastern

Eastern Trading Company

Moulana Complex, Main Street,
Kattankudy 02.
Tele: 0652 247 085

Irfan Aluminium

No. 245, Central Road,
Trincomalee
Tele: 0262 226 414

Nothern

Aranila Picture Palace

No. 05. Kanaka Puram Road,
Killinochchi
Tele: 0212 285 478

T.K. Aluminium Fitting Center

No. 113, 01st Floor, New Bus
Stand Complex,
Vauniya.
Tele: 0242 222 342

T. Kumaraswamy & Sons

No. 248/1, K.K.S. Road, Jaffna.
Tele: 0212 228 847

A.J. Enterprises

Opposite Central Collage,
A-9 Road, Ananthapuram,
Killinochchi
Tele: 0212 285 301

Marutham Iron Ware Store

Karaveddy
Centre,Karaveddy,Nelliarly,Jaffna
Tele: 0212 263 210

K.T.S. Glass Centre

Main Street, Puthukkudiyiruppu
Tele: 0772 428 483

Saral Padamadam Aluminium Fitting

Main Road, Mullaithivu
Tele: 0778 622 752

Fine Aluminium Fabricators

No. 51/1, E.S. Fernando
Mawatha,
Wellawatte, Colombo 06
Tele: 0112 363 423

North Central

Rajarata Glass House

No. 561/8, Maithreepala
Senanayake Mawatha,
Anuradhapura
Tele: 0252 223 741

New Vision Construction

No.317,Mahasen Pedesa,28-
Post,Pollonnaruwa
Tele: 0771 747 559

Ananda Aluminium

No:521/56, 5th Lane,
Maithreepala Senanayaka
Mw,New Town, Anuradhapura.
Tele:025 5627810

North Western

Alulux Aluminium Fabricators

No. 465, Temple Road,
Mahawewa, Chilaw
Tele: 0324 902 405

Thushara Aluminium

No. 26, Rajapihilla Road,
Kurunegala
Tele: 0372 231 057

Vimarsha Traders

Dambulla Road, Udawela,
Ibbagamuwa
Tele: 0372 258 511

City Picture Palace

No. 122, Main Street, Kurunegala
Tele: 0372 224 367

Western**Avro [KOTTE] Enterprises (Pvt) Ltd.**

No. 278, Kotte Road, Nugegoda
Tele: 0112 817 373

Avro [MAKOLA] Enterprises (Pvt) Ltd.

No. 55/2, Makola North, Makola
Tele: 0112 910 295

Alugrow Trading Co. Ltd.

346/A1, Negombo Road,
Nagoda, Kadana
Tele: 0112 237 667

S & C Aluminium Fabricators

No. 232/1/3, Udupila Road,
Makola South, Makola
Tele: 0112 963 326

Highlevel Aluminium (Pvt) Ltd.

No. 352, Highlevel Road,
Pannipitiya
Tele: 0112 746 459

Asia Trade Centre

No. 612, Galle Road, Kaluthara
South,
Kaluthara
Tele: 0779574935

Glass and Aluminium

No. 32, Galle Road, Dehiwala
Tele: 0114 203 929

Alugrow Trading Co. Ltd.

No. 117, Horana Road,
Mahawila, Panadura
Tele: 0382 235 556

Asia Trade Centre

No. 542 A, Sri Sangaraja
Mawatha, Colombo 10
Tele: 0114 343 472

N. Rich (Pvt) Ltd.

No. 367, Piliyandala Road,
Pepiliyana
Tele: 0114 308 059

N. Rich (Pvt) Ltd.

No. 355, Nawala Road, Nawala
Tele: 0112 805 813

New Alutec Aluminium

No. 39/1, Kandy Road,
Nittambuwa
Tele: 0334 933 745

Unifab Trading (Pvt) Ltd.

No. 76D, Kandy Road,
Dalugama, Kelaniya
Tele: 0112 910 686

Multi Engineering Services

No. 40/5, New Kandy Road,
Naranwala
Tele: 0333 932 995

Alcon (Pvt) Ltd.

No. 647, Galle Road,
Rawatawaththa, Moratuwa
Tele: 0112 649 714

New Lanka Glass Co. (Pvt) Ltd.

No. 396/339, Main Street,
Negombo
Tele: 0312 220 755

Arcade of Aluminium

No. 279/15/B, Godagama Road,
Athurugiriya
Tele: 0112 742 848

Alu Lanka (Pvt) Ltd.

No. 671, (Part) Baseline Road,
Dematagoda, Colombo 09
Tele: 0117 467 671

Gampaha Picture Palace

No. 110, Ja-Ela Road, Gampaha
Tele: 0332 222 561
Almart Aluminium
No. 131-A-1, Galle Road,
Rathmalana
Tele: 0112 725 734

Almart Aluminium

No. 131-A-1, Galle Road,
Rathmalana
Tele: 0112725734

Lucky Hardware

No. 109, Sumanatissa Mawatha,
Colombo 12
Tele: 0112 387 515

R.C. Enterprises

No. 390, Colombo Road,
Galkanda Junction, Negombo
Tele: 0314 872 367

Aluminium Gallery

No. 623, Avissawella Road,
Mulleriyawa New Town
Tele: 0112 157 887

Variety Lanka (Pvt) Ltd

No.544,Kaduvela
Rd,Thalangama North
Tele: 0112 411 030

Southern**Ruhunu Alucraft & Hardware**

Baddegama Road,
Gonapeenuwala
Tele: 0773 108 740

M.P.P. Trading (Pvt) Ltd.

No. 107/109, Old Tangalle Road,
Kotuwegoda, Matara
Tele: 0412 224 265

Aluroma Enterprises

No. 77B/C,
W.D.S. Abaygunawardhana
Mawatha,
Pettigalawatta, Galle
Tele: 0912 227 850

Wijesooriya Enterprises

No. 158, Maha Veediya,
Ambalangoda
Tele: 0779 554 373

Glossary of Financial Terms

Actuarial Gains and Losses

Difference between the previous actuarial assumptions and what has actually occurred and the effects of changes in actuarial assumptions.

Amortisation

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Available for Sale

Non derivative financial assets that are designated as available for sale or are not classified as loans and receivable, held to maturity investment or financial assets at fair value through profit and loss.

Borrowings

All interest bearing liabilities.

Capital Employed

Total equity, minority interest and interest bearing Borrowings.

Capital Reserves

Reserves identified for specific purposes and considered not available for distribution.

Cash Equivalents

Liquid investments with original maturity periods of three months or less.

Contingent Liability

A possible obligation that arises from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.

Current Ratio

Current assets divided by current liabilities, a measure of liquidity.

Current Service Cost

Increase in the present value of the defined benefit obligation resulting from employee's service in the current period.

Deferred Taxation

The tax effect of timing differences deferred to/ from other periods, which would only qualify for inclusion on a tax return at a future date.

Dividend Cover

Profit attributable to ordinary shareholders divided by dividend. Measures the number of times dividend is covered by distributable profit.

Dividend Payout

Dividend per share as a percentage of the earnings per share.

Dividend Yield

Dividend per share as a percentage of the market price a measure of return on investment.

EBIT

Abbreviation for Earnings Before Interest and Tax.

Effective Tax Rate

Income tax expense divided by profit from ordinary activities before tax.

Equity

Shareholders' funds.

Equity Accounted Investees

An entity including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

Fair Value

The amount for which an asset could be exchanged or liability settled between knowledgeable willing parties in an arm's length transaction.

Fair Value Through Profit and Loss

A financial asset/liability acquired/incurred principally for the purpose of selling or repurchasing it in the near term, part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit taking, or a derivative (except for a derivative that is a financial guarantee contract)

Financial Asset

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instrument

Any contract that gives rise to a financial asset of one entity and a financial liability or equity to another entity.

Gearing

Proportion of total interest bearing borrowings to capital employed.

Gross Profit Ratio

Gross profit divided by revenue.

Interest Cover

Profit before tax plus net finance cost divided by net finance cost, a measure of an entity's debt service ability.

IPO

The first sale of shares by a private company to public.

Key Management Personnel (KMP)

KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

Market Capitalisation

Number of shares in issue multiplied by the market value of a share at the reported date.

Net Assets Per Share

Shareholders' funds divided by the weighted average number of ordinary shares in issue, a basis of share valuation.

Non-Controlling Interest

The interest of individual shareholders, in a company more than 50% of which is owned by a holding Company.

Other Comprehensive Income

Items of income and expenses that are not recognised in profit or loss as required or permitted by other SLFRS's.

Price Earnings Ratio

Market price of a share divided by earnings per share as reported at that date.

Related Parties

Parties who could control or significantly influence the financial and operating policies of the business.

Retirement Benefits Present Value of a Defined Benefit Obligation

Present value of expected future payments required to settle the obligation resulting from employee service in the current and prior periods.

Return on Average Capital employed

Profit before tax plus net finance cost divided by average capital employed.

Return on Average Shareholders' Funds

Attributable profits to the shareholders divided by average shareholders' funds.

Revenue Reserves

Reserves considered as being available for distributions and investments.

Segments

Constituent business units grouped in terms of similarity of operations and location.

Value Addition

The quantum of wealth generated by the activities of the Group measured as the difference between turnover and the cost of materials and services bought in.

Working Capital

Capital required to finance day-to-day operations computed as the excess of current assets over current liabilities.

Notice of Meeting

ALUMEX PLC

Company Number PV 539 PQ

NOTICE IS HEREBY GIVEN that the Ninth Annual General Meeting of Alumex PLC will be held at No.400, Deans Road, Colombo 10, Sri Lanka on Thursday, 23rd June, 2016 at 3.00 p.m. and the business to be brought before the meeting will be:

1. To consider and adopt the Annual Report of the Board of Directors and the Statements of Accounts for the year ended 31st March 2016, with the Report of the Auditors thereon.
2. To declare a dividend as recommended by the Directors.
3. To re-elect Mr. A.M. Pandithage, who retires by rotation at the Annual General Meeting, a Director.
4. To re-elect Mr. S.C. Ganegoda, who retires by rotation at the Annual General Meeting, a Director.
5. To re-elect Dr.H.Cabral, PC, who retires by rotation at the Annual General Meeting, a Director.
6. To authorise the Directors to determine contributions to charities for the financial year 2016/17.
7. To ratify sum of Rs.108,863/= donated to charities in excess of the sum approved by the shareholders for the financial year 2015/16.
8. To authorize the Directors to determine the remuneration of the Auditors, Messrs Ernst & Young, Chartered Accountants who are deemed to have been reappointed as Auditors for the financial year 2016/17 in terms of section 158 of the Companies Act No.07 of 2007.
9. To consider any other business of which due notice has been given.

NOTE :

- (i). A Shareholder is entitled to appoint a proxy to attend and vote instead of himself and a proxy need not be a Shareholder of the Company. A Form of Proxy is enclosed for this purpose. The instrument appointing a proxy must be deposited at No.400, Deans Road, Colombo 10, Sri Lanka by 3.00 p.m. on 21st June 2016.
- (ii). It is proposed to post ordinary dividend warrants on 04th July 2015 and in accordance with the rules of the Colombo Stock Exchange the shares of the Company will be quoted ex-dividend with effect from 24th June 2016.

By Order of the Board

ALUMEX PLC

HAYLEYS GROUP SERVICES (PRIVATE) LIMITED

Secretaries

Colombo

30th May 2016

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Notes

Form of Proxy

ALUMEX PLC

Company Number PV 539 PQ

I/We.....

of.....

being Shareholder/Shareholders* of ALUMEX PLC hereby appoint:

1

ofor failing him/them

2. ABEYAKUMAR MOHAN PANDITHAGE (Chairman of the Company) of Colombo, or failing him, one of the Directors of the Company as my/our * proxy to attend, speak and vote as indicated hereunder for me/us* and on my/our* behalf at the Ninth Annual General Meeting of the Company to be held on Thursday, 23rd June 2016 and at every poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

	For	Against
1. To adopt the Annual Report of the Board of Directors and the Statements of Accounts for the year ended 31st March 2016 with the Report of the Auditors thereon.	☐	☐
2. To declare a dividend as recommended by the Directors.	☐	☐
3. To re-elect Mr.A.M.Pandithage, who retires by rotation at the Annual General Meeting, a Director.	☐	☐
4. To re-elect Mr.S.C.Ganegoda, who retires by rotation at the Annual General Meeting, a Director	☐	☐
5. To re-elect Dr.H.Cabral, PC , who retires by rotation at the Annual General Meeting, a Director.	☐	☐
6. To authorise the Directors to determine contributions to charities for the financial year 2016/17.	☐	☐
7. To ratify sum of Rs.108,863/= donated to charities in excess of the sum approved by the shareholders for the financial year 2015/16.	☐	☐
8. To authorize the Directors to determine the remuneration of the Auditors, Messrs Ernst & Young, Chartered Accountants who are deemed to have been reappointed as Auditors for the financial year 2016/17 in terms of section 158 of the Companies Act No.07 of 2007.	☐	☐

(**) The proxy may vote as he thinks fit on any other resolution brought before the Meeting.

As witness my/our* hands this day of2016.

Witnesses:

.....

.....
Signature of Shareholder

Note : * Please delete the inappropriate words.

1. A proxy need not be a Shareholder of the Company.
2. Instructions as to completion appear on the reverse.

Form of Proxy

INSTRUCTIONS AS TO COMPLETION :

1. To be valid, this Form of Proxy must be deposited at No. 400, Deans Road, Colombo 10, Sri Lanka by 3.00 p.m. on 21st June 2016.
 2. In perfecting the Form of Proxy, please ensure that all details are legible.
 3. If you wish to appoint a person other than the Chairman of the Company (or failing him, one of the Directors of the Company) as your proxy, please insert the relevant details at (1) overleaf and initial against this entry.
 4. Please indicate with an X in the space provided how your proxy is to vote on each resolution. If no indication is given, the proxy in his discretion will vote as he thinks fit. Please also delete (**) if you do not wish your proxy to vote as he thinks fit on any other resolution brought before the Meeting.
 5. In the case of a Company/Corporation, the proxy must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association.
 6. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original (POA) together with a photocopy of same or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.
-

Corporate Information

Name of Company

Alumex PLC
(A limited Liability company, incorporated in Sri Lanka in 2007)

Company Number

PV 539 PQ

Stock Exchange Listing

The ordinary shares of the Company are listed with the Colombo Stock Exchange of Sri Lanka on 31 March 2014

Registered Office

Pattiwila Road,
Sapugaskanda, Makola,
Sri Lanka
Telephone: +94 11 240 0332
Facsimile: +94 11 240 0415
Website: www.alumexgroup.com

Directors

A M Pandithage – Chairman
R P Peris -Managing Director
S C Ganegoda
R P Pathirana
A A Akbarally
D W P N Dediwela
H H Abdulhusein
Dr. H Cabral, PC
S Munaweera
A J Hirdaramani (Alternate Director to R P Pathirana)
T Akbarally (Alternate Director to A A Akbarally)

Audit Committee

S Munaweera - Chairman
Dr.H.Cabral, PC
R P Pathirana

Remuneration Committee

Dr.H.Cabral, PC – Chairman
S Munaweera

Subsidiary Companies

Alco Industries (Pvt) Ltd
Avro Enterprises (Pvt) Ltd
Alumex Systems (Pvt) Ltd

Auditors

Ernst & Young
Chartered Accountants
No. 201, De Seram Place
Colombo 10, Sri Lanka

Investor Relations

Please contact Corporate Affairs Unit
Telephone: +94 11 262 7610
E-mail: info@cau.hayleys.com
SECRETARIES
Hayleys Group Services (Private) Limited
400, Deans Road, Colombo 10, Sri Lanka
Telephone: +94 11 262 7650
Facsimile: +94 11 262 7645
E-mail: info.sec@hayleys.com
Please direct any queries about the administration of shareholdings to the Company Secretaries

Bankers

Commercial Bank of Ceylon PLC

Foreign Branch
Commercial House
NO 21, Sir Razik Fareed Mawatha
Colombo 01, Sri Lanka

Sampath Bank PLC

Head Office,
No. 110, Sir James Peiris Mawatha
Colombo 02, Sri Lanka

Bank Of Ceylon

Corporate Branch
2nd Floor, Head Office
No. 04, Bank of Ceylon Mawatha
Colombo 01, Sri Lanka

Hatton National Bank PLC

Head office
HNB Towers
No. 479, T. B. Jayah Mawatha
Colombo 10, Sri Lanka

DFCC Bank PLC

No. 73, W A D Ramanayake Mawatha
Colombo 02, Sri Lanka

Standard Chartered Bank

37, York Street
Colombo 1, Sri Lanka

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